EQUITIES

	RATING	TARGET PRICE		EPS 26e	EPS 27e
CoreWeave	(+)	USD192	-	-	-
Microsoft	(+)	USD555	-	-	-
Nebius Group	(=)	USD255	-	-	-
Oracle Corporation	(+)	USD283	↗ 36%	-	-

SOFTWARE

The OpenAI (& Anthropic) Effect: AI Infrastructure Impact

2 JUNE 2026
Securities Research Report
Production time: 06:07* (London time)

Research Analysts & Publishing Entities

Stefan Slowinski
BNP Paribas London Branch
(+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

Daniel Wang
BNP Paribas Securities Corp[1]
+1 646 785 3326
daniel.wang@us.bnpparibas.com

Keeler Patton
BNP Paribas Securities Corp[1]
(+1) 646 342 6138
keeler.patton@us.bnpparibas.com

Token efficiency likely to define the next phase of the AI infrastructure trade

The first half of 2026 was defined by compute scarcity as agentic AI workloads accelerated faster than infrastructure supply, compounded by the emergence of the ‘tokenmaxxing’ phenomenon. However, with enterprise pushback on token costs growing louder, we believe the AI ecosystem may be approaching its first meaningful token optimization cycle. While the market may initially interpret this as a signal of moderating demand, we view this as a natural evolution as token consumption broadens beyond a handful of frontier AI labs. In this report, we examine the implications of enterprises seeking lower-cost alternatives, how token demand may diffuse across a wider customer base, and why token optimization could ultimately improve AI infrastructure economics despite potentially creating near-term narrative risk for preferred compute scarcity beneficiaries.

Bringing the AI ROIC debate back to Earth. Identifying attractiveness of terrestrial providers

One of the common investor pushbacks we hear on AI infrastructure remains the magnitude of upfront capital required to build GPU clusters. In turn, we look at the long-term ROIC potential of AI infrastructure and argue the market remains overly focused on current monetization frameworks. We believe a more diverse enterprise customer base could increasingly support multi-tenant GPU environments, driving higher utilization through virtualization and GPU time slicing. We also examine the emergence of GPU platform services, which could provide an additional layer of monetization above pure infrastructure. Taken together, we believe the combination of higher infrastructure utilization and platform driven revenue streams could create a credible path towards 20-30% ROIC.

Initiating on CoreWeave (Outperform, $192 TP) and Nebius (Neutral, $255 TP)

We initiate on two leading neocloud vendors: CRWV at Outperform (see link) where we see potential for ‘catch up’ should compute scarcity remain intact, and Nebius at Neutral (see link), despite a fundamentally positive outlook, as we see a more balanced risk / reward near term. We also remain Outperform on MSFT & ORCL and increase our ORCL TP to $283 (vs. $208 before).

CoreWeave (+)		Key metrics**	12/26e	12/27e	12/28e	12/29e
01 Jun 2026	CRWV US	EPS, Adjusted (USD)	(5.08)	(4.33)	0.14	9.31
Closing Price*	USD124.8	P/E (x)	-	-	-	13.4
Target Price	USD192	Net yield (%)	0.0	0.0	0.0	0.0
Upside	54%	FCF yield (%)	(36.5)	(47.3)	(38.1)	(24.4)
Mkt cap	66.1bn	EV/Sales (x)	8.3	5.5	4.0	2.8
ESG Rating		EV/EBITDA (x)	16.4	9.5	6.5	4.5
Country	USA	EV/EBITA (x)	-	62.1	29.0	14.7
Sub sector	Software	Net Debt/EBITDA, Adj. (x)	6.5	5.1	3.7	2.7

Nebius Group (=)		Key metrics**	12/26e	12/27e	12/28e	12/29e
01 Jun 2026	NBIS US	EPS, Adjusted (USD)	(3.54)	(6.94)	(4.38)	4.23
Closing Price*	USD264.5	P/E (x)	-	-	-	62.5
Target Price	USD255	Net yield (%)	0.0	0.0	0.0	0.0
Downside	4%	FCF yield (%)	(28.0)	(38.0)	(40.3)	(34.6)
Mkt cap	67.4bn	EV/Sales (x)	22.7	7.4	4.6	3.2
ESG Rating		EV/EBITDA (x)	66.9	14.3	8.0	5.5
Country	USA	EV/EBITA (x)	-	-	67.1	25.0
Sub sector	Software	Net Debt/EBITDA, Adj. (x)	14.6	5.8	4.2	3.2

Microsoft (+)		Key metrics**	06/26e	06/27e	06/28e	06/29e
01 Jun 2026	MSFT US	EPS, Adjusted (USD)	17.2	20.0	23.9	28.9
Closing Price*	USD460.5	P/E (x)	26.7	23.0	19.3	15.9
Target Price	USD555	Net yield (%)	0.8	0.9	1.0	1.1
Upside	21%	FCF yield (%)	1.9	0.6	1.9	3.0
Mkt cap	3,415.6bn	EV/Sales (x)	10.1	8.6	7.0	5.8
ESG Rating		EV/EBITDA (x)	17.4	14.1	10.9	8.6
Country	USA	EV/EBITA (x)	21.2	18.2	15.1	12.4
Sub sector	Software	Net Debt/EBITDA, Adj. (x)	-	-	-	-

Oracle Corporation (+)		Key metrics**	05/27e	05/28e	05/29e	05/30e
01 Jun 2026	ORCL US	EPS, Adjusted (USD)	6.27	8.49	13.90	18.46
Closing Price*	USD248.2	P/E (x)	39.6	29.2	17.8	13.4
Target Price	USD283	Net yield (%)	0.8	0.8	0.8	0.8
Upside	14%	FCF yield (%)	(4.5)	(3.3)	1.9	4.6
Mkt cap	758.0bn	EV/Sales (x)	9.9	7.1	5.1	4.1
ESG Rating		EV/EBITDA (x)	19.9	14.4	9.9	7.6
Country	USA	EV/EBITA (x)	29.7	22.8	14.9	11.3
Sub sector	Software	Net Debt/EBITDA, Adj. (x)	3.0	2.5	1.6	1.0

** Closing prices at 1 June - Historical periods use average historical prices*

*** All valudation metrics based on adjusted figures*

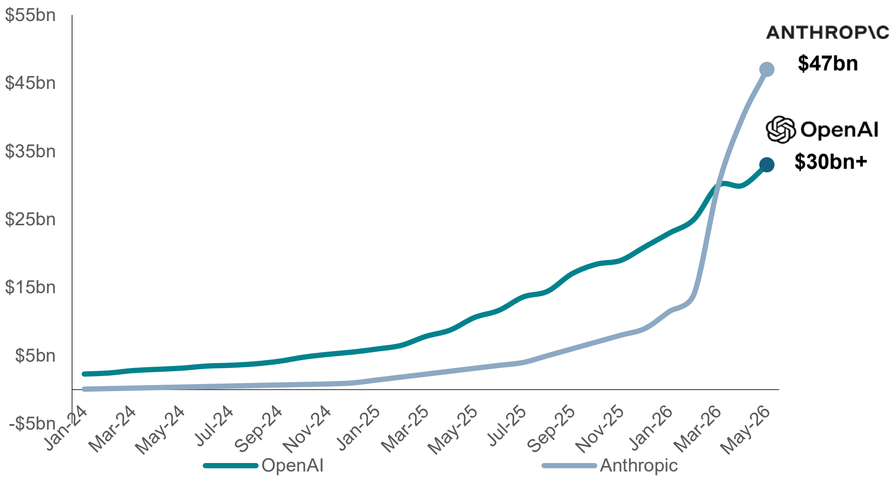
Contents

The OpenAI (& Anthropic) impact series

Today we publish the third report in our fundamental deep dive series looking at the impact that AI labs, namely OpenAI and Anthropic, are having on parts of the Software sector. The two AI labs now combine for Annualized Recurring Revenue of $80bn, up from just $30bn at the end of 2025 (see chart below). This explosive growth has created a new round of pressure on those companies perceived to be at threat (namely in the Software sector) either due to concerns around replacement risk, or simply software budgets being crowded out by the need to spend on tokens.

Figure 1: Anthropic and OpenAI now account for ~$80bn ARR, capturing the vast majority of token economics thus far

Anthropic and OpenAI Annualized Recurring Revenue (ARR)

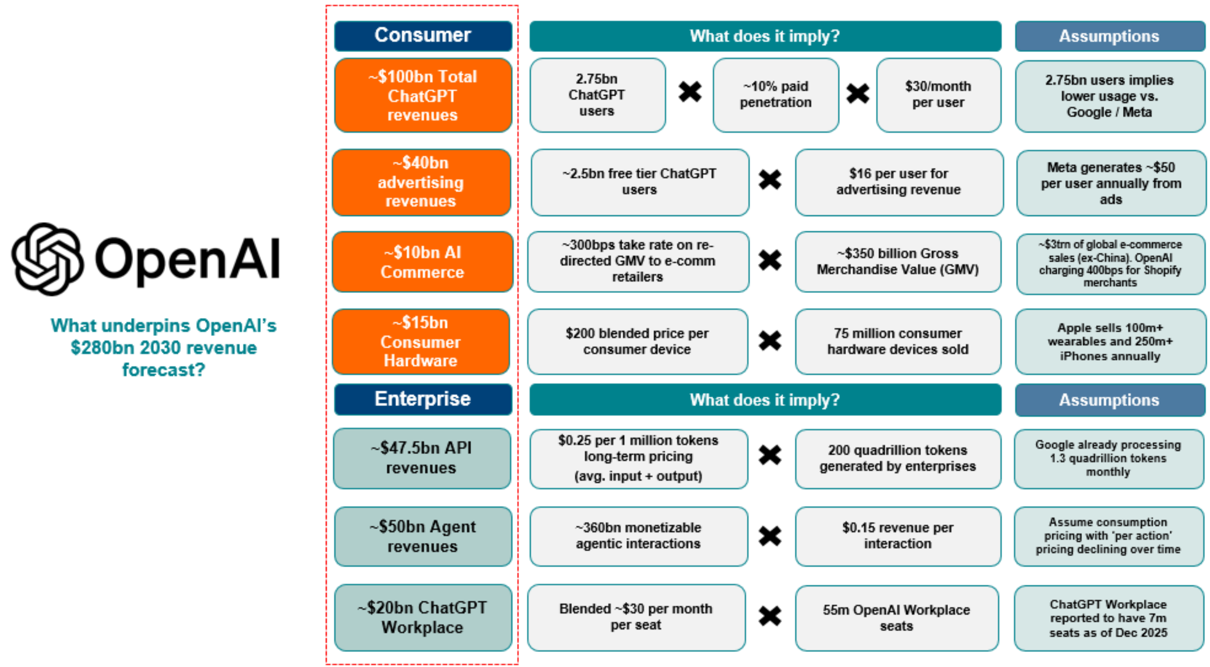


Source: The Information, OpenAI, Anthropic, BNP Paribas Equity Research estimates

In our first report, The OpenAI Effect: Microsoft Impact, we introduced an OpenAI business overview including detailed modelling and forecasting (revenue, margins, cash flow) for OpenAI in order to determine the potential impact on Microsoft's growth, profitability and cash flow estimates (see updated OpenAI revenue build below). We also outlined the potential computing needs for OpenAI, from both a model training standpoint as well as for inference to support its growth ambitions.

We identified the potential to see Microsoft accelerate revenue growth from the current mid-teens level to high teens (see 2nd chart below) as Azure growth accelerates sustainably into the 40%+ range aided by OpenAI related capacity coming online, as CoPilot improves and as Microsoft benefits from its OpenAI revenue share.

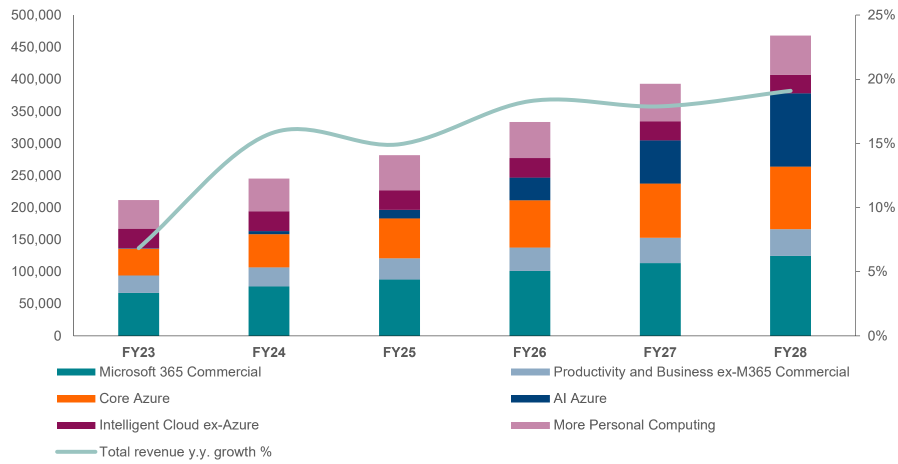
Figure 2: OpenAI's $280bn of revenues by 2030 requires $150bn from ChatGPT Consumer (ChatGPT subscription and free user monetization), $15bn from Consumer Hardware, and ~$120bn from Enterprise



Source: The Information reporting on OpenAI financial projections. E-marketer for global e-commerce sales. Company reports, Bloomberg Consensus, BNP Paribas estimates

Figure 3: We saw potential for Microsoft's group-level revenue growth to accelerate from 15% in FY25 to ~20% by FY28

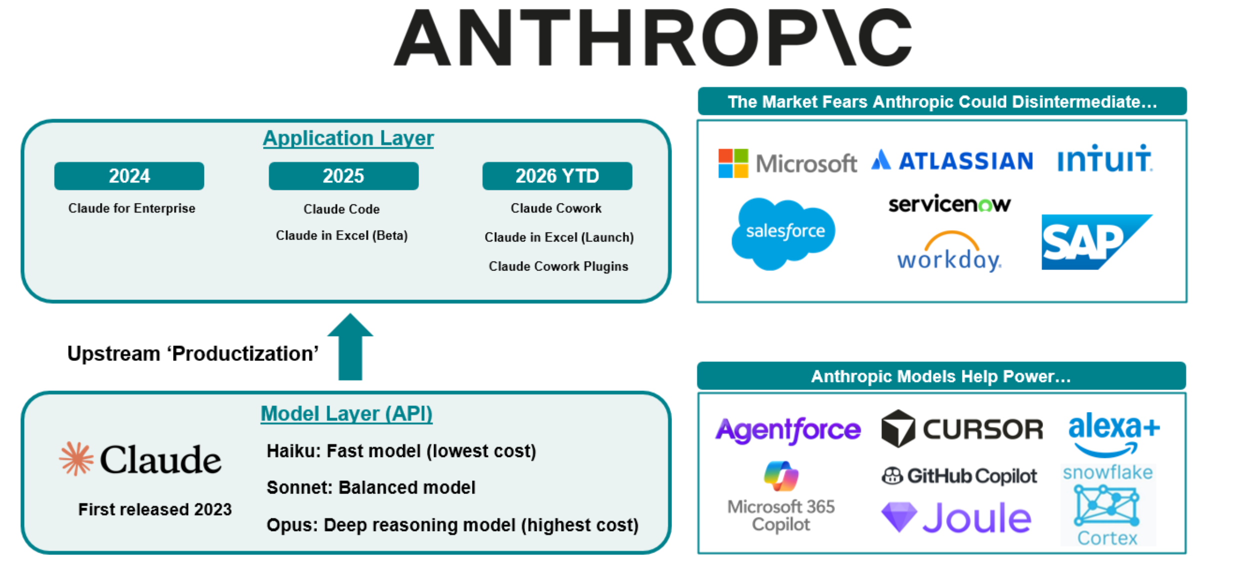
Microsoft revenue segments (USDm) and total revenue y.y. growth



Source: Company reports, BNP Paribas Equity Research estimates

In our second report in March, [The OpenAI Effect: SaaS Apps Impact](), we analyzed OpenAI and Anthropic's move up the stack into horizontal and vertical applications leveraging their leading models (see Anthropic example below). We walked through the five most significant concerns and challenges facing incumbent software companies, but also identified potential catalysts that could revive some confidence in the incumbents.

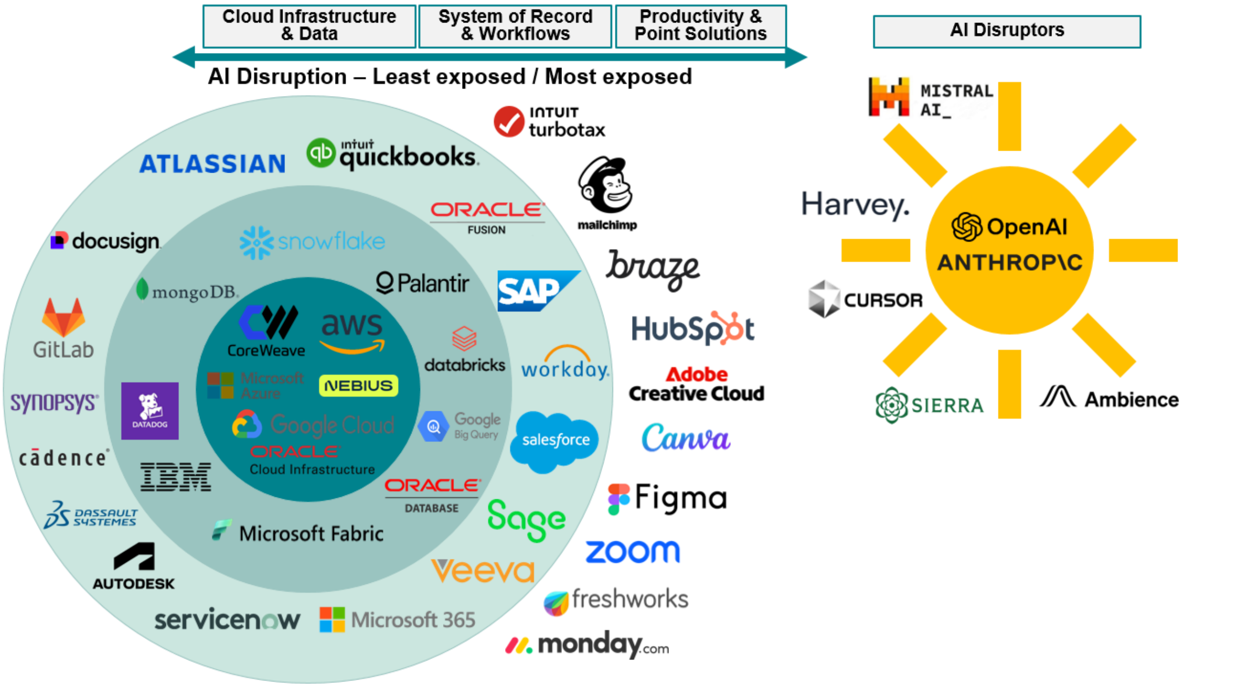
Figure 4: Anthropic appears to be introducing more products around workflows traditionally serviced by incumbent SaaS vendors



Source: Company reports, BNP Paribas Equity Research

We turned more positive on the Software sector at that time after the sell off in Q1, initiating on Atlassian Outperform (see [Don't count this TEAM out]) and upgrading ServiceNow to Outperform for the first time in three years (see [Opportunity emerging NOW]). And as can be seen below, we identified those products and companies that we saw as most and least exposed to potential AI disruption. We believe we have seen some companies in the more protected data and observability layer performing better (namely Datadog and Snowflake) while some products most exposed to the 'AI sun' have been burned (namely Intuit's TurboTax and MailChimp).

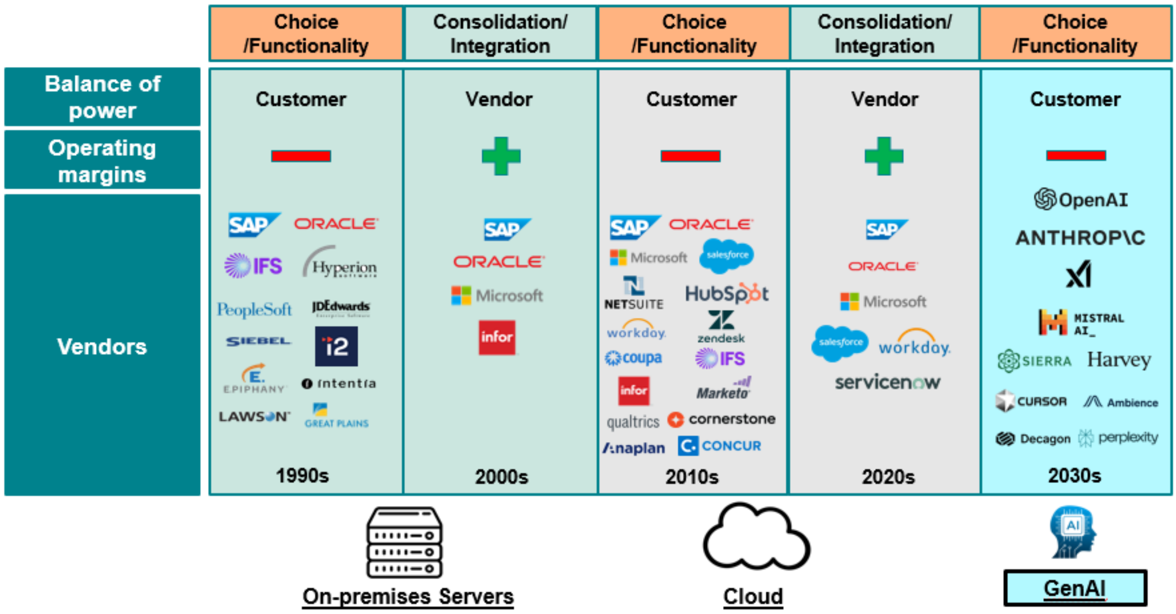
Figure 5: We see varying level of AI disruption risk across the broader software space, with the infrastructure (hyperscalers) and data platforms being most insulated, with 'point solution' applications flying more dangerously close to the AI sun.



Source: Company reports, BNP Paribas Equity Research

We also identified GenAI as the latest technology platform shift (see below) impacting Software application providers, resulting in the need to invest more in R&D, and the need to acquire to add technology capabilities, while competition for hiring heats up with AI start ups, and as customers using new alternative to inflict pricing pressure no incumbents.

Figure 6: We are exiting the 'Suite' part of the software cycle as the AI platform shift has introduced several new entrants to the sector



Source: Company reports, BNP Paribas Equity Research estimates

After analyzing the SaaS layer, we now dive deeper into the AI IaaS (infrastructure and related software) layer. We look further into the compute needs for both Anthropic and OpenAI and identify key trends as enterprises also begin to increase their demand for AI infrastructure. Having conducted significant research on the hyperscaler providers over the past 12 months, today we extend our research and our coverage to the specialist AI infrastructure providers, namely the 'neoclouds' Coreweave and Nebius.

For context, **the 'neoclouds' represent a new class of AI infrastructure providers focused almost exclusively on delivering GPU compute for training and inference workloads.** Unlike the hyperscalers, which operate broad cloud platform spanning compute, storage, databases, security, and several other enterprise services, the neoclouds provide access to GPU capacity (which is increasingly important during periods of GPU scarcity), and offer tools / services to help maximize GPU performance and utilization for AI-native customers (notably AI startups / technology companies and frontier AI labs).

Figure 7: Comparison between the hyperscalers and 'neoclouds'

Traditional Hyperscalers

Google, amazon, Microsoft, ORACLE

- Full-stack Cloud provider, spanning CPU Cloud, GPU Cloud, Platform services, and software services
- Strong presence with traditional enterprise customers, although also provide infrastructure for leading AI labs
- Strong cash flows historically, and able to largely self-fund the infrastructure buildout (Oracle is an exception)
- Global datacenter footprint

'Neoclouds'

CoreWeave, NEBIUS, Lambda, Crusoe, IREN, Fluidstack

- Specialized GPU cloud providers focused on renting GPUs to both hyperscale customers and AI-natives
- Strong presence with AI-native customers as their software platform helps customers optimize AI workloads
- Getting preferential GPU allocation as Nvidia looks to diversify the customer base / ecosystem. Neoclouds not developing THEIR own GPUs (unlike NVIDIA's hyperscaler customers)
- Datacenter buildout is largely debt-financed with unique financing structures
- Regional datacenter footprint, focused on securing power / capacity wherever it's available

Source: Company reports, BNP Paribas Equity Research estimates

In this report, we outline how we believe CoreWeave and Nebius will be beneficiaries as AI Cloud compute and consumption matures. We see OpenAI and Anthropic already planning on taking capacity from ~3GW in 2025 to ~50GW in the mid-term with announced contracts alone. In addition, we see an expansion of the subset of companies requiring AI compute to more traditional enterprises (and not just AI labs and Hyperscalers), but also expanding the services provided by the AI infrastructure providers, driving higher ROIC on the infrastructure investment over time.

Within AI infrastructure, we continue to find the hyperscalers attractive, particularly Microsoft and Oracle (both Outperform). Both benefit from deep enterprise relationships, broad cloud portfolios, and the ability to capture value across infrastructure, platform, and application layers. As token usage extends beyond the frontier labs, we believe these attributes position them to drive superior long-term ROIC. Within this context, we maintain our Microsoft Outperform rating and $555 TP. On Oracle, we also remain Outperform and increase our TP to $283 (vs. $208 previously) using a 30x P/E on our FY28 EPS estimate (vs. 22x previously), which reflects our increased confidence in the ROIC of the company's AI infrastructure buildout (and still implies only 13.5x 2030 P/E).

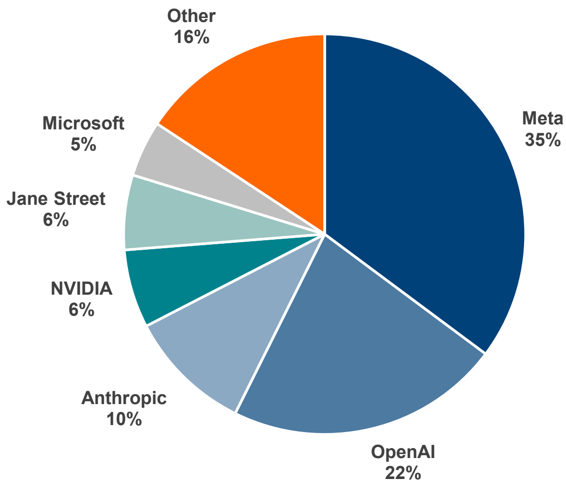
In conjunction with this report, we also initiate on the neocloud space, including Nebius (Neutral) and CoreWeave (Outperform). While we remain constructive on secular AI demand, we view the risk / reward with Nebius as more balanced at current levels. The stock has emerged as one of the market's preferred vehicles for expressing the compute scarcity trade given its exposure to shorter-duration contracts, driving a substantial re-rating YTD, even relative to CoreWeave.

In our view, **expectations now embed continued tightness in GPU markets and rising infrastructure monetization**, leaving the Nebius shares increasingly exposed should investors (rightly or wrongly) view the token optimization trend as a headwind. As for CoreWeave, we are constructive where the company's differentiated positioning in serving AI-native customers and greater exposure to long-duration 'take or pay' fixed price contracts could support a 'catch up' trade if enthusiasm around AI infrastructure remains intact.

CoreWeave Investment Summary

– We view CoreWeave as one of the most strategically important companies within the AI infrastructure ecosystem. As the largest 'neocloud' platform, the company has established itself as a preferred infrastructure partner for many of the industry's leading AI companies while building what we believe is a differentiated software and cloud stack optimized specifically for AI workloads. The company's combination of scale, contractual revenue visibility, differentiated software capabilities, and growing efforts to move up the AI value chain through managed inference services positions likely positions the company well longer-term. We view CoreWeave as a strategically important partner within the NVIDIA ecosystem, with the GPU supplier likely incentivized to maintain a diversified set of scaled AI infrastructure providers beyond the hyperscalers. While CoreWeave's stock isn't without risks, we see scope at least for a potential 'catch up' trade should management deliver against its growth plan.

Figure 8: CoreWeave's estimated revenue backlog split amongst customers

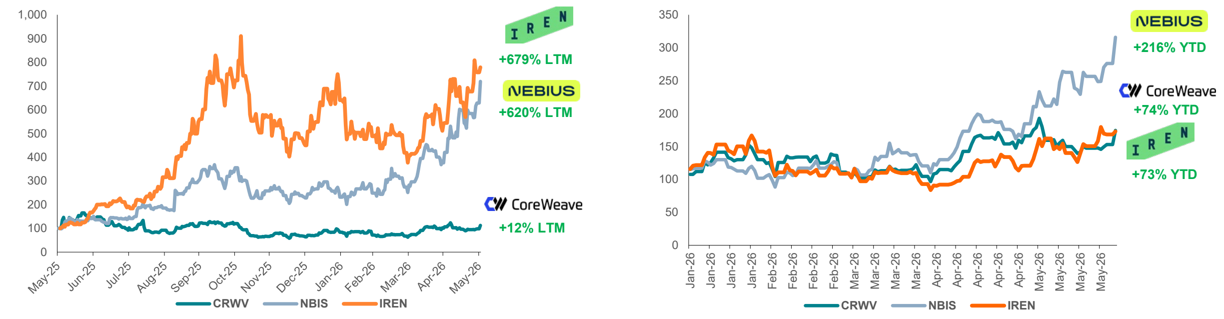


Source: Company reports, BNP Paribas Equity Research estimates

– We believe CoreWeave's relative discount to neocloud peers reflects greater skepticism around execution. A mixed history of delivering against guidance/consensus has caused investors to assign a greater degree of execution risk to the story. In turn, we believe consistent execution against capacity deployments and evidence of the mechanical profitability ramp should be sufficient for the shares to re-rate from here as confidence grows in the trajectory of underlying fundamentals.

Figure 9: CoreWeave shares have lagged that of Nebius and IREN (not covered) on a last 12 month and YTD basis

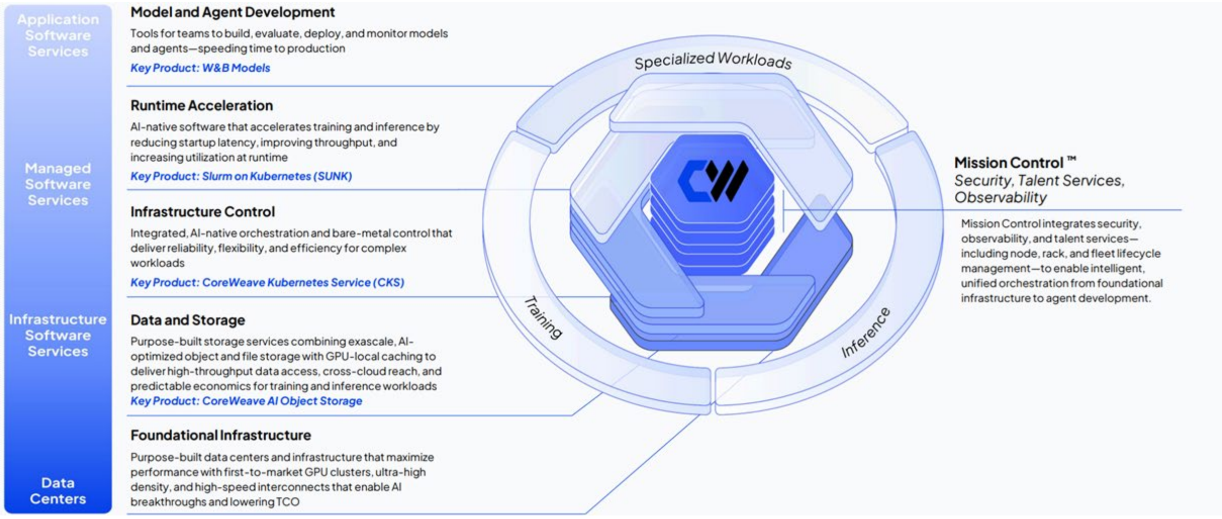
CoreWeave vs. Nebius / IREN share price performance - LTM | CoreWeave vs. Nebius / IREN share price performance - YTD



Source: BNP Paribas Equity Research estimates, Bloomberg

– Up 'just' 70% YTD, we see catch up potential for CoreWeave, which we value assuming the company reaches ~8 GW of installed AI infrastructure capacity (as outlined by management's LT outlook), monetized at $15bn / GW. We then assume a steady-state FCF margin after maintenance capex and apply a 14x FCF multiple, discounted back. In turn, we arrive at our $192 TP, implying 50%+ upside to the current share price. We initiate with an Outperform.

Figure 10: CoreWeave AI Cloud stack



Source: Company reports

Nebius Investment Summary

– We believe Nebius' AI cloud platform strategy appears increasingly sensible given its growing focus on inference workloads and vertically integrated open-source model deployment. As enterprises look to prioritize token optimization and cost efficiency, we believe open-source adoption could accelerate, potentially benefitting Nebius longer term through 1) a more diversified large-scale customer base (including stateless API providers and enterprises becoming direct consumers of GPU compute), and 2) Nebius' Token Factory offering high-performance open-source models with native tooling to run these models efficiently. Effectively, Nebius' AI Cloud platform is more akin to a hyperscaler platform like Amazon Bedrock or Azure AI Foundry (see overview below).

Figure 11: Nebius' AI Cloud Aether 3.5 vs. Microsoft Azure AI Foundry

	NEBIUS	Microsoft Azure
Agent Runtime	AI Factory Stack with DataRobot (third-party managed agent platform for enterprises)	Foundry Agent Service (first party application)
Inference Platform	Nebius Token Factory + Eigen AI (model level inference optimization)	Third-party (i.e. Fireworks AI, NVIDIA TensorRT LLM) or open-source reliance
API / Model access	Open-source model access, but no 1P frontier closed models	Extensive library of both closed-source frontier models and open-source models
Search / Grounding	Tavily agentic search – real time web search for AI agents	Azure AI Search (1P database support for data retrieval) and Bing for web search
IaaS	Managed Soperator (Slurm on Kubernetes) + Serverless AI (Nebius operated AI infrastructure)	Azure ML, Azure Kubernetes Service (AKS), Container Applications
Hardware	NVIDIA GPU systems (Hopper, Blackwell, Rubin) + some AMD / Intel CPU servers	NVIDIA GPU systems + 1P and 3P CPU servers + MAIA 1P ASIC for AI

Source: Company reports, BNP Paribas Equity Research estimates

– But we believe execution could be more challenging as Nebius moves from smaller scale deployments to larger datacenter campuses, while future capital raises increasingly embed asset backed financing structures carrying higher interest costs. We also see risk that the market misinterprets growing discussion around token optimization as evidence of moderating compute demand, even if the long-term impact proves constructive for AI infrastructure. Given Nebius' positioning as a compute scarcity beneficiary, we believe the shares could be disproportionately impacted by any shift in the narrative.

– **We initiate on Nebius with a Neutral with the stock trading just above our TP.** We value Nebius assuming the company reaches ~6 GW of installed AI infrastructure capacity, monetized at $15bn / GW. We then assume a steady-state FCF margin after maintenance capex and apply a 14x FCF multiple, discounted back, and embed Nebius' stake in ClickHouse as of its recent funding round (25% of $15bn valuation).

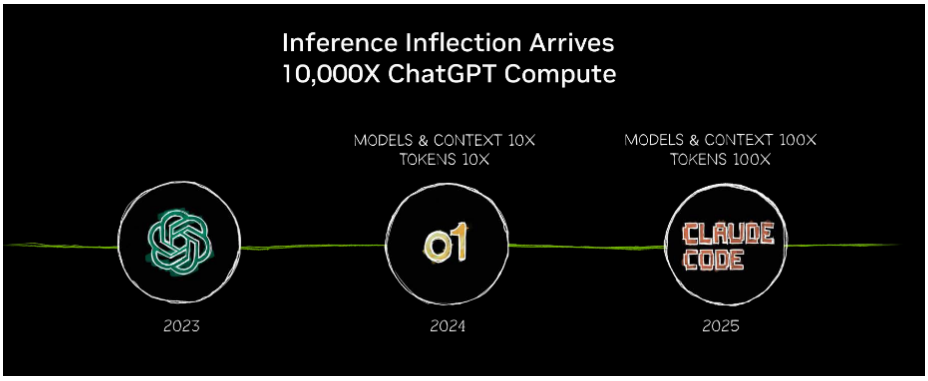
The OpenAI and Anthropic Effect on AI Infrastructure

OpenAI extending its compute lead while Anthropic accelerates to close the gap

We believe the competitive dynamic between OpenAI and Anthropic is increasingly showing up at the infrastructure layer as the companies battle for access to compute. We find the frontier AI labs today are no longer simply API / model providers as they rapidly evolve into full-stack application companies, with exposure spanning both the consumer and enterprise. Moreover, the expansion beyond stateless inference (i.e. querying a chatbot) into persistent multi-step actions (i.e. AI agents) has also structurally increased the compute intensity per user.

In turn, **compute demand has grown exponentially as the complexity of the frontier AI labs' products rises**. Against this backdrop, access to scalable and diversified AI infrastructure has emerged as a primary determinant of growth and, to a greater extent, competitive positioning amongst the two leading AI labs (OpenAI and Anthropic).

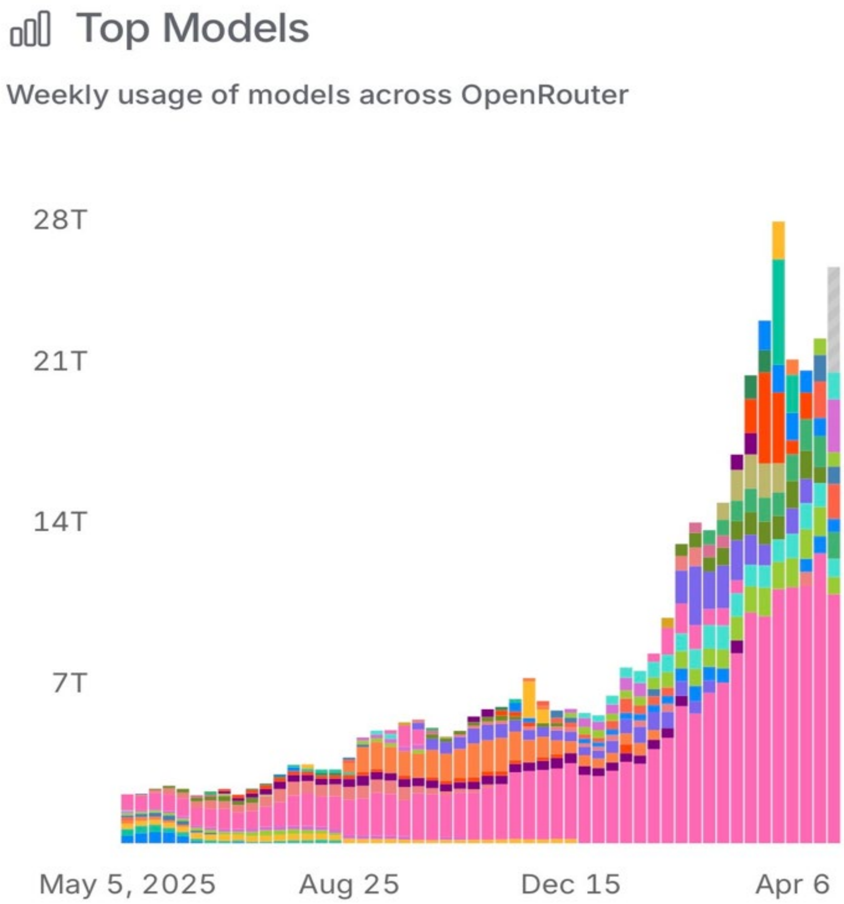
Figure 12: Token intensity is sharply rising as we move from chatbot querying to agentic AI that can take multi-step actions (with coding as a prime example)



Source: NVIDIA GTC 2026 Presentation

> *'AI was defined by training. Now it is defined by inference. Models reason, agents use tools, and every interaction generates tokens continuously at scale. Inference is no longer episodic – it is persistent, compounding, and driving exponential compute demand. This is the inflection point.'*
>
> **NVIDIA GTC 2026 Presentation**

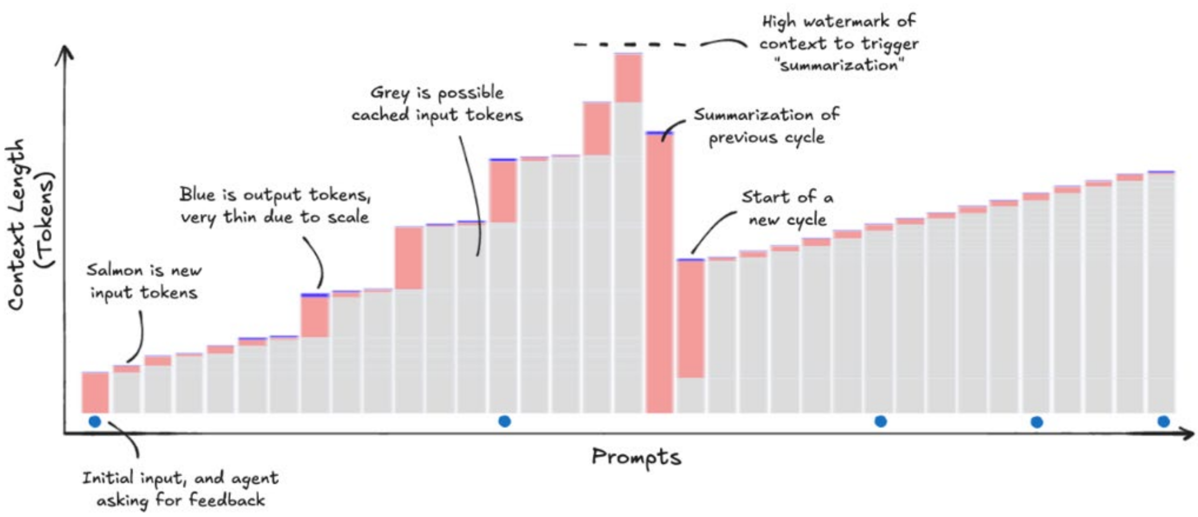
Figure 13: Token usage on OpenRouter (proxy for individual developer ecosystem) has sharply risen YTD, driven by the rise of agentic AI



Source: OpenRouter

Figure 14: Agentic AI is changing inferencing to become much more token intensive as the agents need to store more memory (in the form of cached tokens) to have the necessary context to perform actions autonomously

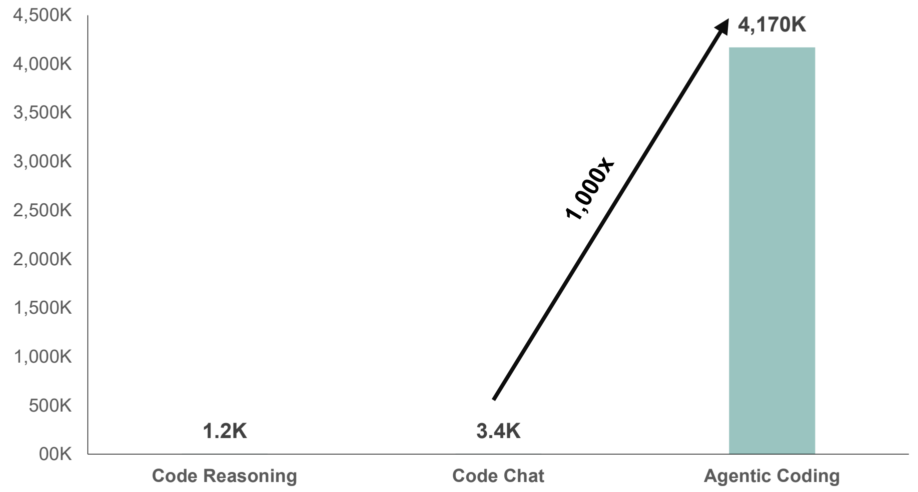
Token usage for an AI Agent – salmon = input token (i.e. the prompt), blue = output tokens (i.e. the response / action), and grey = cached tokens (i.e. storing the memory / context)



Source: Callan Fox LinkedIn Post

Figure 15: Agentic tasks could require 1000x more tokens than prior AI tasks

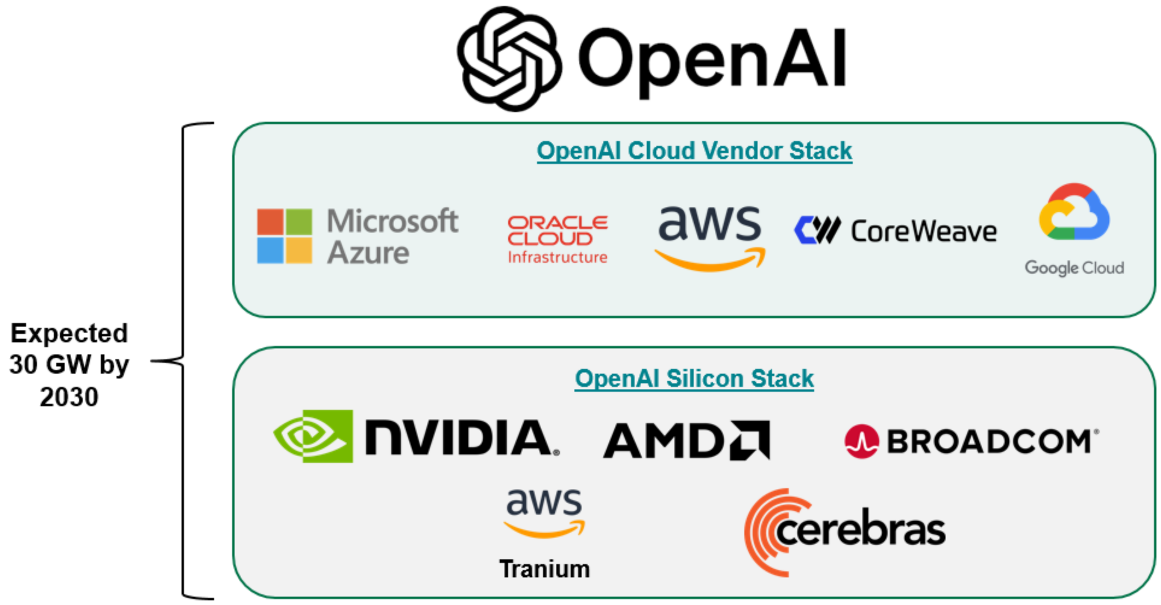
Token consumption per coding task



Source: MIT Paper: How do AI Agents spend your money? Analyzing and Predicting token consumption in agentic coding tasks. Note: Code Reasoning refers to single-turn problem solving without tool interaction. Code Chat is a multi-turn dialogue about a coding problem.

Within this context, **we view OpenAI as having pursued a distinctly aggressive capacity-first strategy.** The company effectively raced to secure supply at the beginning of 2025, highlighted by its announcement of the Stargate Project (targeting 10 GW of compute). Importantly, **OpenAI has now built what appears to be the most diversified infrastructure stack,** spanning multiple cloud providers (Azure, AWS, GCP, Oracle, and Coreweave) and silicon platforms (NVIDIA, Broadcom, AMD, and Cerebras).

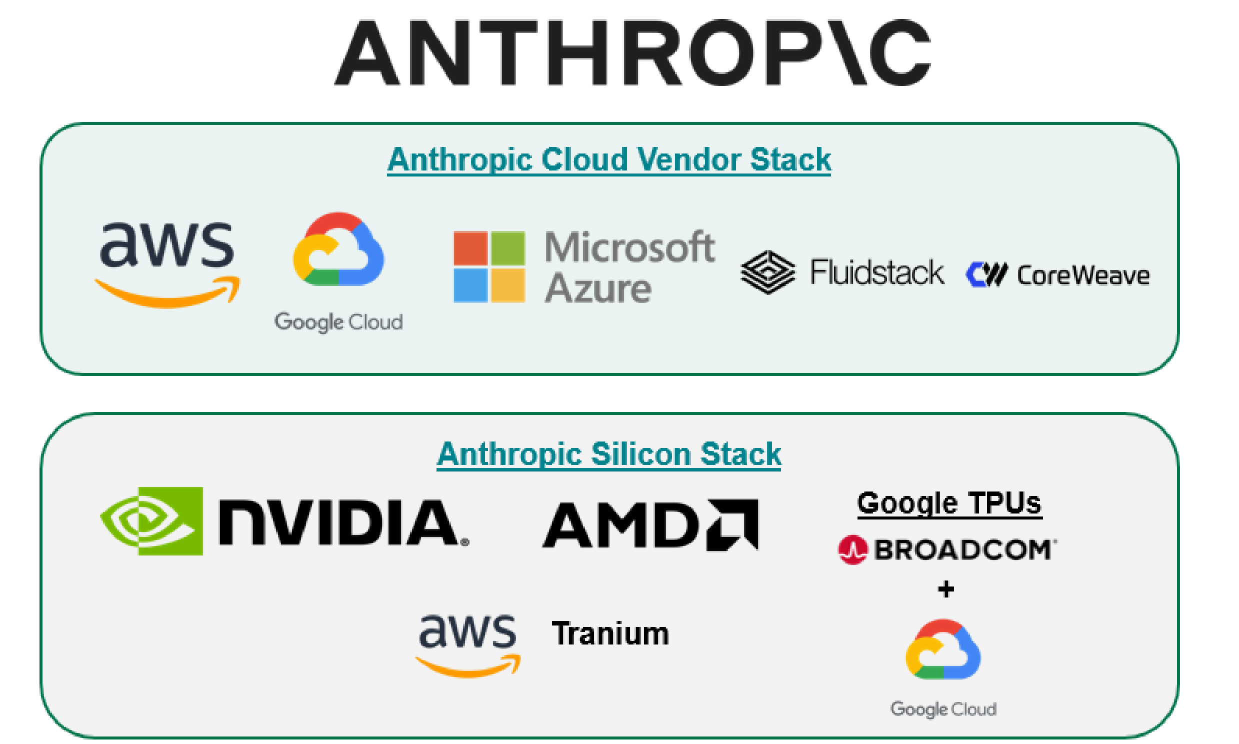
Figure 16: OpenAI expects to bring online 30 GW by 2030 with its key cloud and hardware partners



Source: OpenAI, BNP Paribas

By contrast, **Anthropic's historical approach to infrastructure was more disciplined and the company was less aggressive in locking in long-dated capacity**. We believe this approach was well received by the market at the time given the concerns around capital intensity, return on invested capital, and risk of overbuilding compute supply. We note Anthropic's infrastructure stack today is also diversified as the company maintains deep partnerships with Amazon and Alphabet, with the company especially making meaningful use of Google's TPU and Amazon's Tranium chips. Coupled with Anthropic's $30bn commitment to Microsoft Azure in November 2025, the company also had exposure to all three major cloud providers entering into 2026, although at a smaller scale than OpenAI.

Figure 17: Anthropic's cloud and silicon / hardware stack

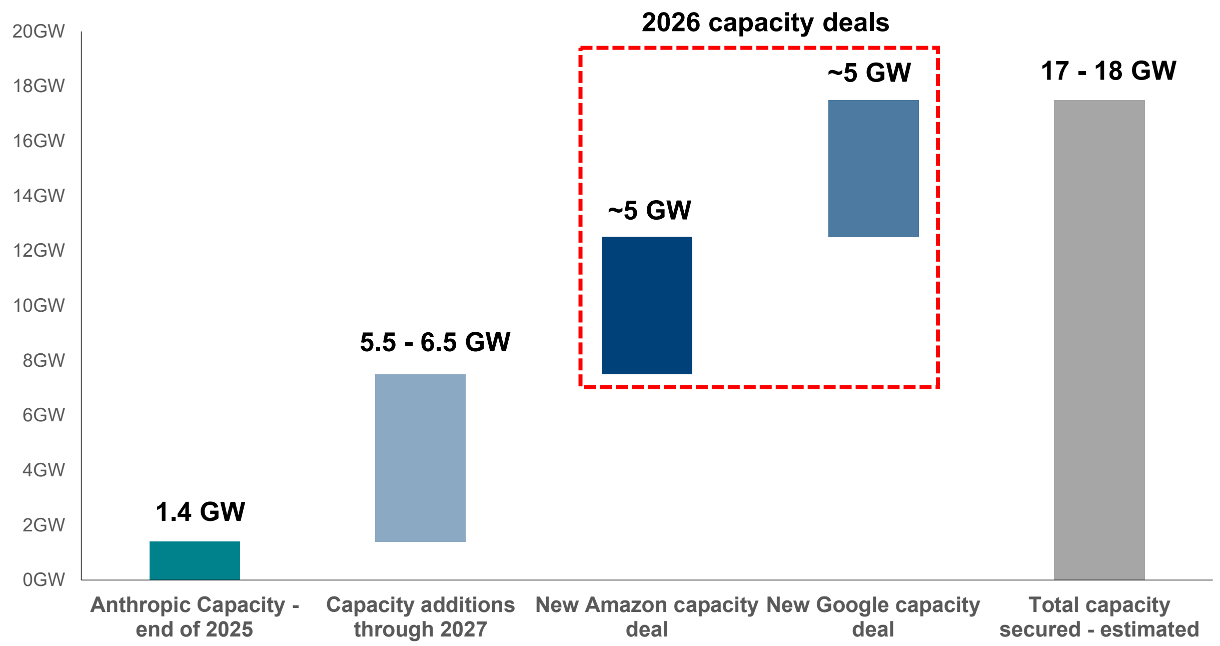


Source: Anthropic, BNP Paribas Equity Research estimates

However, **the market narrative shifted in H1'26 as investors began recognizing that access to compute itself is a competitive moat.** Persistent shortages in AI infrastructure combined with accelerating demand from AI agents and enterprises reinforced the idea that growth is ultimately gated by capacity rather than demand. In turn, **OpenAI's early move to secure large-scale infrastructure may ultimately provide advantageous,** enabling faster time to market for new models / products, more reliable service levels, and a greater ability to monetize high-demand workloads.

At the same time, **we also saw clear evidence that Anthropic is accelerating its own infrastructure buildout** in response. Notably, the company recently expanded its relationship with both Amazon and Alphabet / Broadcom, likely securing an additional 5 GW of capacity from each partner over time. Anthropic also recently signed a multi-year agreement with Coreweave for an undisclosed amount, representing another foray in partnering with neoclouds for access to compute (as we saw with Anthropic's Fluidstack partnership last year). We view these developments as tangible evidence that Anthropic is now moving quickly to lock-in supply, shifting from a more measured approach previously.

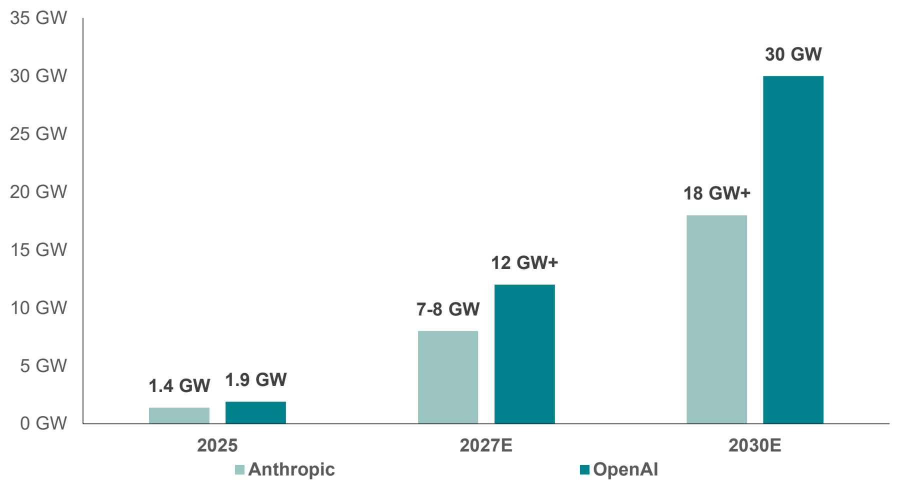
Figure 18: We estimate Anthropic secured ~10 GW of new capacity with its recent Google and Amazon cloud deals. This excludes the company's agreement with Coreweave (capacity is undisclosed), suggesting Anthropic could now have nearly 20 GW of total secured capacity through 2030



Source: Anthropic, The Information, BNP Paribas Equity Research estimates

Figure 19: We estimate Anthropic and OpenAI could combine for 50 GW+ of AI infrastructure capacity by 2030

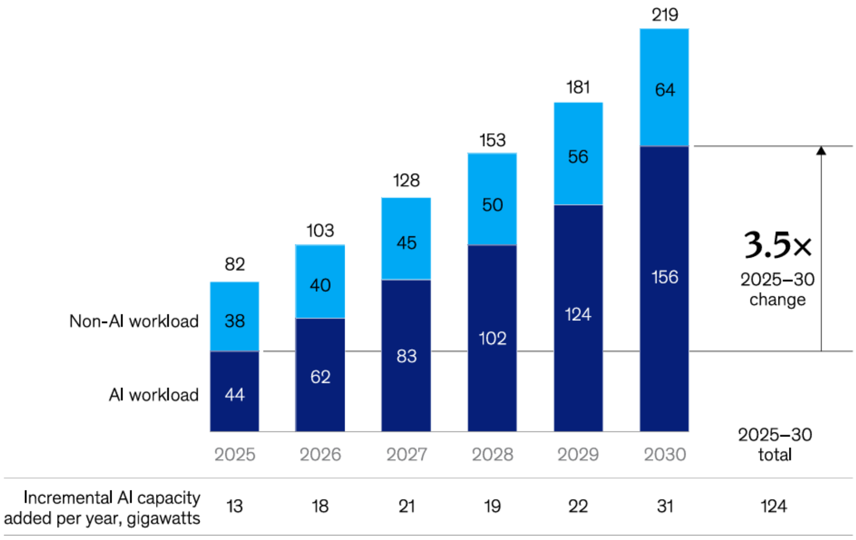
OpenAI and Anthropic capacity footprint – estimated



Source: CNBC, OpenAI, Anthropic, BNP Paribas Equity Research estimates

Figure 20: According to McKinsey datacenter capacity forecasts, OpenAI and Anthropic could account for roughly one-third of AI capacity

McKinsey global datacenter demand in GW



Source: McKinsey

From Tokenmaxxing to Token Optimization

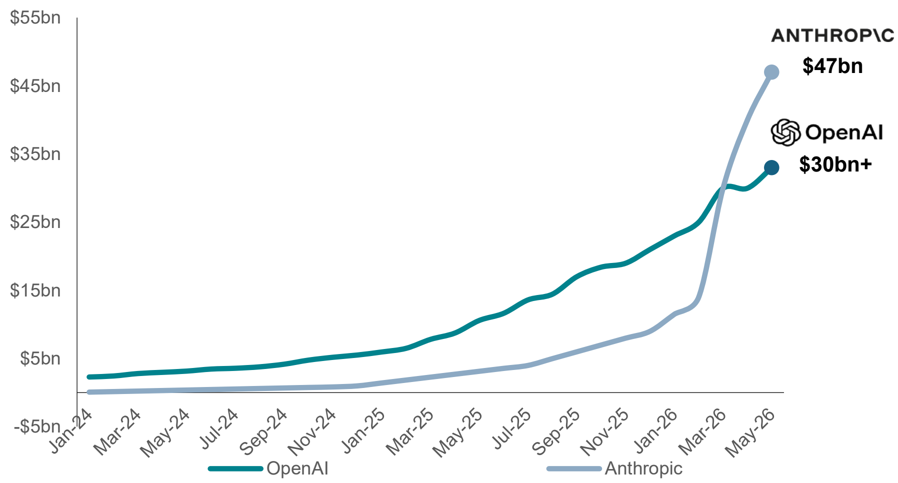
The first half of 2026 was defined by a sharp inflection in token consumption as agentic AI moved from concept to real deployments. The launch of products such as OpenClaw and Claude Cowork helped catalyze a new wave of usage, while a broader 'tokenmaxxing' phenomenon emerged as companies increasingly pointed to token usage metrics as evidence of their embrace of AI. The resulting surge in demand reinforced the compute scarcity narrative and drove meaningful stock outperformance across the AI hardware trade (SOXX Semiconductor ETF +90% YTD) and the AI cloud infrastructure pure-plays (notably Nebius +214% YTD and, to a lesser extent, CoreWeave +70% YTD).

Looking ahead, we believe the second half of 2026 may be characterized by the first meaningful token optimization cycle as enterprises increasingly scrutinize AI spend and seek lower-cost deployment alternatives. In this report, we examine the implications of token optimization for AI infrastructure and how the shift may ultimately improve AI infrastructure economics.

Thus far, **the overwhelming majority of AI economics have accrued to the leading frontier labs, with OpenAI and Anthropic alone approaching a combined ~$80bn of ARR as of May 2026**. In our view, this has been further amplified by the 'tokenmaxxing' phenomenon, where enterprises increasingly encouraged AI adoption through usage-based metrics, effectively incentivizing employees to consume as many tokens as possible as a proxy for AI engagement and organizational buy-in.

Figure 21: Anthropic and OpenAI now account for ~$80bn ARR, capturing the vast majority of token economics thus far

Anthropic and OpenAI Annualized Recurring Revenue (ARR)

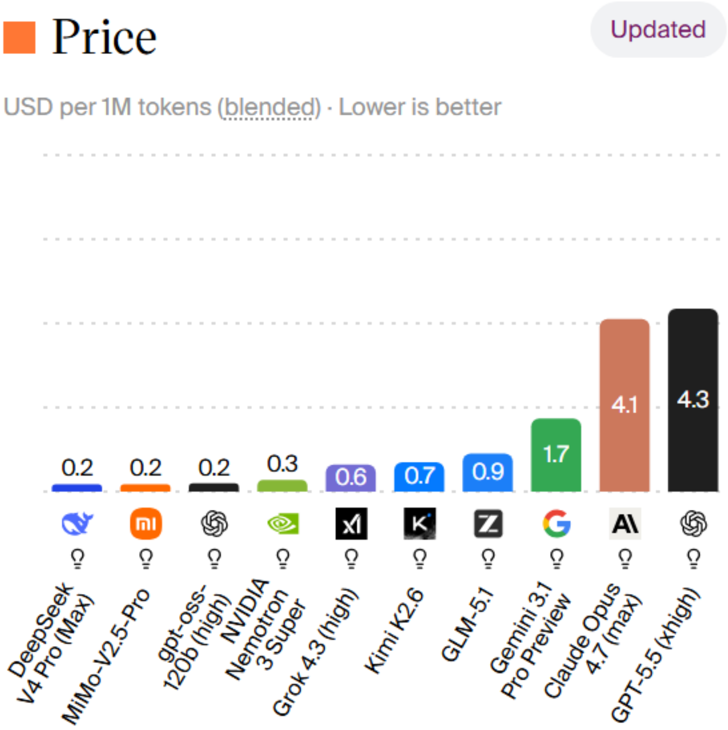


Source: The Information, OpenAI, Anthropic, BNP Paribas Equity Research estimates

However, **this dynamic has also coincided with a widening gap between the cost of frontier intelligence and competing open-source alternatives.** As illustrated below by Artificial Analysis, access to frontier-grade models remains meaningfully more expensive than open-source or open-weight alternatives.

Moreover, **rather than token costs compressing, pricing for leading frontier models appears to also be moving higher.** Most notably, the introduction of the GPT-5 family was accompanied by a roughly 2-3x increase in per-million token pricing relative to prior generation models, suggesting the frontier labs are also beginning to exert pricing power as demand remains robust and model performance continues to improve.

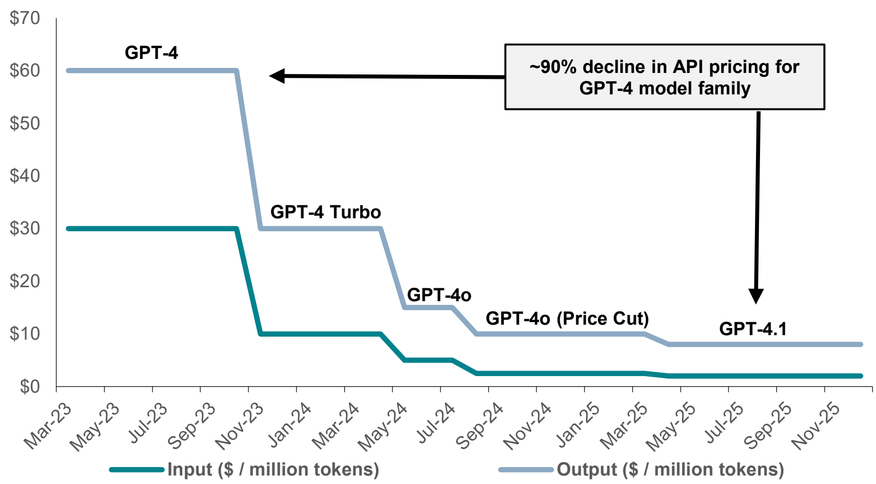
Figure 22: Token prices for leading Anthropic and OpenAI models are also meaningfully higher than competing open-source alternatives



Source: Artificial Analysis

Figure 23: Throughout much of the GPT-4 family of models, we saw model pricing (via the API) decline by 90%+ for frontier capabilities

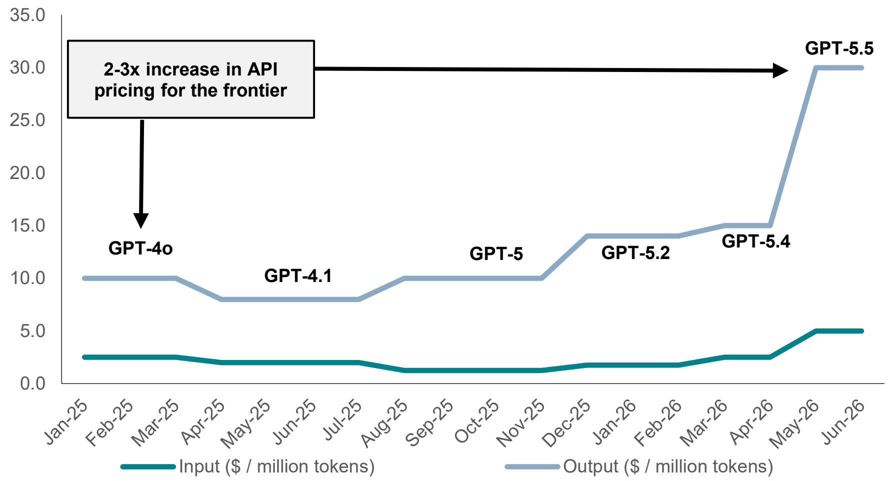
OpenAI GPT-4 API pricing ($ input / output per million tokens)



Source: OpenAI, BNP Paribas Equity Research estimates

Figure 24: However, we have recently seen model pricing climb higher as the AI labs exert some pricing power for frontier model capabilities

OpenAI frontier model API pricing ($ input / output per million tokens)



Source: OpenAI, BNP Paribas Equity Research estimates

As a result, **concerns around token budgets are becoming increasingly prominent**. Box CEO Aaron Levie recently noted that AI spending and token costs have become "the most heated topic" of discussion amongst Fortune 500 CIOs. **We are also beginning to see more frequent evidence of enterprises reassessing their own AI usage**, with companies like Uber that initially lauded their aggressive token usage now increasingly scrutinizing these costs. Our recent discussion with Accenture indicated they were increasingly working with customers to reduce token costs, helping one customer reduce costs by 25% and another by 40%.

It appears that while AI adoption remains a strategic priority, the current trajectory of token consumption may prove difficult to sustain indefinitely without a greater focus on efficiency.

Figure 25: Box CEO Aaron Levie highlights token cost management has become a 'heated topic' amongst enterprise customers

Aaron Levie @levie · 5/20/26

Token costs will become a dominant topic in enterprises going forward with AI. Just got out of a dinner with many Fortune 500 enterprise CIOs and this was the most heated topic.

A mix of strategies are being employed, but basically no one feels like they have the right solution. A mix of: figuring out how to prioritize workloads to different models, giving out access to better or worse agents by user type, setting different spend caps by team, having teams justify AI by their use-case, and some just having unfettered access.

Everyone is trying to figure out a semi/predictable model right now in a world where the underlying tech and cost models are constantly evolving.

Source: X post

A.I. spending has soared in the past year. Companies' average A.I. token spend has increased 13 times since January 2025, according to an index of 50,000 customers tracked by the financial start-up Ramp. **Those A.I. costs are still small as a portion of total spend, hovering at 1 to 2 percent, but are "growing so quickly that it is now incumbent on firms to find ways to control that cost**," Ara Kharazian, Ramp's lead economist, told DealBook.

Ramp Economist, New York Times / DealBook

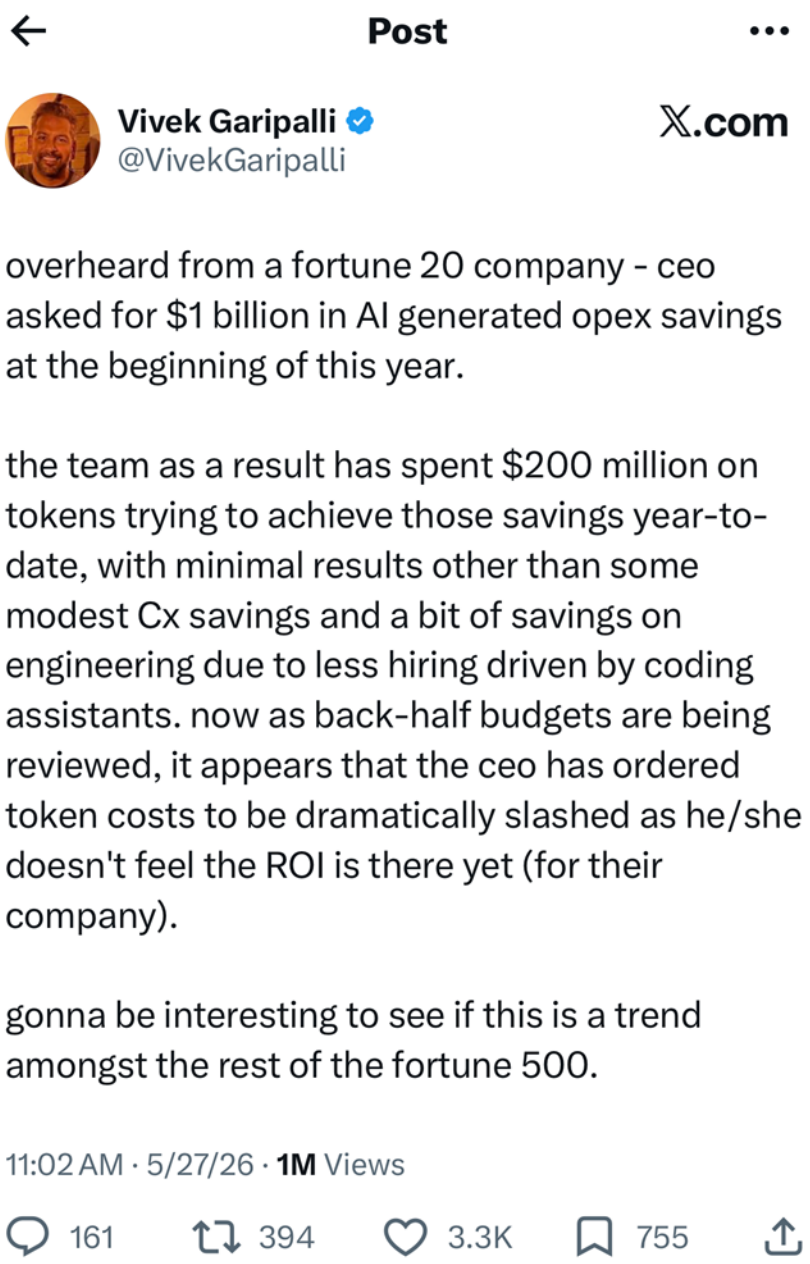
If you're not actually able to draw a direct line to how much useful features and functionality you're shipping to your users, [the costs become] harder to justify,

Uber COO on rising token costs and AI budgets

'At the end, we backtracked, and we said, '***No. Look, the most important thing in your performance is that you are doing whatever your job is as well as possible. A lot of times AI can help you with that.*** But if it can't, I'm not going to force you to do that.'

Duolingo CEO on removing AI usage as an employee performance metric

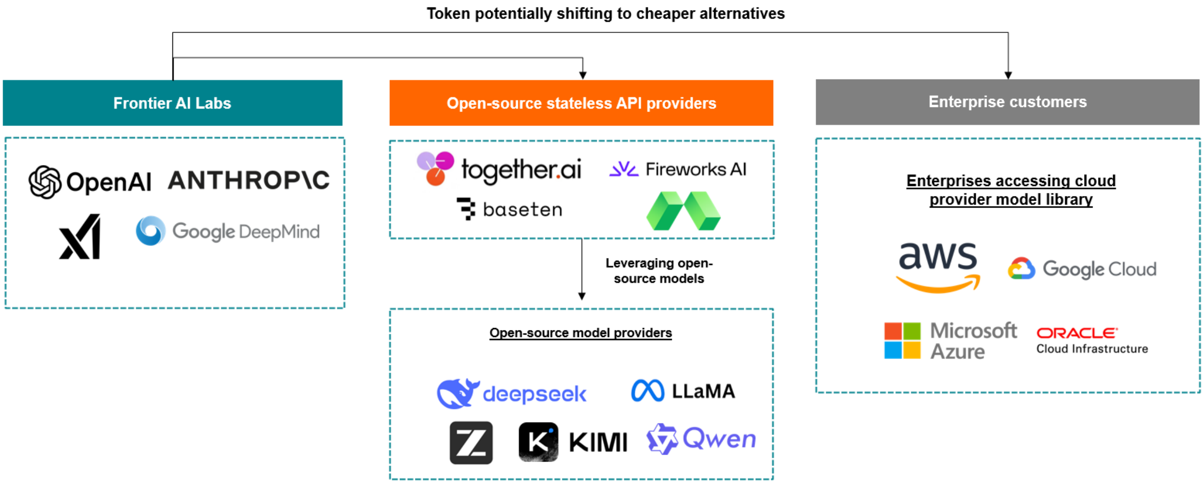
Figure 26: Venture investor's post (Wormhole capital) on Fortune 20 company's experience with managing token costs



Source: X posts on token optimization

We believe this sets the stage for the first meaningful token optimization cycle. While the market may initially interpret optimization as a negative for AI infrastructure demand, we view it as a natural maturation of the ecosystem. As enterprises seek to lower inference costs, we expect demand to increasingly incorporate open-source / open-weight models, either delivered through stateless inference providers (i.e. Baseten, Fireworks AI, Together AI, Modal, etc.) or direct deployments through their cloud infrastructure providers.

Figure 27: As companies potentially adopt lower cost alternatives to manage their token budgets, in addition to their usage of leading frontier models, we see the potential for a broadening customer base for GPU infrastructure, which is a positive longer term development for GPU infrastructure providers.



Source: BNP Paribas Equity Research estimates

In our view, **the Token Optimization we outline above broadens the customer base for AI infrastructure beyond a handful of frontier labs and creates a pathway for enterprises themselves to become direct consumers of GPU compute.** While such a transition could create near-term headwinds for the compute scarcity narrative, we believe it ultimately expands the addressable market for AI infrastructure and lays the foundation for a more diversified and durable demand base over time. We see this as a positive development for CoreWeave and Nebius, as leading neocloud providers, as they are able to expand their customer bases, and the services they offer.

While the near-term narrative may become more challenging, we note that **we do not view token optimization as inherently bearish for AI infrastructure**. Thus far, we note token demand has been disproportionately concentrated amongst the frontier AI labs willing to pay premium prices for compute. However, as enterprises increasingly focus on lowering inference costs, we expect adoption of open-source / open-weight models, stateless API providers, and self-hosted deployments to accelerate (as shown above). In our view, lower token costs should broaden the AI customer base, expanding demand beyond a handful of large AI labs.

Moreover, **we believe this shift could prove constructive for infrastructure economics over time**. As enterprise token usage proliferates beyond the AI labs, GPU clusters also become increasingly suitable for multi-tenant deployments rather than serving a small number of dedicated frontier customers. This creates opportunities for virtualization and the layering in of higher-value platform services to ultimately improve AI infrastructure ROIC (which we explore in detail in the following section).

Dissecting the ROIC of AI Infrastructure

It is well understood that **GPU cloud today generates lower returns on invested capital than the mature CPU cloud model.** Despite exceptionally strong demand for AI compute, the underlying economics of GPU infrastructure are still meager, we believe largely due to 1) the lack of workload diversification (frontier model training has been the dominant AI workload type up until now) and 2) GPU cloud still has a relatively nascent monetization model. By contrast, the CPU cloud market has evolved into a multi-layered stack spanning Infrastructure-as-a-Service (IaaS), Platform-as-a-Service (PaaS), and Software-as-a-Service (SaaS).

However, we believe there are signs that this dynamic is beginning to shift. **As AI workloads diversify beyond frontier training** into a broader mix of various inferencing workload types, AI cloud vendors could increasingly optimize their physical infrastructure **to improve monetization through higher cluster utilization and pricing segmentation**. Importantly, **the potential emergence of a broader customer base also makes multi-tenant GPU clusters more practical at scale,** allowing providers to pool demand across a diverse customer set rather than dedicating large GPU clusters simply to a handful of frontier labs.

At the same time, **we are beginning to see early signs of what a broader AI infrastructure platform stack could look like**, including workload management, model deployment, and agent frameworks layered on top of raw compute. Over time, we believe a combination of these elements (higher monetizable utilization for IaaS and broader adoption of PaaS / SaaS offerings) **could drive meaningfully higher revenue productivity per GW of deployed capacity.**

Diversification of customers serves as a key unlock for driving higher utilization of physical AI infrastructure and pricing segmentation

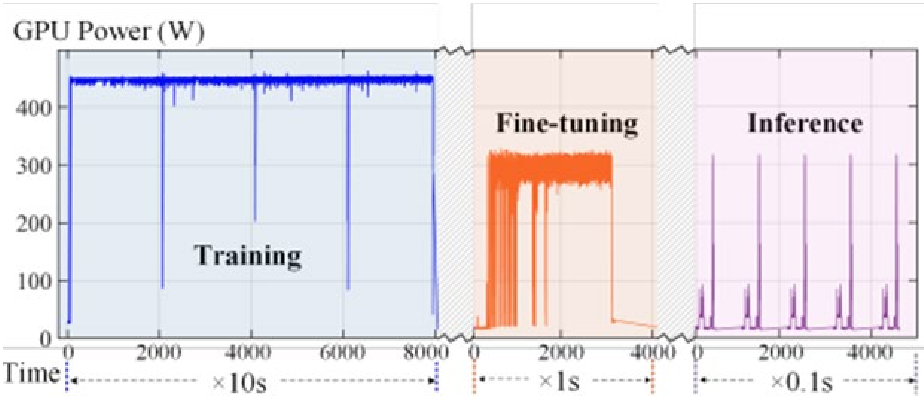
We believe one of the more underappreciated dynamics emerging in AI infrastructure is the increasing diversification of workloads beyond large-scale frontier model pre-training and, more recently, the potential for customer diversification. While the first phase of the generative AI cycle was dominated by long-duration training jobs for frontier AI labs that effectively monopolized entire GPU clusters, **the next phase of AI adoption could introduce a broader mix of workload types** with materially different utilization, latency, and power consumption characteristics across a wider set of customers. In our view, this evolution could become an important driver of **higher monetizable utilization** across GPU infrastructure over time.

Note, **not all AI workloads behave the same at the hardware level**. Frontier training workloads tend to operate in a relatively stable, high-power state for extended periods. Given these workloads are generally less tolerant of interruptions, they are generally deployed on dedicated GPU clusters with reserved capacity. By contrast, inference workloads are substantially more 'bursty' in nature. For example, real-time inference requests can spike rapidly during periods of user interaction before falling back toward idle states, while other inference-oriented jobs (i.e. fine-tuning, retrieval-augmented generation, synthetic data generation, and agentic application frameworks) may also exhibit more intermittent compute demand.

In turn, **the diversification of workloads and customers should increasingly allow AI cloud vendors to optimize around these differing usage patterns**. As seen in the figure below, citing an academic paper from Cornell University, training workloads exhibit sustained GPU power draw vs. fine-tuning / inference workloads where power draw is more variable.

Figure 28: AI workloads carry different utilization and power consumption profiles, with training requiring sustained power draw while inference is more 'bursty'

GPU power draw for AI workload types



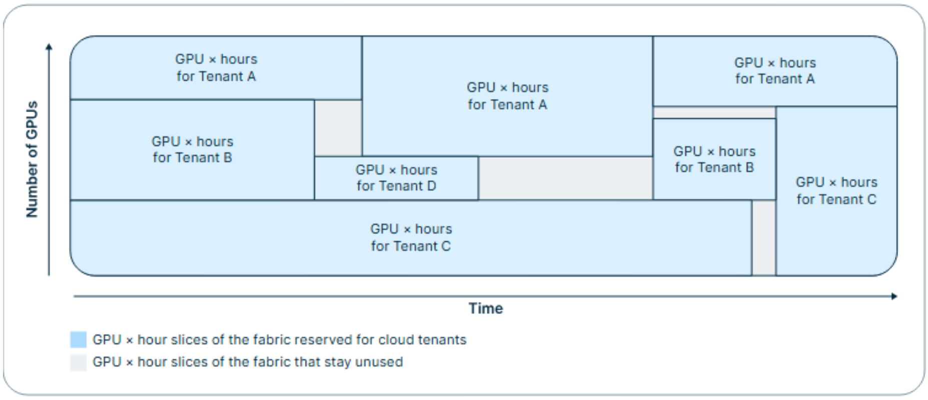
Source: Cornell University – Electricity Demand and Grid Impacts of AI Data Centers research paper

In practice, this creates opportunities for infrastructure providers to improve overall cluster utilization through improved workload balancing across differing workload types. We believe this shift is **important in reframing how investors should think about AI IaaS monetization**.

Today, **we believe the market largely views GPU cloud economics through a relatively simple 'price x volume' framework**, where revenues are primarily determined by the number of physical GPUs deployed multiplied by an assumed rental rate per GPU hour. Under this framework, monetization is effectively capped by the installed hardware base, with one physical GPU broadly corresponding to one sellable unit of compute.

However, we believe the monetization model could gradually evolve beyond this construct. In fact, **we could see AI cloud vendors becoming increasingly efficient in dynamically partitioning and scheduling workloads across a physical cluster**, allowing vendors to effectively 'slice' GPU capacity into multiple monetizable workloads over time.

Figure 29: AI cloud vendors can eventually maximize their IaaS revenues by selling unused / idle GPU 'slices'



Source: Nebius

While this does not imply physical GPU utilization can exceed 100%, the monetizable output (or 'billable hours') of a fixed physical infrastructure base may increase over time (potentially even exceeding 100%) as AI cloud providers improve their ability to fill idle windows and drive higher utilization of the cluster itself. In other words, **the industry could be moving toward a model where one physical GPU can be effectively 'sold' multiple times** across varying workload classes, durations, and virtual instance tiers.

For example, the figure below shows a purely illustrative example of how a GPU cluster could generate higher billable revenue as workloads diversify beyond a single dedicated pre-training customer. In the simplified example, **we assume a single pre-training customer reserves 100 GPU-hours at $5 per GPU per hour, generating $500 of 'billable' revenue.**

In contrast, **a cluster dedicated to diversified inference workloads could sell $900 of 'billable' revenues** across multiple customers with varying utilization profiles, while still only consuming the same 90 physical GPU hours. Put simply, the physical cluster is not doing more than 90 GPU hours of work, but rather the AI cloud vendor is monetizing the same physical capacity through multiple workloads that do not fully overlap in actual usage. **Note, this is simply a theoretical example and is not reflective of our estimate for how much a cluster can be 'oversubscribed'** in practice as it assumes perfect workload overlap and scheduling with no degradation in performance for the customer.

Figure 30: Illustrative example of how workload diversification could increase 'billable' revenue for a GPU cluster

	Cluster used for single customer pre-training					
	Billable capacity			Physical capacity - assume 90 hrs is limit		
Workload type	**Reserved GPU hours**	**$ per GPU / hr**	**Billable revenues**	**Reserved GPU hours**	**Actual GPU utilization**	**Utilized GPU hours**
Pre-training	100	$5.00	$500	100	90%	90
Total	**100**	**$5.00**	**$500**	**100**	**90%**	**90**

	Cluster used for diverse inferencing workloads					
	Billable capacity			Physical capacity - assume 90 hrs is limit		
Workload type	**Reserved GPU hours**	**$ per GPU / hr**	**Billable revenues**	**Reserved GPU hours**	**Actual GPU utilization**	**Utilized GPU hours**
Inference A	30	$5.00	$150	30	50%	15
Inference B	20	$5.00	$100	20	30%	6
Inference C	20	$5.00	$100	20	60%	12
Inference D	50	$5.00	$250	50	70%	35
Inference E	40	$5.00	$200	40	30%	12
Inference F	20	$5.00	$100	20	50%	10
Total	**180**	**$5.00**	**$900**	**180**	**50%**	**90**

Source: BNP Paribas Equity Research estimates

In fact, we believe we are already seeing signs of workload optimization amongst cloud providers. As seen in the Coreweave expert transcript below, infrastructure providers are already implementing 'economic financial scheduling' frameworks that incorporate several customer behavior aspects to drive higher billing of capacity, suggesting AI cloud infrastructure is evolving into a model that can better maximize monetizable GPU hours.

*What we schedule for weekly and monthly is…what I call…**economical financial scheduling. It's not cluster scheduling.** This is where we use for…our capacity reservation, how much hardware procurement signals are we getting, what is our maintenance window, what is the customer commitment renewals. It is about how do we avoid over or underbilling capacity.*

*Now, the second part of the question…how do I allocate these workloads. The workloads are typically allocated by classifying them either through job, which is training versus inference, or GPU counter topology needs, latency sensitivity, etc. **We look at matching the right capacity pool to it, so clusters are often segmented through GPU generation, network topology, power density, or customer tier**…*

*Last but not least, **we look at continuous rebalancing,** so fill gaps when jobs finish early, move shorter jobs into holes, the preempt priority workloads.*

- Finance Systems and Transformation Engineer at Coreweave via AlphaSense

Another path to higher AI infrastructure monetization is not just higher physical utilization, but also better pricing segmentation across the same underlying GPU capacity. Today, GPU cloud pricing still looks early relative to the mature CPU cloud market. As shown in the figure below, we note AWS offers 1,000+ CPU cloud instance SKUs for EC2 versus only ~75 GPU instance SKUs, with AWS offering granular instance families and sizing depending on the customer's required hardware configuration and required performance / use-case.

By contrast, GPU cloud pricing is far more limited and is largely segmented by hardware generation (i.e. V100, A100, H100, B200, etc.) with a smaller number of instance sizes available. However, **we believe that over time, the AI cloud pricing is likely to mimic that of CPU cloud pricing as AI workloads diversify beyond model training.** We expect AI cloud vendors to create more differentiated pricing tiers or GPU instance SKUs, allowing the same physical AI infrastructure to support different price points for different workload tiers (vs. selling at a generic per hour rental rate today). For example, customers with latency-sensitive workloads may be willing to pay a premium for availability and low response times.

Figure 31: AWS currently has 1,000+ CPU cloud SKUs and only 75 GPU / accelerated compute SKUs, illustrating that the AI cloud remains early in price segmentation

Comparison of AWS CPU cloud SKUs (AWS t instance) vs. AWS GPU cloud SKUs (AWS p instance)

EC2 instance type - T instance	Use-case / On-demand pricing	Hardware
T4g	***Lowest cost EC2 instance***	***AWS Graviton2***
t4g.nano	*$0.0042 per hour*	
t4g.micro	*$0.0084 per hour*	
t4g.small	*$0.0168 per hour*	
t4g.medium	*$0.0336 per hour*	
t4g.large	*$0.0672 per hour*	
t4g.xlarge	*$0.1344 per hour*	
t4g.2xlarge	*$0.2688 per hour*	
T3a	***Lowest cost x86 instance***	***AMD 1st gen***
t3a.nano	*$0.0047 per hour*	
t3a.micro	*$0.0094 per hour*	
t3a.small	*$0.0188 per hour*	
t3a.medium	*$0.0376 per hour*	
t3a.large	*$0.0752 per hour*	
t3a.xlarge	*$0.1504 per hour*	
t3a.2xlarge	*$0.3008 per hour*	
T3	***Best peak price / performance for x86***	***Intel Xeon***
t3.nano	*$0.0052 per hour*	
t3.micro	*$0.0104 per hour*	
t3.small	*$0.0208 per hour*	
t3.medium	*$0.0416 per hour*	
t3.large	*$0.0832 per hour*	
t3.xlarge	*$0.1664 per hour*	
t3.2xlarge	*$0.3328 per hour*	
T2	***Previous generation burstable instance***	***Intel Xeon***
t2.nano	*$0.0058 per hour*	
t2.micro	*$0.0116 per hour*	
t2.small	*$0.023 per hour*	
t2.medium	*$0.0464 per hour*	
t2.large	*$0.0928 per hour*	
t2.xlarge	*$0.1856 per hour*	
t2.2xlarge	*$0.3712 per hour*	

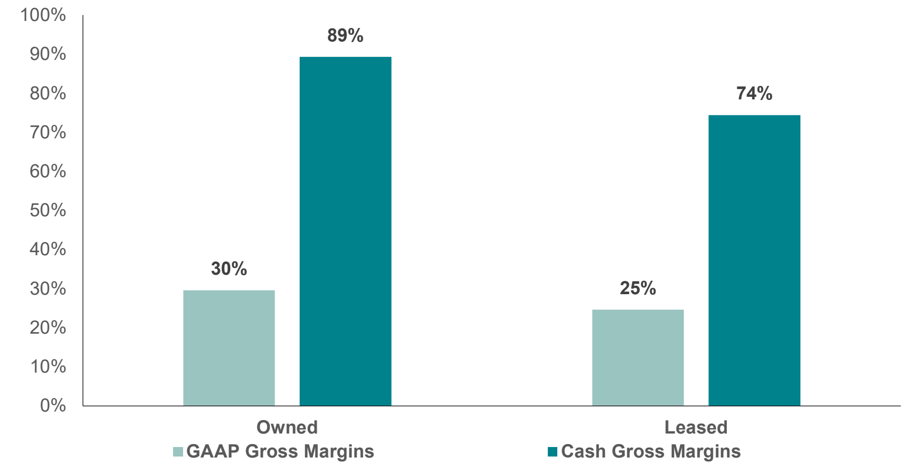
EC2 instance type - P instance	Use-case / On-demand pricing	Hardware
P6	***Accelerated computing***	***NVIDIA B200***
p6-b200.48xlarge	*$113.9328 per hour*	
P5en	***Accelerated computing***	***NVIDIA H200***
p5en.48xlarge	*$63.296 per hour*	
P5	***Accelerated computing***	***NVIDIA H100***
p5.4xlarge	*$6.88 per hour*	
p5.48xlarge	*$55.04 per hour*	
P4d	***Accelerated computing***	***NVIDIA A100***
p4d.24xlarge	*$21.95764 per hour*	
P3	***Accelerated computing***	***NVIDIA V100***
p3.2xlarge	*$3.06 per hour*	
p3.8xlarge	*$12.24 per hour*	
p3.16xlarge	*$24.48 per hour*	
P2	***Accelerated computing***	***NVIDIA K80***
p2.2xlarge	*$0.90 per hour*	
p2.8xlarge	*$7.20 per hour*	
p2.16xlarge	*$14.40 per hour*	

Source: Amazon AWS instance pricing list

Collectively, **we believe driving higher infrastructure monetization can materially improve the margin profile of 'pure' AI IaaS over time**. Once a GPU cluster is deployed, most of the cost base (notably, hardware depreciation and land / facility costs) becomes relatively fixed. Specifically, the ongoing cost to operate a datacenter appears relatively modest compared to the revenue scale of a GW cluster, with Crusoe citing only ~$1.1bn of annual operating costs per GW. As a result, **any incremental revenue generated through improved utilization rates or pricing optimization should carry substantially higher incremental margins.** In fact, we estimate incremental gross margins could be 75-90%+ depending on whether the datacenter is owned or leased, as much of the incremental revenue should 'flow through' after power, maintenance, and staffing costs (we believe 'cash' gross margins serves as a reasonable proxy as cash operating costs appear more variable in nature). In turn, we outline in the figure below the potential gross margin trajectory for AI IaaS as revenue per GW scales beyond the ~$10bn / GW figure generated today, where we see scope for meaningful gross margin improvement beyond the ~30% generated today.

Figure 32: We estimate AI IaaS carries ~25-30% gross margins and 75-90% cash margins, depending on whether the facility is owned or leased.

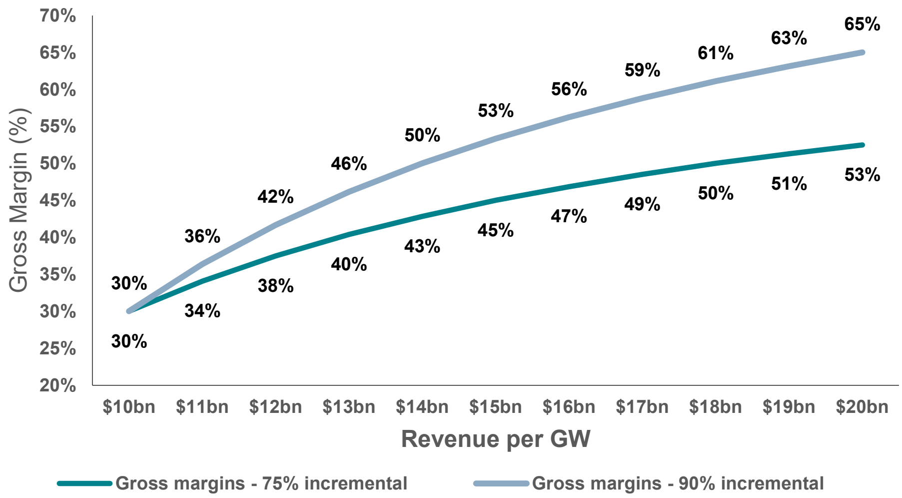
AI IaaS estimated GAAP vs. Cash gross margins (%)



Source: BNP Paribas Equity Research estimates

Figure 33: Assuming 75-90% incremental margins, we see a path towards meaningfully improving overall AI IaaS gross margins by driving improved cluster monetization

Gross margins vs. Revenue per GW (assuming 70% and 90% incremental margins)



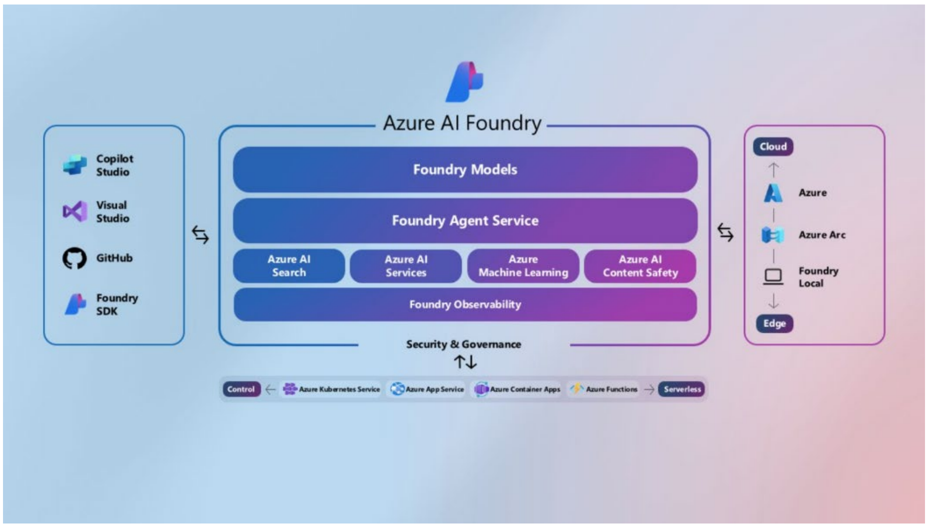
Source: BNP Paribas Equity Research estimates

The emergence of the AI infrastructure 'Platform' layer

We find one of the more important debates emerging across AI infrastructure is what the eventual platform and software layer for AI cloud ultimately looks like. While investors broadly understand why these layers matter (PaaS can drive higher incremental revenue without requiring proportional increases in capex), we believe the market still lacks a clear sense of what the AI cloud 'tech stack' can be. However, unlike the traditional cloud era where PaaS offerings were relatively standardized, **we believe the AI platform stack is developing around two customer types: frontier AI labs and traditional enterprise / hyperscaler customers.**

For enterprise customers, access to leading frontier models via APIs is arguably the earliest and most mature AI platform product today, with the hyperscalers offering managed access to models from frontier AI labs (i.e. OpenAI, Anthropic, Google, DeepSeek, Mistral, Meta, etc.) through their cloud platforms. However, beyond APIs, hyperscalers are also offering broader AI application platforms such as Azure AI Foundry, Amazon Bedrock, and Gemini Enterprise Agent Platform, which provides enterprises with tooling around model deployment, agent builders, agent harnesses / orchestrators, vector search, observability, and security.

Figure 34: Microsoft Azure AI Foundry Services

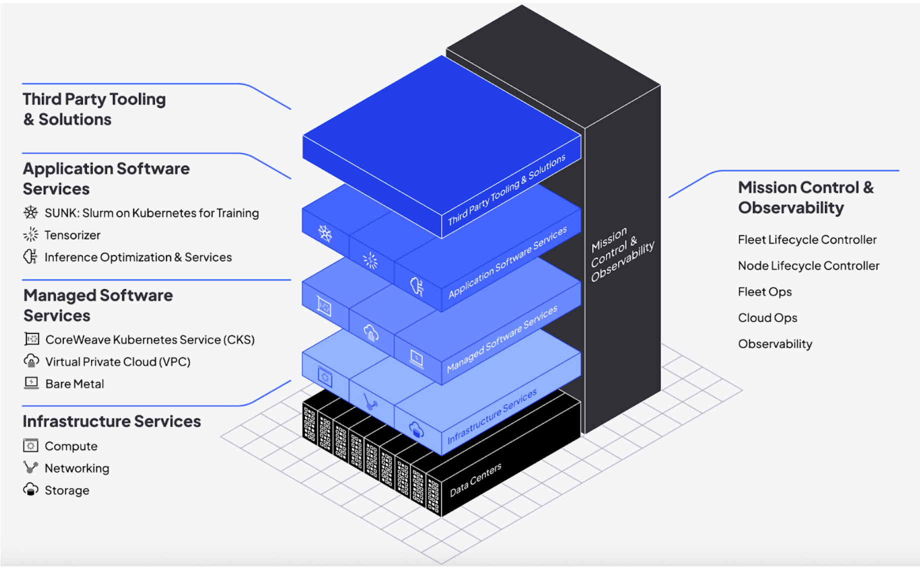


Source: Microsoft

For frontier AI labs, we find the platform layer appears to center around offerings designed to optimize large-scale AI infrastructure workloads. Unlike conventional enterprise cloud environments, which were primarily built to host web-based and business applications, frontier AI workloads involve coordinating tens (or even hundreds) of thousands of GPUs simultaneously across highly distributed GPU clusters, where even small inefficiencies in scheduling, networking, or utilization can materially impact performance.

In practice, these tools help customers improve overall infrastructure utilization by determining where workloads run, balancing compute demand across GPUs, and automatically adjusting compute resources based on traffic spikes. In turn, **we believe the emerging 'platform' opportunity for AI lab customers will center around services and offerings that help maximize token throughput, minimize bottlenecks, and improve their own monetization of their GPU resources.** In this area, we believe the leading neocloud vendors (i.e. Coreweave / Nebius) are differentiating themselves through GPU-native software stacks which are purpose built for AI workloads.

Figure 35: Coreweave's cloud stack is purpose built for AI workloads

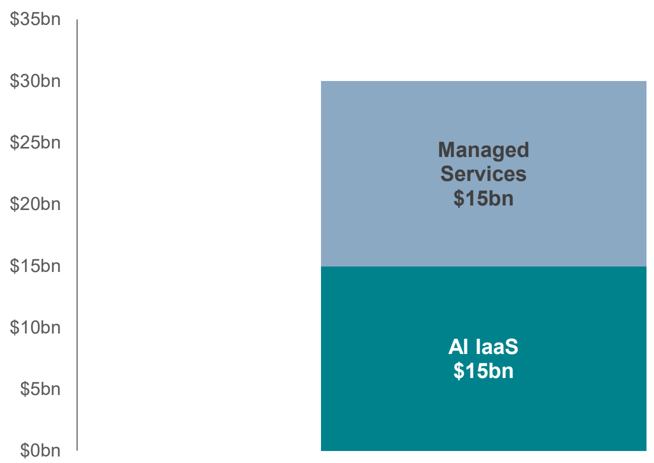


Source: Coreweave

We believe the long-term AI cloud monetization opportunity could increasingly resemble the broader CPU cloud market, where platform services ultimately became comparable in size to the underlying infrastructure layer. We note some industry commentary appears to support this framework (at least directionally). For example, Crusoe estimates that a Vera Rubin GPU cluster generating $15bn of annual AI IaaS revenue could support another $5 - $15bn of managed services revenue layered on top, potentially expanding the revenue per GW by 30 – 100%.

Figure 36: Crusoe outlines that for a Vera Rubin cluster generating $15bn of revenue per GW, managed services could add $5 - $15bn of revenue on top

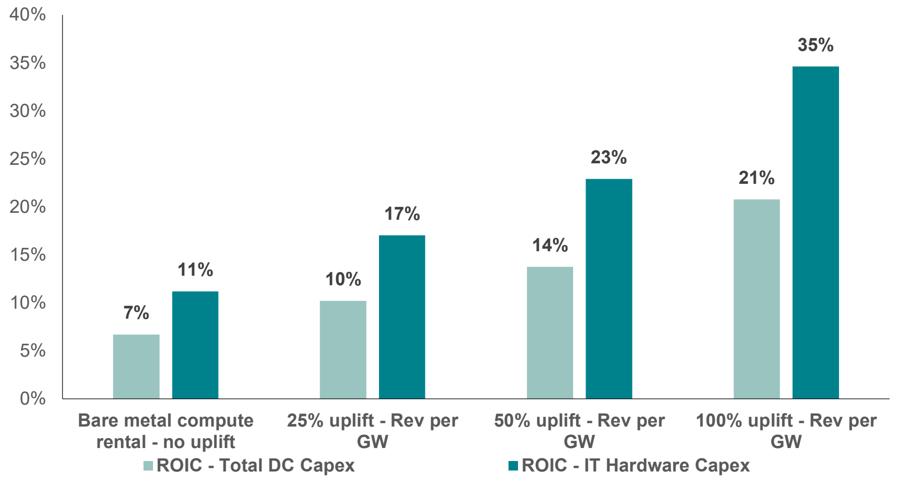
Potential full-stack AI Cloud revenue per GW



Source: Crusoe

Figure 37: We estimate if we see a 100% uplift to AI infrastructure revenue per GW, ROIC could climb to 35% for the 2nd and 3rd hardware refresh cycles

ROIC for AI infrastructure scenario analysis



Source: Company reports, BNP Paribas Equity Research estimates

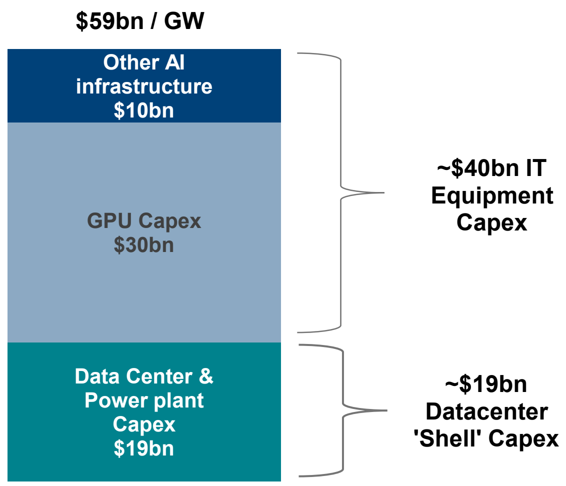
Assessing the ROIC of a full AI infrastructure stack

We believe the ROIC profile of AI infrastructure could improve over time to levels beyond what investors today appreciate, particularly as the market evolves from pure GPU rental economics toward more mature full-stack AI cloud offerings. For next-generation NVIDIA Vera Rubin deployments, Crusoe estimates a fully built 1 GW AI datacenter will require ~$60bn of capital, including ~$40bn of IT hardware and ~$20bn of longer-lived datacenter shell, power, cooling, and networking infrastructure. Importantly, we believe the ability to offer a full software and platform stack will increasingly differentiate returns across providers over time.

Note, today, the hyperscalers already appear to monetize AI infrastructure at materially higher rates than neocloud peers. According to Silicon Data, the hyperscalers can generally rent NVIDIA H100s at a ~$7.50/hr rate vs. closer to ~$2.50 for neocloud providers, which is reflective of the bundled platform services typically embedded in hyperscaler pricing. We note that there are many neoclouds that are considered in this pricing, with Coreweave and Nebius likely operating at higher rates.

Figure 38: Each GW of AI datacenter capacity is expected to cost ~$60bn in capex for the next generation Vera Rubin GPU datacenters

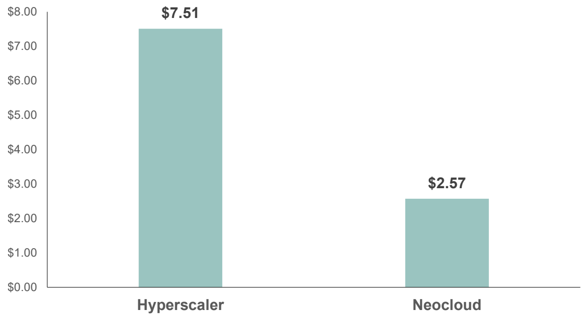
AI datacenter capex per GW



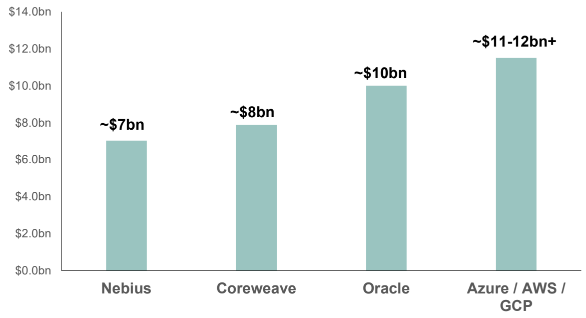
Source: Crusoe, BNP Paribas Equity Research estimates. Note: other AI infrastructure capex includes networking, CPU / Storage, 'In Room', and deployment labor / shipping capex.

Figure 39: We believe the hyperscalers are currently able to generate higher revenues per GW of AI infrastructure compared to neocloud vendors

H100 on-demand rental pricing (Hyperscaler vs. Neocloud)



Revenue per GW of AI infrastructure



Source: Silicon Data, Company reports, BNP Paribas Equity Research estimates

In turn, we outline various scenarios where revenue per GW increases by 25 – 100% over time as platform and managed AI services become a larger mix of the stack, which should carry higher gross margins (we assume ~70% in our calculations). Importantly, while the upfront capital intensity of AI infrastructure screens high, the $20bn associated with the datacenter shell represents a long-duration asset base that can support multiple hardware refresh cycles over its 20+ year life.

As a result, **we believe benchmarking returns solely against full first-generation build costs understates the long-term earnings power of the platform. Under a scenario where revenue per GW ultimately doubles, we estimate ROIC could reach as high as ~21% relative to the full datacenter build and ~35% when benchmarked against incremental IT hardware capital alone** (which we view as more appropriate when evaluating 2nd and 3rd generation hardware refresh economics).

Figure 40: We estimate a 1 GW AI infrastructure deployment generates ~30% gross margins, assuming each GW generates $10bn of revenues annually today

AI datacenter hypothetical cash flow waterfall

AI Datacenter Gross Margin - Owned Facility	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Revenue per GW - IaaS		**$10.0bn**	**$10.0bn**	**$10.0bn**	**$10.0bn**	**$10.0bn**	**$10.0bn**
Less : Depreciation		**$6.0bn**	**$6.0bn**	**$6.0bn**	**$6.0bn**	**$6.0bn**	**$6.0bn**
o/w GPU depreciation - 6 yrs		*5.0*	*5.0*	*5.0*	*5.0*	*5.0*	*5.0*
o/w Long-lived asset depreciation - 20 yrs		*1.0*	*1.0*	*1.0*	*1.0*	*1.0*	*1.0*
Less: Datacenter employee costs		**$0.3bn**	**$0.3bn**	**$0.3bn**	**$0.3bn**	**$0.3bn**	**$0.3bn**
# of employees		*2,000*	*2,000*	*2,000*	*2,000*	*2,000*	*2,000*
Annual salary per employee (@ 4% inflation)		*$125,000*	*$130,000*	*$135,200*	*$140,608*	*$146,232*	*$152,082*
Less: Electricity costs		**$0.5bn**	**$0.5bn**	**$0.5bn**	**$0.5bn**	**$0.5bn**	**$0.5bn**
All in utility capacity		*1.0GW*	*1.0GW*	*1.0GW*	*1.0GW*	*1.0GW*	*1.0GW*
Price per kW/h		*$0.08*	*$0.08*	*$0.08*	*$0.08*	*$0.08*	*$0.08*
Hours in a year		*8,760*	*8,760*	*8,760*	*8,760*	*8,760*	*8,760*
Utilization rate - % of time under full load		*75%*	*75%*	*75%*	*75%*	*75%*	*75%*
Less: Other cash operating costs		**$0.3bn**	**$0.3bn**	**$0.3bn**	**$0.3bn**	**$0.3bn**	**$0.3bn**
Total costs		**$7.1bn**	**$7.1bn**	**$7.1bn**	**$7.1bn**	**$7.1bn**	**$7.1bn**
o/w cash operating costs		*$1.1bn*	*$1.1bn*	*$1.1bn*	*$1.1bn*	*$1.1bn*	*$1.1bn*
Gross Profit - IaaS		**$3.0bn**	**$3.0bn**	**$2.9bn**	**$2.9bn**	**$2.9bn**	**$2.9bn**
Gross margins (%)		*30%*	*29%*	*29%*	*29%*	*29%*	*29%*
Cash Gross Profits - IaaS		**$9.0bn**	**$9.0bn**	**$8.9bn**	**$8.9bn**	**$8.9bn**	**$8.9bn**
Cash gross margins (%)		*89%*	*89%*	*89%*	*89%*	*89%*	*89%*
GPU capex	**-$30.0bn**						
Long-lived asset capex	**-$20.0bn**						
Capital spend / GAAP gross profit dollars	**-$50.0bn**	**$3.0bn**	**$3.0bn**	**$2.9bn**	**$2.9bn**	**$2.9bn**	**$2.9bn**
Free cash flow	**-$50.0bn**	**$9.0bn**	**$9.0bn**	**$8.9bn**	**$8.9bn**	**$8.9bn**	**$8.9bn**

Source: Company reports, Crusoe, BNP Paribas Equity Research estimates

Do neoclouds have a role to play?

The neoclouds have emerged as a new class of AI infrastructure providers. While traditional hyperscalers were designed to support a broad range of enterprise workloads, neoclouds were build around delivering large-scale GPU infrastructure for AI training and inferencing. In many respects, they serve as specialized AI infrastructure providers, bridging the gap between NVIDIA's rapidly expanding hardware ecosystem and the growing universe of AI-native customers that require access to compute.

We note the ecosystem today consists of both public and private players. Publicly traded companies include CoreWeave, Nebius, and IREN (not covered), while notable private participate include Crusoe, Fluidstack, and Lambda. Notably, the broader ecosystem includes over 200 neocloud providers, according to SemiAnalysis, many of which simply offer bare-metal compute for older generation NVIDIA GPUs.

Figure 41: Comparison between the hyperscalers and 'neoclouds'

Traditional Hyperscalers

Google, amazon, Microsoft, ORACLE

- Full-stack Cloud provider, spanning CPU Cloud, GPU Cloud, Platform services, and software services
- Strong presence with traditional enterprise customers, although also provide infrastructure for leading AI labs
- Strong cash flows historically, and able to largely self-fund the infrastructure buildout (Oracle is an exception)
- Global datacenter footprint

'Neoclouds'

CoreWeave, NEBIUS, Lambda, Crusoe, IREN, Fluidstack

- Specialized GPU cloud providers focused on renting GPUs to both hyperscale customers and AI-natives
- Strong presence with AI-native customers as their software platform helps customers optimize AI workloads
- Getting preferential GPU allocation as Nvidia looks to diversify the customer base / ecosystem. Neoclouds not developing THEIR own GPUs (unlike NVIDIA's hyperscaler customers)
- Datacenter buildout is largely debt-financed with unique financing structures
- Regional datacenter footprint, focused on securing power / capacity wherever it's available

Source: Company reports, BNP Paribas Equity Research estimates

Moreover, we believe NVIDIA has a strategic interest in maintaining a healthy neocloud ecosystem as the company has invested several neoclouds such as CoreWeave, Nebius, IREN, Lambda, Crusoe, and Nscale. Beyond simply representing another source of demand for GPUs, **neoclouds help diversify NVIDIA's customer base and reduce dependence on a handful of hyperscaler cloud providers**. Importantly, NVIDIA has also, at times, appeared willing to actively support the ecosystem beyond simply supplying hardware. In certain instances, **NVIDIA has entered into arrangements that effectively backstop portions of unsold capacity, helping derisk the neocloud infrastructure buildouts.** Additionally, many neoclouds have also historically received meaningful allocations of NVIDIA's latest hardware, enabling the neoclouds to secure deals with AI customers seeking access to these cutting-edge systems.

Generally, **we find investors have viewed neoclouds primarily as a trade on the duration of compute scarcity**. While there is likely some truth to that characterization today, we believe it increasingly understates the direction in which many of these companies are attempting to evolve. Across the ecosystem, **leading neocloud**

providers are investing aggressively in software / managed inference services to move beyond pure infrastructure rental.

Within this context, **CoreWeave and Nebius stand out as two of the more advanced examples of this transition.** Both companies appear focused on building cloud platforms specifically for AI native customers rather than simply leasing GPUs, which we further detail in our initiation reports on the two companies. We believe the key question going forward is whether these companies can demonstrate success in making the transition into **platform** cloud providers before compute scarcity eventually normalizes.

While the industry remains early and it is far from certain every participant will succeed, we believe the leaders are attempting to establish durable competitive advantages while market conditions remain favorable with the leaders potentially emerging with meaningful moats. In fact, **as the industry matures, we believe capital itself could become a barrier for new entrants seeking to replicate the scale, customer relationships, and platform capabilities already being developed by the leading neocloud providers today.**

Conclusion

We see the demand for compute continuing to grow as not only AI labs and hyperscalers require capacity, but enterprises increasingly explore AI use cases. We believe that leading neocloud providers will be beneficiaries with capacity that can be eventually leveraged by multiple customer sets with access to capital potentially becoming a barrier to entry for late entrants seeking to replicate the strategy. In addition, we see the potential for increased revenue per GW of capacity through GPU virtualization and additional software and services. Finally, as we move towards 2nd and 3rd generation hardware refresh cycles, we see the potential ROIC of new clouds improving, to the benefit of neocloud investors.

Investment case, valuation and risks

CoreWeave (Outperform, Target Price USD192)

Investment case

CoreWeave is a leading AI infrastructure provider, operating the largest installed GPU fleet amongst neocloud peers. Unlike traditional infrastructure providers, the company has built a differentiated software stack optimized specifically for AI workloads. Combined with deep relationships across AI frontier labs, enterprises, and strategic partners such as NVIDIA, we view CoreWeave as a critical enabler of the AI ecosystem.

Valuation methodology

We value CoreWeave on steady-state economics in 2030, using a 14x FCF multiple (assuming 8 GW of installed capacity at $15bn / GW), discounted back.

Risks

To the upside:
CoreWeave could see upsized contracts amongst its hyperscaler and AI frontier lab customer base (Meta, Microsoft, OpenAI, and Anthropic) or secure new contracts with other hyperscaler / AI-native vendors.

To the downside:
CoreWeave could face delays in bringing online new capacity, impacting investor confidence in its ability to execute on the infrastructure buildout. Signs of an AI infrastructure overbuild could also impact the company as it lacks internal workloads to effectively utilize (and monetize) excess capacity.

Microsoft (Outperform, Target Price USD555)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:
Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:
The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

Nebius Group (Neutral, Target Price USD255)

Investment case

Nebius is a one of the newer AI cloud infrastructure entrants or ‘neoclouds.’ While shares have benefitted from the company’s exposure to shorter duration GPU rental contracts, we believe the path forward becomes more complicated as the company embarks on a larger capacity buildout. Longer-term, we still believe Nebius has a credible story in providing a differentiated AI cloud platform stack, even vs. the hyperscalers, as inference tokens expand beyond a handful of leading frontier labs.

Valuation methodology

We value Nebius on a SOTP approach by using 1) a 14x FCF on steady-state 2030 free cash flow (assuming 6 GW of installed capacity at $15bn/GW), discounted back and 2) the value of Nebius’ stake in ClickHouse.

Risks

To the upside:
Nebius could secure future deals with hyperscaler and AI lab customers, which would be viewed positively by investors as it guarantees demand over a multi-year timeframe and allows the company to secure additional capacity.

To the downside:
GPU rental pricing could decline, likely disproportionately impacting Nebius shares. Moreover, Nebius could face challenges in bringing online capacity, which introduces execution risk, especially as newer datacenters become larger and more complex.

Oracle Corporation (Outperform, Target Price USD283)

Investment case

As the cloud computing industry transitions from the 'CPU era' to the 'GPU era', we see Oracle as a potential winner in capturing new AI workloads. We expect OCI to continue to benefit from robust demand for GPU compute and its favorable perception as a price/performance leader within the AI ecosystem. Additionally, continued cloud migrations of Oracle's large on-premises installed base can serve as another growth tailwind should AI momentum stall. We believe shares can continue to outperform as confidence grows around the company's revenue and earnings trajectory.

Valuation methodology

We use a target FY28 P/E multiple, discounted back, consistent with our valuation methodology for Oracle's hyperscaler peer set.

Risks

To the upside:
We believe that should Oracle demonstrate accelerating revenue growth, either through the adoption of the company's OCI infrastructure, autonomous database offering, or its cloud ERP offering, the shares will re-rate higher.

To the downside:
We believe that evidence of stalling AI momentum could trigger a de-rating in shares. Lack of progress in improving IaaS gross margins could heighten investor concerns around the ROIC of Oracle's elevated CapEx spend.

ANALYST CERTIFICATION AND IMPORTANT DISCLOSURES

Analyst Certification

We, **Keeler Patton, Stefan Slowinski, Daniel Wang**, hereby certify that all of the views expressed in this report accurately reflect our personal view(s) about the company or companies and securities discussed in this report. No part of our compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

Non-US Research Analyst Disclosure

The research analysts named below were involved in preparing this research report. They are not associated persons of BNP Paribas Securities Corp. and thus they are not registered or qualified in the U.S. as research analysts with the Financial Industry Regulatory Authority (FINRA) or the New York Stock Exchange (NYSE). These non-U.S. analysts are not subject to FINRA Rule 2241 concerning communications with a subject company, public appearances and trading securities held by a research analyst account.

Stefan Slowinski	BNP Paribas London Branch

Research Analyst Compensation

The research analyst(s) responsible for the preparation of this report receive(s) compensation based upon various factors including overall firm revenues, which include revenues from investment banking activities and/or sales and trading activities.

Research Analyst-Specific Disclosures

The table immediately below indicates if the research analyst(s) responsible for the preparation of this report (or members of their household) has/have certain conflicts of interest relating to the subject company/ies.

Company/ies	Relevant Disclosures
/	

1 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst has/have a financial interest in the securities of the subject company/ies indicated in the above table.
2 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst serve(s) as an employee, officer, director, or advisory board member of the subject company/ies indicated in the above table.
3 – The research analyst(s) responsible for the preparation of this report received compensation from the subject company/ies in the past twelve months.
4 – The research analyst(s) responsible for the preparation of this report has a material conflict of interest with respect to the subject company/ies, which has not already been identified under 1, 2 or 3 above.

BNP Paribas-Specific Disclosures

BNP Paribas SA and/or each of its relevant branches and affiliates including, without limitation, TEB Yatirim Menkul Degerler ("TEB Investment") and/or BNP Paribas Securities Corp. (collectively, and/or, individually, "BNPP" or "BNP Paribas"), has relationships with many companies. The numbered disclosures below identify relationships that BNPP has with the subject company/ies that must be disclosed under applicable rules.

Company/ies	Ticker/s	Relevant Disclosures
Accenture	ACN US	3; 4; 7; 8; 9
Adobe Systems	ADBE US	/
Alphabet A	GOOGL US	2; 3; 4; 6; 7; 8; 10
Amazon	AMZN US	2; 3; 4; 6; 7; 8; 10
AMD	AMD US	2; 3; 4; 6; 7; 8; 10
Atlassian	TEAM US	/
Broadcom	AVGO US	2; 3; 4; 6; 7; 8- BNPP is serving as active bookrunner on Broadcom Inc's SEC registered senior unsecured note offering dated September 22nd; 9; 10
Cadence Design Systems	CDNS US	3; 4; 8
Cloudflare Inc	NET US	/
CoreWeave	CRWV US	/
Crowdstrike Holdings Inc	CRWD US	/
Datadog Inc	DDOG US	/
Dynatrace Inc	DT US	/
HubSpot	HUBS US	/
IBM	IBM US	2; 3; 4; 7; 8; 9; 10
Intuit	INTU US	/
Meta Platforms Inc	META US	3; 4; 6; 8
Microsoft	MSFT US	2; 3; 4; 6; 7; 8; 9; 10
Navan	NAVN US	2; 3; 4; 7; 8- BNP Paribas Sec Corp serves as Joint bookrunner for the IPO of Navan Inc; 9; 10
Nebius Group	NBIS US	/
Nvidia	NVDA US	6
Oracle Corporation	ORCL US	2; 3; 4; 7; 8- BNP Paribas Securities Corp. serves as Passive Bookrunner on a SEC Registered convertible bond offering out of Oracle Corporation | NYSE:ORCL that announced to the market on February 2, 2026. BNPP Securities Corp is acting as Sales Agent for an "At-the-Market" of Common Shares of Oracle Corp (NYSE: ORCL); 9; 10
Palo Alto Networks	PANW US	2; 3; 4; 7; 8; 9
Salesforce	CRM US	2; 3; 4; 7; 8; 9; 10
Samsara Inc	IOT US	/
ServiceNow Inc	NOW US	2; 3; 4; 8
Snowflake	SNOW US	7; 9; 10
Synopsys, Inc.	SNPS US	/
Uber Technologies Inc	UBER US	2; 3; 4; 7; 8- BNPP was invited post announcement to Uber Technologies SEC Registered senior notes offering dated September 8th ; 9; 10
Veeva Systems	VEEV US	/
Vertex Inc	VERX US	/
Workday Inc	WDAY US	/
Workiva	WK US	/
Zoom	ZM US	/
Zscaler	ZS US	/

1 – BNPP beneficially owns 1% or more of a class of common equity securities of the subject company/ies.
2 – BNPP managed or co-managed an offering of securities for the subject company/ies in the past 12 months.
3 – BNPP received compensation for investment banking services from the subject company/ies in the past 12 months.
4 – BNPP expects to receive or intends to seek compensation for investment banking services from the subject company/ies in the next 3 months.
5 – BNPP has entered into a contract with the subject company/ies to provide liquidity in its/their securities.
6 – BNPP is a market maker in the securities of the subject company/ies.
7 – BNPP received compensation for products and services other than investment banking services from the subject company/ies in the past 12 months.
8 – BNPP has or had an investment banking client relationship with the subject company/ies in the last 12 months.
9 – BNPP has or had a non-investment banking securities services client relationship with the subject company/ies in the last 12 months.
10 – BNPP has or had a non-securities services client relationship with the subject company/ies in the last 12 months.
11 – BNPP beneficially owns a net long or short position of more than 0.5% of the total issued share capital of the subject company/ies.
12 – BNPP is party to an agreement with the issuer relating to the production of the recommendation.

13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.
14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.
15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.
16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.
17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

Explanation of Research Ratings

Rating System
Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.
Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.
Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.
Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.
Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.
Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.
Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.
Not Covered (NC): BNPP does not cover this company

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.
ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.
ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.
ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 28 May 2026 BNP Paribas covered 1377 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".
In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies).

Price and Ratings Chart

CoreWeave

Not Available for CoreWeave

Microsoft

Historical Closing Price & Target Price **(closing price as of 01/06/2026)**

Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
30 Apr. 2026	22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026	14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026	21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025	05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025	11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025	05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025	21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025	06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025	05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024	11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024	06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024	05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024	14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024	05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023	17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023	06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023	08:06	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023	06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

- The closing price is based on the market close price on the last business close date.

- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.

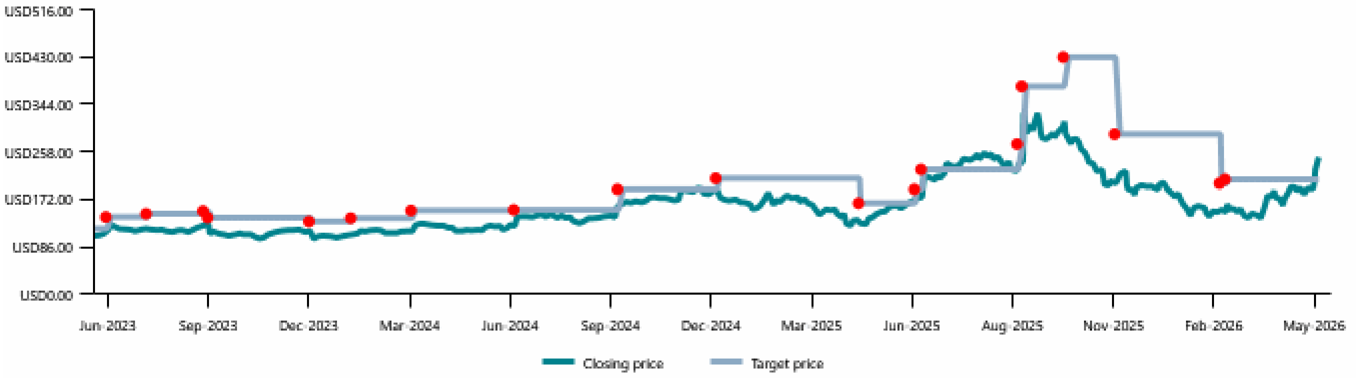
- All ratings and target prices are valid for 12 months.

Nebius Group

Not Available for Nebius Group

Oracle Corporation

Historical Closing Price & Target Price **(closing price as of 01/06/2026)**



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
02 Jun 2026	(2)	+	USD283.00	USD248.15	TP up	S. Slowinski, D. Wang, K. Patton
11 Mar. 2026	02:52	+	USD208.00	USD163.12	TP up	S. Slowinski, D. Wang, K. Patton
6 Mar. 2026	06:10	+	USD201.00	USD152.96	TP down	S. Slowinski, D. Wang, K. Patton
2 Dec. 2025	09:16	+	USD290.00	USD201.10	TP down	S. Slowinski, D. Wang, K. Patton
17 Oct. 2025	07:44	+	USD430.00	USD291.31	TP up	S. Slowinski, D. Wang, K. Patton
10 Sep. 2025	10:31	+	USD377.00	USD328.33	TP up	S. Slowinski, D. Wang, K. Patton
8 Sep. 2025	05:34	+	USD272.00	USD238.48	TP up	S. Slowinski, D. Wang, K. Patton
12 Jun. 2025	05:57	+	USD226.00	USD199.86	TP up	S. Slowinski, D. Wang, K. Patton
6 Jun. 2025	11:21	+	USD190.00	USD174.02	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025	05:55	+	USD165.00	USD128.62	TP down	S. Slowinski, D. Wang, K. Patton
10 Dec. 2024	11:02	+	USD210.00	USD177.74	TP up	S. Slowinski, K. Patton
13 Sep. 2024	11:00	+	USD190.00	USD162.03	TP up	S. Slowinski, K. Patton
12 Jun. 2024	09:17	+	USD153.00	USD140.38	TP up	S. Slowinski, K. Patton
12 Mar. 2024	11:09	+	USD152.00	USD127.54	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024	05:11	+	USD138.00	USD108.70	TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
12 Dec. 2023	12:31	+	USD132.00	USD100.81	TP down	S. Slowinski, L. Lu, K. Patton
12 Sep. 2023	13:06	+	USD139.00	USD109.61	TP down	S. Slowinski, L. Lu, K. Patton
8 Sep. 2023	12:40	+	USD151.00	USD126.32	TP up	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023	06:04	+	USD146.00	USD118.69	TP up	S. Slowinski, L. Lu, K. Patton
13 Jun. 2023	11:55	+	USD140.00	USD116.68	TP up	S. Slowinski, B. Castillo-Bernaus

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.

- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.

- All ratings and target prices are valid for 12 months.

For policies for managing conflicts of interest in relation to investment research, go to COI_investement_research.pdf (cib.bnpparibas).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on https://cube.cib.bnpparibas/slink/sk6EkeN0hiGAWIo1.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on https://cube.cib.bnpparibas.

BNP Paribas does not set a predetermined frequency for publication and intends to update research reports as it deems appropriate, based on developments affecting the subject company, the sector or the market.

Legal Entity/ies Responsible for the Production of Research

This report is produced by the publishing entity/ies identified on the cover page which is/are member company/ies of the BNPP group of companies. Please refer to the Legal Entity Disclosures and Country-/Regional-Specific Disclosures for their relevant competent authority/ies.

COREWEAVE (Outperform)

Software - USA

Price at 29 May 26 / Target Price

USD109.5 / USD192 +75%

Company description

Management

Ownership structure

Other Shareholders	0.0%

Analyst

Stefan Slowinski (+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

Peer group YTD performance

Stock		Price (29 May 26)	YTD performance in EUR (%) Abs.	Rel. Sector
Nebius Group (=)	USD	231.1	177.8	191
Datadog (+)	USD	247.4	83.1	92
Crowdstrike (=)	USD	731.0	56.9	65
CoreWeave (+)	**USD**	**109.5**	**53.9**	61
Palo Alto (+)	USD	281.7	53.9	61
Navan (+)	USD	21.4	25.9	32
Cloudflare (-)	USD	241.8	23.4	29
Cadence Design (+)	USD	374.9	20.7	27
Zoom (-)	USD	101.6	18.5	24
Snowflake (+)	USD	255.6	17.2	23
Oracle (+)	USD	225.8	17.1	23
IBM (-)	USD	297.8	2.2	7
Synopsys, Inc. (-)	USD	475.6	1.9	7
Samsara (+)	USD	35.0	(0.7)	4
Dynatrace (=)	USD	42.6	(1.1)	4
Microsoft (+)	USD	450.2	(6.0)	(1)
ServiceNow (+)	USD	124.4	(18.3)	(14)
Veeva Systems (+)	USD	174.3	(21.4)	(18)
Adobe (=)	USD	259.2	(25.5)	(22)
Salesforce (+)	USD	191.1	(27.3)	(24)
Workday (+)	USD	146.2	(31.5)	(28)
Vertex (+)	USD	13.4	(32.7)	(29)
Atlassian (+)	USD	107.6	(33.2)	(30)
Zscaler (+)	USD	139.7	(37.5)	(34)
Workiva (+)	USD	49.8	(41.9)	(39)
HubSpot (=)	USD	220.6	(44.7)	(42)
Intuit (=)	USD	331.5	(49.4)	(47)

Sector calendar

02 Jun. 26	**TeamViewer**: AGM

Price at 01 Jun. 26 / 12m Target Price

USD124.8 / USD192 +54%

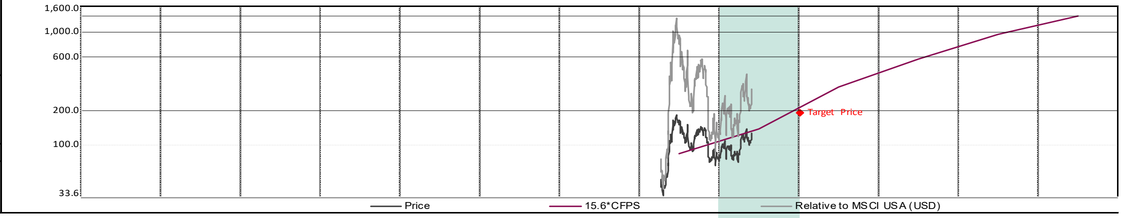
Refinitiv / Bloomberg: / CRWV US

Slowinski (+44) 203 430 8549 & Wang +1 646 785 3326

COREWEAVE (Outperform)

Software - USA

Company Highlights			**USDm / EURm**
Enterprise value			105,853 / 90,709
Market capitalisation			66,133 / 56,671
Free float			54,156 / 46,408
3m average volume			2,810 / 2,408
Performance (*)	**1m**	**3m**	**12m**
Absolute	(2%)	38%	(2%)
Rel. Sector	(15%)	15%	1%
Rel. MSCI USA	NC	NC	NC
12m Hi/Lo (USD) : 183.6 -32% / 64.6 +93%			
CAGR	**2025/2026**		**2026/2030**
EPS restated	79%		NC
CFPS	66%		78%



	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e	Dec. 29e	Dec. 30e
Price (yearly avg from Dec. 25 to Dec. 25)		*103.4*	*124.8*	*124.8*	*124.8*	*124.8*	*124.8*
PER SHARE DATA (USD)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
No of shares year end, basic, (m)	218.000	435.000	529.825	540.484	647.894	670.772	697.756
Avg no of shares, diluted, excl. treasury stocks (m)	218.000	436.000	529.825	540.484	647.894	670.772	697.756
EPS reported, Gaap	*(4.30)*	*(2.80)*	*(5.13)*	*(4.40)*	*0.09*	*9.26*	*22.50*
EPS company definition	*(0.64)*	*(1.46)*	*(3.86)*	*(2.48)*	*2.52*	*12.31*	*25.72*
EPS restated, fully diluted	(0.44)	(2.83)	(5.08)	(4.33)	0.14	9.31	22.52
% change	*NS*	*NS*	*(79.2%)*	*14.7%*	*NS*	*NS*	*141.8%*
Book value (BVPS) (a)	6.0	7.7	6.4	4.2	6.5	19.3	45.1
Net dividend	0.00	0.00	0.00	0.00	0.00	0.00	0.00
STOCKMARKET RATIOS	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
P / E (P/ EPS restated)		NC	NC	NC	NS	13.4x	5.5x
P / E relative to MSCI USA		NC	NC	NC	NS	82%	
P / CF		19.5x	14.1x	6.0x	3.4x	2.0x	1.4x
FCF yield		(16.4%)	(36.5%)	(47.3%)	(38.1%)	(24.4%)	1.5%
P / BVPS		13.49x	19.60x	29.99x	19.11x	6.46x	2.77x
Net yield		0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Payout		0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
EV / Sales		11.88x	8.31x	5.51x	3.97x	2.77x	1.93x
EV / Restated EBITDA		25.3x	16.4x	9.5x	6.5x	4.5x	3.1x
EV / Restated EBITA		NS	NS	62.1x	29.0x	14.7x	8.4x
EV / NOPAT		NS	NS	65.4x	30.6x	15.5x	8.9x
EV / OpFCF		NS	NS	NS	NS	NS	18.1x
EV / Capital employed (incl. gross goodwill)		1.8x	1.7x	1.5x	1.5x	1.3x	1.2x
ENTERPRISE VALUE (USDm)		**60,938**	**105,853**	**139,065**	**183,315**	**206,608**	**208,706**
Market cap		44,981	66,133	67,463	80,870	83,726	87,094
+ Adjusted net debt	6,657	18,500	42,264	74,145	104,987	125,425	124,155
+ Other liabilities and commitments							
+ Revalued minority interests							
- Revalued investments		2,543	2,543	2,543	2,543	2,543	2,543
P & L HIGHLIGHTS (USDm)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
Sales	**1,915**	**5,131**	**12,737**	**25,218**	**46,220**	**74,583**	**108,174**
Restated EBITDA (b)	**1,188**	**2,409**	**6,466**	**14,583**	**28,018**	**46,395**	**68,409**
Depreciation	(863)	(2,428)	(6,211)	(12,345)	(21,705)	(32,362)	(43,630)
Restated EBITA (b)	**324**	**(19)**	**255**	**2,238**	**6,313**	**14,033**	**24,779**
Reported operating profit (loss)	324	(45)	210	2,193	6,270	13,990	24,756
Net financial income (charges)	(1,069)	(1,170)	(2,945)	(4,695)	(6,211)	(7,450)	(8,233)
Affiliates							
Other							
Tax	(119)	48	20	125	(3)	(327)	(826)
Minorities							
Net attributable profit reported	(863)	(1,167)	(2,715)	(2,377)	56	6,213	15,697
Net attributable profit restated (c)	**(96)**	**(1,236)**	**(2,690)**	**(2,341)**	**91**	**6,247**	**15,715**
CASH FLOW HIGHLIGHTS (USDm)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
EBITDA (reported)	**1,188**	**2,409**	**6,466**	**14,583**	**28,018**	**46,395**	**68,409**
EBITDA adjustment (b)	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Other items	233	1,478	1,017	1,779	2,714	3,521	4,023
Change in WCR	1,678	633	4,817	8,491	10,228	11,103	11,804
Operating cash flow	**3,099**	**4,520**	**12,300**	**24,853**	**40,960**	**61,019**	**84,236**
Capex	(8,702)	(10,309)	(33,658)	(51,638)	(64,800)	(72,675)	(72,675)
Operating free cash flow (OpFCF)	**(5,603)**	**(5,789)**	**(21,357)**	**(26,784)**	**(23,840)**	**(11,656)**	**11,561**
Net financial items + tax paid	(383)	(1,572)	(2,805)	(5,097)	(7,002)	(8,782)	(10,291)
Free cash flow	**(5,986)**	**(7,361)**	**(24,163)**	**(31,881)**	**(30,843)**	**(20,438)**	**1,270**
Net financial investments & acquisitions	104	(126)	(13)	0	0	0	0
Other	(4,493)	(11,430)	(5,237)	0	0	0	0
Capital increase (decrease)	1,174	1,510	1,985	0	0	0	0
Dividends paid	(58)	(29)	0	0	0	0	0
Increase (decrease) in net financial debt	**9,259**	**17,436**	**27,427**	**31,881**	**30,843**	**20,438**	**(1,270)**
Cash flow, group share	**1,038**	**2,315**	**4,678**	**11,265**	**23,730**	**41,134**	**62,141**
BALANCE SHEET HIGHLIGHTS (USDm)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
Net operating assets	14,529	40,124	71,306	110,553	153,606	193,875	222,898
WCR	(1,705)	(5,759)	(10,576)	(19,068)	(29,295)	(40,398)	(52,202)
Restated capital employed, incl. gross goodwill	**12,824**	**34,365**	**60,730**	**91,486**	**124,310**	**153,478**	**170,696**
Shareholders' funds, group share	1,309	3,335	3,375	2,250	4,232	12,961	31,449
Minorities			0	0	0	0	0
Provisions/ Other liabilities	3,681	6,878	5,776	5,776	5,776	5,776	5,776
Net financial debt (cash)	9,259	26,695	54,122	86,003	116,846	137,284	136,014
FINANCIAL RATIOS (%)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
Sales (% change)	NC	167.9%	148.2%	98.0%	83.3%	61.4%	45.0%
Organic sales growth	736.6%	167.9%	148.2%	98.0%	83.3%	61.4%	45.0%
Restated EBITA (% change)	NC	NC	NC	NC	182.1%	122.3%	76.6%
Restated attributable net profit (% change)	NC	NC	(117.7%)	13.0%	NC	NC	151.5%
Personnel costs / Sales	NC	NC	NC	NC	NC	NC	NC
Restated EBITDA margin	62.0%	46.9%	50.8%	57.8%	60.6%	62.2%	63.2%
Restated EBITA margin	16.9%	(0.4%)	2.0%	8.9%	13.7%	18.8%	22.9%
Tax rate	NC	NC	NC	NC	5.0%	5.0%	5.0%
Net margin	(5.0%)	(24.1%)	(21.1%)	(9.3%)	0.2%	8.4%	14.5%
Capex / Sales	454.3%	200.9%	264.2%	204.8%	140.2%	97.4%	67.2%
OpFCF / Sales	(292.5%)	(112.8%)	(167.7%)	(106.2%)	(51.6%)	(15.6%)	10.7%
WCR / Sales	(89.0%)	(112.2%)	(83.0%)	(75.6%)	(63.4%)	(54.2%)	(48.3%)
Capital employed (excl. gdw./intangibles) / Sales	NC	NC	437.1%	342.9%	258.2%	199.2%	153.3%
ROE	(7.4%)	(37.1%)	(79.7%)	(104.1%)	2.1%	48.2%	50.0%
Gearing	NS	NS	NS	NS	NS	NS	395%
EBITDA / Financial charges	3.8x	2.0x	2.2x	3.1x	4.5x	6.2x	8.3x
Adjusted financial debt / EBITDA	5.6x	7.7x	6.5x	5.1x	3.7x	2.7x	1.8x
ROCE, excl. gdw./intangibles		(0.1%)	0.5%	2.5%	5.0%	9.0%	14.2%
ROCE, incl. gross goodwill		(0.1%)	0.4%	2.3%	4.8%	8.7%	13.8%
WACC	NC		4.7%	4.7%	4.7%	4.7%	4.7%

Latest Model update: 02 Jun. 26

(a) Intangibles: USD1,336.00m, or USD3 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A

(c) after EBITDA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested

MICROSOFT (Outperform)

Price at 1 Jun. 26 / Target Price

Software - USA

USD460.5 / USD555 +21%

Company description

Microsoft Corporation is a technology company. It develops, licenses, and supports software products, services and devices. Products include operating systems; productivity applications; server applications; business solution applications; desktop and server management tools; software development tools; video games, and training. It also designs, manufactures, and sells devices, including PCs, tablets, gaming and entertainment consoles that integrate with its cloud-based offerings. It offers an array of services, including cloud-based solutions that provide customers with software, services, platforms, and content, and it provides solution support and consulting services.

Management

Satya Nadella, CEO
Amy Hood, CFO
Scott Guthrie, Executive Vice President

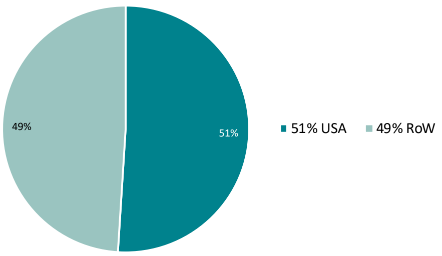
Ownership structure

Vanguard	8.1%
BlackRock	4.5%
Capital Group	4.0%
State Street Global Advisors	4.0%
Fidelity Management & Research	2.9%
T.Rowe Price	2.4%
Geode Capital Management	1.6%
Norges Bank IM	1.0%
Other Shareholders	71.5%

Peer group YTD performance

Stock		Price (01 Jun. 26)	YTD performance in EUR (%) Abs.	Rel. Sector
Nebius Group (=)	USD	264.5	177.8	191
Datadog (+)	USD	277.5	83.1	92
Crowdstrike (=)	USD	782.2	56.9	65
CoreWeave (+)	USD	124.8	53.9	61
Palo Alto (+)	USD	300.5	53.9	61
Navan (+)	USD	22.8	25.9	32
Cloudflare (-)	USD	270.8	23.4	29
Cadence Design (+)	USD	414.2	20.7	27
Zoom (-)	USD	111.6	18.5	24
Snowflake (+)	USD	280.2	17.2	23
Oracle (+)	USD	248.2	17.1	23
IBM (-)	USD	320.4	2.2	7
Synopsys, Inc. (-)	USD	492.3	1.9	7
Samsara (+)	USD	38.6	(0.7)	4
Dynatrace (=)	USD	44.5	(1.1)	4
Microsoft (+)	**USD**	**460.5**	**(6.0)**	(1)
ServiceNow (+)	USD	135.9	(18.3)	(14)
Veeva Systems (+)	USD	188.7	(21.4)	(18)
Adobe (=)	USD	274.0	(25.5)	(22)
Salesforce (+)	USD	209.6	(27.3)	(24)
Workday (+)	USD	157.2	(31.5)	(28)
Vertex (+)	USD	15.0	(32.7)	(29)
Atlassian (+)	USD	116.0	(33.2)	(30)
Zscaler (+)	USD	155.7	(37.5)	(34)
Workiva (+)	USD	52.8	(41.9)	(39)
HubSpot (=)	USD	262.2	(44.7)	(42)
Intuit (=)	USD	353.8	(49.4)	(47)

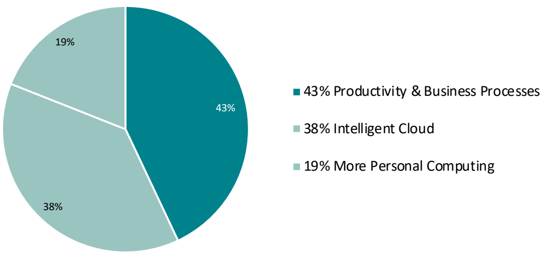
Revenue by geography - FY24/25



Sector calendar

02 Jun. 26 **TeamViewer**: AGM

Revenue by reported segment - FY24/25



Analyst

Stefan Slowinski (+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

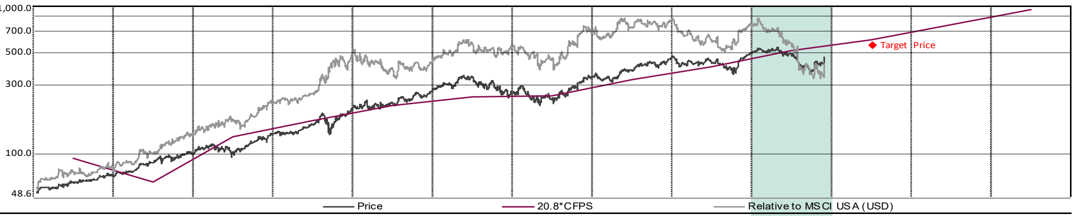
Price at 01 Jun. 26 / 12m Target Price

USD460.5 / USD555 +21%

MICROSOFT (Outperform)

Refinitiv / Bloomberg: MSFT.O / MSFT US   Slowinski (+44) 203 430 8549 & Wang +1 646 785 3326   Software - USA

Company Highlights	**USDm / EURm**		
Enterprise value	3,341,632 / 2,863,545		
Market capitalisation	3,415,621 / 2,926,948		
Free float	3,412,889 / 2,924,607		
3m average volume	13,547 / 11,609		
Performance (*)	**1m**	**3m**	**12m**
Absolute	11%	15%	(2%)
Rel. Sector	(5%)	(4%)	1%
Rel. MSCI USA	NC	NC	NC
12m Hi/Lo (USD) : 542.1 -15% / 356.8 +29%			
CAGR	**1992/2025**		**2025/2028**
EPS restated	NC		19%
CFPS	NC		25%



	Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
Price (yearly avg from Jun. 16 to Jun. 25)	*50.5*	*62.3*	*85.9*	*112.9*	*157.4*	*227.7*	*297.0*	*268.0*	*378.2*	*424.0*	*460.5*	*460.5*	*460.5*	*460.5*
PER SHARE DATA (USD)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
No of shares year end, basic, (m)	7 925.000	7 746.000	7 715.652	7 655.000	7 580.000	7 527.000	7 474.000	7 434.000	7 433.000	7 432.000	7 416.879	7 376.392	7 328.118	7 270.056
Avg no of shares, diluted, excl. treasury stocks (m)	8 033.250	7 837.750	7 771.583	7 752.000	7 681.500	7 607.750	7 540.500	7 472.250	7 458.500	7 465.000	7 451.720	7 411.131	7 365.971	7 311.747
EPS reported, Gaap	*2.57*	*3.25*	*2.12*	*5.06*	*5.76*	*8.06*	*9.64*	*9.68*	*11.82*	*13.64*	*17.43*	*19.74*	*23.70*	*28.78*
EPS company definition	*2.57*	*3.25*	*2.12*	*5.06*	*5.76*	*8.06*	*9.64*	*9.68*	*11.82*	*13.64*	*17.43*	*19.74*	*23.70*	*28.78*
EPS restated, fully diluted	2.78	3.33	4.09	5.19	5.87	8.17	9.31	10.02	12.25	14.58	17.22	19.99	23.88	28.93
% change	*20.2%*	*19.7%*	*22.8%*	*26.8%*	*13.1%*	*39.1%*	*14.0%*	*7.6%*	*22.2%*	*19.0%*	*18.1%*	*16.0%*	*19.5%*	*21.2%*
Book value (BVPS) (a)	9.1	11.3	10.7	13.4	15.6	18.9	22.3	27.7	36.1	46.2	59.1	74.6	93.7	117.3
Net dividend	1.43	1.55	1.68	1.84	2.04	2.24	2.48	2.72	3.00	3.32	3.67	4.14	4.66	5.27
STOCKMARKET RATIOS	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
P / E (P/ EPS restated)	18.1x	18.7x	21.0x	21.8x	26.8x	27.9x	31.9x	26.7x	30.9x	29.1x	26.7x	23.0x	19.3x	15.9x
P / E relative to MSCI USA	100%	95%	95%	116%	135%	88%	160%	130%	120%	123%	94%	100%	97%	90%
P / CF	12.4x	14.1x	28.5x	18.1x	19.5x	22.3x	25.3x	22.3x	24.2x	22.4x	18.7x	15.7x	12.2x	9.7x
FCF yield	6.2%	6.5%	4.9%	4.4%	3.8%	3.3%	2.9%	3.0%	2.6%	2.3%	1.9%	0.6%	1.9%	3.0%
P / BVPS	5.55x	5.50x	8.01x	8.45x	10.09x	12.07x	13.33x	9.66x	10.47x	9.17x	7.79x	6.17x	4.92x	3.93x
Net yield	2.8%	2.5%	2.0%	1.6%	1.3%	1.0%	0.8%	1.0%	0.8%	0.8%	0.8%	0.9%	1.0%	1.1%
Payout	51.2%	46.6%	40.9%	35.4%	34.7%	27.4%	26.6%	27.1%	24.5%	22.8%	21.3%	20.7%	19.5%	18.2%
EV / Sales	3.74x	4.52x	5.48x	6.40x	7.87x	9.79x	10.95x	9.11x	11.37x	11.01x	10.12x	8.56x	7.04x	5.77x
EV / Restated EBITDA	10.2x	11.7x	13.5x	14.9x	17.3x	20.3x	22.3x	18.7x	21.3x	19.2x	17.4x	14.1x	10.9x	8.6x
EV / Restated EBITA	12.2x	14.4x	16.5x	18.2x	20.9x	23.2x	25.6x	21.0x	24.6x	23.3x	21.2x	18.2x	15.1x	12.4x
EV / NOPAT	15.2x	16.9x	19.7x	20.3x	25.0x	26.9x	29.4x	26.0x	30.1x	28.2x	26.3x	22.5x	18.6x	15.3x
EV / OpFCF	11.8x	12.9x	15.8x	17.3x	19.5x	23.6x	26.8x	23.7x	29.8x	33.3x	34.9x	59.4x	30.9x	21.8x
EV / Capital employed (incl. gross goodwill)	14.5x	6.6x	8.8x	9.3x	12.1x	14.1x	13.5x	10.1x	9.1x	8.4x	7.5x	5.9x	4.8x	4.0x
ENTERPRISE VALUE (USDm)	**341,314**	**436,286**	**604,282**	**804,845**	**1,124,872**	**1,645,911**	**2,171,595**	**1,931,332**	**2,786,340**	**3,100,557**	**3,341,632**	**3,330,243**	**3,289,111**	**3,227,902**
Market cap	400,867	483,073	661,810	866,486	1,198,072	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,415,621	3,396,976	3,374,745	3,348,006
+ Adjusted net debt	(59,553)	(46,787)	(57,528)	(61,641)	(73,200)	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(73,989)	(66,733)	(85,633)	(120,104)
+ Other liabilities and commitments														
+ Revalued minority interests														
- Revalued investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0
P & L HIGHLIGHTS (USDm)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
Sales	**91,154**	**96,571**	**110,360**	**125,843**	**143,015**	**168,088**	**198,270**	**211,915**	**245,122**	**281,724**	**330,172**	**389,034**	**467,305**	**559,874**
Restated EBITDA (b)	**33,572**	**37,439**	**44,619**	**53,888**	**65,145**	**81,012**	**97,336**	**103,155**	**130,717**	**161,410**	**191,594**	**236,849**	**300,963**	**374,751**
Depreciation	(5,644)	(7,078)	(8,061)	(9,782)	(11,196)	(10,086)	(12,460)	(11,361)	(17,487)	(28,153)	(33,625)	(53,757)	(83,135)	(113,985)
Restated EBITA (b)	**27,928**	**30,361**	**36,558**	**44,106**	**53,949**	**70,926**	**84,876**	**91,794**	**113,230**	**133,257**	**157,969**	**183,092**	**217,828**	**260,766**
Reported operating profit (loss)	26,078	29,025	35,058	42,959	52,959	69,916	83,383	88,523	109,433	128,528	154,124	180,801	216,203	259,341
Net financial income (charges)	0	0	(983)	81	45	(46)	(128)	528	(1,528)	(4,552)	5,768	(231)	(681)	421
Affiliates														
Other	0	0	2,399	648	32	1,232	461	260	(118)	(349)	1,419	0	0	0
Tax	(5,100)	(4,412)	(19,903)	(4,448)	(8,755)	(9,831)	(10,978)	(16,950)	(19,651)	(21,795)	(31,395)	(34,308)	(40,949)	(49,355)
Minorities														
Net attributable profit reported	20,978	24,613	16,571	39,240	44,281	61,271	72,738	72,361	88,136	101,832	129,916	146,262	174,572	210,408
Net attributable profit restated (c)	**22,361**	**26,117**	**31,812**	**40,231**	**45,107**	**62,142**	**70,212**	**74,869**	**91,336**	**108,818**	**128,336**	**148,118**	**175,889**	**211,562**
CASH FLOW HIGHLIGHTS (USDm)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
EBITDA (reported)	**33,810**	**38,109**	**45,319**	**54,641**	**65,755**	**81,602**	**97,843**	**103,707**	**131,720**	**162,681**	**192,631**	**237,467**	**301,402**	**375,136**
EBITDA adjustment (b)	**(238)**	**(670)**	**(700)**	**(753)**	**(610)**	**(590)**	**(507)**	**(552)**	**(1,003)**	**(1,271)**	**(1,038)**	**(619)**	**(439)**	**(385)**
Other items	3,043	(408)	(15,183)	2,755	9,424	10,279	7,222	8,889	5,436	1,635	22,617	15,074	17,779	21,107
Change in WCR	610	4,876	20,467	3,866	(1,483)	(936)	446	(2,388)	1,824	(5,350)	(5,648)	(1,355)	(3,398)	(7,206)
Operating cash flow	**37,225**	**41,907**	**49,903**	**60,509**	**73,086**	**90,355**	**105,004**	**109,656**	**137,977**	**157,695**	**208,563**	**250,568**	**315,344**	**388,652**
Capex	(8,343)	(8,129)	(11,632)	(13,925)	(15,441)	(20,622)	(23,886)	(28,107)	(44,477)	(64,551)	(112,832)	(194,517)	(208,849)	(240,746)
Operating free cash flow (OpFCF)	**28,882**	**33,778**	**38,271**	**46,584**	**57,645**	**69,733**	**81,118**	**81,549**	**93,500**	**93,144**	**95,731**	**56,052**	**106,495**	**147,906**
Net financial items + tax paid	(3,900)	(2,400)	(6,019)	(8,324)	(12,411)	(13,615)	(15,969)	(22,074)	(19,429)	(21,533)	(31,127)	(34,539)	(41,631)	(48,933)
Free cash flow	**24,982**	**31,378**	**32,252**	**38,260**	**45,234**	**56,118**	**65,149**	**59,475**	**74,071**	**71,611**	**64,604**	**21,513**	**64,865**	**98,973**
Net financial investments & acquisitions	(15,810)	(38,455)	5,669	(1,848)	4,459	(6,033)	(3,600)	8,543	(51,195)	(10,365)	4,922	20,000	10,000	0
Other	15,454	11,800	(4,958)	(707)	(2,855)	(10,842)	(31,631)	(20,029)	(28,734)	4,761	0	0	0	0
Capital increase (decrease)	(15,301)	(11,016)	(9,719)	(18,401)	(21,625)	(25,692)	(30,855)	(20,379)	(15,252)	(16,364)	(20,303)	(18,200)	(21,700)	(26,100)
Dividends paid	(11,006)	(11,845)	(12,699)	(13,811)	(15,137)	(16,521)	(18,135)	(19,800)	(21,771)	(24,082)	(26,648)	(30,569)	(34,264)	(38,402)
Increase (decrease) in net financial debt	**1,681**	**18,138**	**(10,545)**	**(3,493)**	**(10,076)**	**2,970**	**19,072**	**(7,810)**	**42,881**	**(25,561)**	**(22,575)**	**7,257**	**(18,901)**	**(34,470)**
Cash flow, group share	**32,715**	**34,631**	**23,417**	**48,319**	**62,158**	**77,676**	**88,589**	**89,970**	**116,724**	**141,512**	**183,084**	**217,384**	**277,112**	**346,925**
BALANCE SHEET HIGHLIGHTS (USDm)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
Net operating assets	39,961	75,517	79,882	93,632	103,293	128,314	166,368	187,239	301,369	371,902	441,305	559,156	672,805	797,757
WCR	(16,391)	(9,833)	(11,154)	(7,448)	(10,035)	(11,438)	(5,509)	4,694	4,307	(1,088)	4,560	5,914	9,312	16,519
Restated capital employed, incl. gross goodwill	**23,570**	**65,684**	**68,728**	**86,184**	**93,258**	**116,876**	**160,859**	**191,933**	**305,676**	**370,814**	**445,864**	**565,070**	**682,118**	**814,275**
Shareholders' funds, group share	71,997	87,711	82,718	102,330	118,304	141,988	166,542	206,223	268,477	343,479	438,382	550,331	686,279	852,907
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Provisions/ Other liabilities	21,557	25,411	39,832	41,956	43,448	43,431	44,695	46,886	60,215	76,717	97,718	97,718	97,718	97,718
Net financial debt (cash)	(59,553)	(41,415)	(51,960)	(55,453)	(65,529)	(62,559)	(43,487)	(51,297)	(8,416)	(33,977)	(56,552)	(49,296)	(68,196)	(102,667)
FINANCIAL RATIOS (%)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
Sales (% change)	(2.6%)	5.9%	14.3%	14.0%	13.6%	17.5%	18.0%	6.9%	15.7%	14.9%	17.2%	17.8%	20.1%	19.8%
Organic sales growth														
Restated EBITA (% change)	(2.6%)	8.7%	20.4%	20.6%	22.3%	31.5%	19.7%	8.2%	23.4%	17.7%	18.5%	15.9%	19.0%	19.7%
Restated attributable net profit (% change)	16.9%	16.8%	21.8%	26.5%	12.1%	37.8%	13.0%	6.6%	22.0%	19.1%	17.9%	15.4%	18.7%	20.3%
Personnel costs / Sales	22.3%	21.0%	20.1%	18.4%	17.3%	15.0%	14.0%	14.3%	13.1%	11.7%	10.6%	9.2%	8.2%	7.4%
Restated EBITDA margin	36.8%	38.8%	40.4%	42.8%	45.6%	48.2%	49.1%	48.7%	53.3%	57.3%	58.0%	60.9%	64.4%	66.9%
Restated EBITA margin	30.6%	31.4%	33.1%	35.0%	37.7%	42.2%	42.8%	43.3%	46.2%	47.3%	47.8%	47.1%	46.6%	46.6%
Tax rate	19.6%	15.2%	54.6%	10.2%	16.5%	13.8%	13.1%	19.0%	18.2%	17.6%	19.5%	19.0%	19.0%	19.0%
Net margin	24.5%	27.0%	28.8%	32.0%	31.5%	37.0%	35.4%	35.3%	37.3%	38.6%	38.9%	38.1%	37.6%	37.8%
Capex / Sales	9.2%	8.4%	10.5%	11.1%	10.8%	12.3%	12.0%	13.3%	18.1%	22.9%	34.2%	50.0%	44.7%	43.0%
OpFCF / Sales	31.7%	35.0%	34.7%	37.0%	40.3%	41.5%	40.9%	38.5%	38.1%	33.1%	29.0%	14.4%	22.8%	26.4%
WCR / Sales	(18.0%)	(10.2%)	(10.1%)	(5.9%)	(7.0%)	(6.8%)	(2.8%)	2.2%	1.8%	(0.4%)	1.4%	1.5%	2.0%	3.0%
Capital employed (excl. gdw./intangibles) / Sales	2.2%	21.2%	22.6%	28.9%	30.0%	35.3%	41.4%	54.1%	64.8%	81.2%	93.5%	110.7%	117.7%	122.1%
ROE	31.1%	29.8%	38.5%	39.3%	38.1%	43.8%	42.2%	36.3%	34.0%	31.7%	29.3%	26.9%	25.6%	24.8%
Gearing	(83%)	(53%)	(70%)	(60%)	(62%)	(51%)	(33%)	(31%)	(9%)	(15%)	(17%)	(12%)	(12%)	(14%)
EBITDA / Financial charges	NC	NC	86.0x	NC	NC	NS	NC	NC	NC	NC	NC	NS	NS	NC
Adjusted financial debt / EBITDA	NS	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
ROCE, excl. gdw./intangibles	NS	125.9%	122.9%	108.8%	105.1%	103.0%	89.9%	64.9%	58.3%	48.0%	41.2%	34.4%	32.1%	30.9%
ROCE, incl. gross goodwill	95.3%	39.2%	44.7%	46.0%	48.3%	52.3%	45.8%	38.7%	30.3%	29.6%	28.5%	26.2%	25.9%	25.9%
WACC	5.8%	5.4%	5.5%	5.9%	5.9%	5.4%	5.5%	6.8%	6.8%	6.5%	6.3%	6.3%	6.3%	6.3%

Latest Model update: 30 Apr. 26

(a) Intangibles: USD142,113.00m, or USD19 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A

(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested

NEBIUS GROUP (Neutral)

Price at 1 Jun. 26 / Target Price

Software - USA

USD264.5 / USD255 -4%

Company description

Nebius is a leading AI-native cloud infrastructure provider that delivers GPU-accelerated compute and software services for AI model training and inferencing. Nebius' proprietary cloud platform stack (highlighted by Token Factory) resembles hyperscale-like platform services, focused largely on model efficiency / optimization and managed inference services.

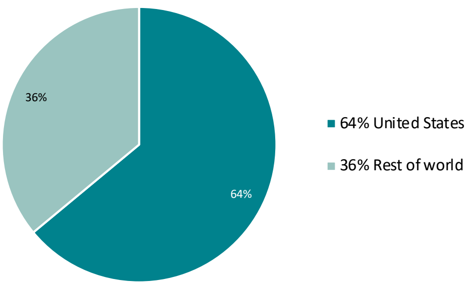
Management

Arkady Volozh, CEO
Ophir Nave, COO
Dado Alonso, CFO
Danila Shan, CTO

Ownership structure

Situational Awareness LP	5.6%
Blackrock	4.5%
Fred Alger Management LLC	4.4%
Orbis Allan Gray Ltd	3.8%
Vladimir Ivanov	3.1%
Value Aligned Research Advisors	2.6%
Other Shareholders	76.0%

Geographic Revenue Breakdown - 2025



Analyst

Stefan Slowinski (+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

Peer group YTD performance

Stock	Price (01 Jun. 26)		YTD performance in EUR (%) Abs.	Rel. Sector
Nebius Group (=)	**USD**	**264.5**	**177.8**	191
Datadog (+)	USD	277.5	83.1	92
Crowdstrike (=)	USD	782.2	56.9	65
CoreWeave (+)	USD	124.8	53.9	61
Palo Alto (+)	USD	300.5	53.9	61
Navan (+)	USD	22.8	25.9	32
Cloudflare (-)	USD	270.8	23.4	29
Cadence Design (+)	USD	414.2	20.7	27
Zoom (-)	USD	111.6	18.5	24
Snowflake (+)	USD	280.2	17.2	23
Oracle (+)	USD	248.2	17.1	23
IBM (-)	USD	320.4	2.2	7
Synopsys, Inc. (-)	USD	492.3	1.9	7
Samsara (+)	USD	38.6	(0.7)	4
Dynatrace (=)	USD	44.5	(1.1)	4
Microsoft (+)	USD	460.5	(6.0)	(1)
ServiceNow (+)	USD	135.9	(18.3)	(14)
Veeva Systems (+)	USD	188.7	(21.4)	(18)
Adobe (=)	USD	274.0	(25.5)	(22)
Salesforce (+)	USD	209.6	(27.3)	(24)
Workday (+)	USD	157.2	(31.5)	(28)
Vertex (+)	USD	15.0	(32.7)	(29)
Atlassian (+)	USD	116.0	(33.2)	(30)
Zscaler (+)	USD	155.7	(37.5)	(34)
Workiva (+)	USD	52.8	(41.9)	(39)
HubSpot (=)	USD	262.2	(44.7)	(42)
Intuit (=)	USD	353.8	(49.4)	(47)

Sector calendar

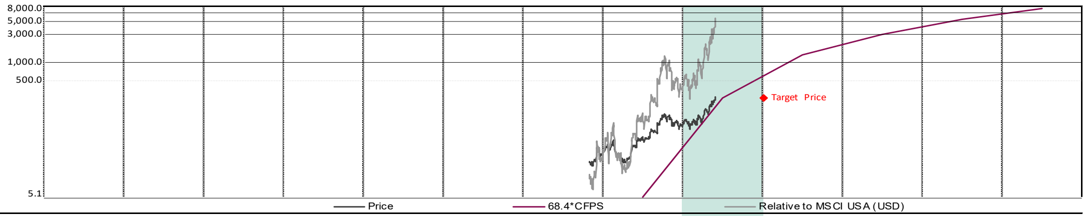
02 Jun. 26 **TeamViewer**: AGM

Price at 01 Jun. 26 / 12m Target Price
USD264.5 / USD255 -4%

NEBIUS GROUP (Neutral)

Refinitiv / Bloomberg: / NBIS US Slowinski (+44) 203 430 8549 & Wang +1 646 785 3326 Software - USA

Company Highlights	USDm / EURm		
Enterprise value	81,417 / 69,768		
Market capitalisation	67,382 / 57,741		
Free float	64,013 / 54,854		
3m average volume	706 / 605		
Performance (*)	**1m**	**3m**	**12m**
Absolute	67%	153%	529%
Rel. Sector	44%	111%	546%
Rel. MSCI USA	NC	NC	NC
12m Hi/Lo (USD) : 231.1 +14% / 36 +634%			
CAGR	**2025/2026**		**2026/2030**
EPS restated	81%		NC
CFPS	4605%		137%



Price (yearly avg from Dec. 24 to Dec. 25)	*24.4*	*60.7*	*264.5*	*264.5*	*264.5*	*264.5*	*264.5*
PER SHARE DATA (USD)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
No of shares year end, basic, (m)	281.005	243.963	254.742	257.501	262.182	268.207	274.398
Avg no of shares, diluted, excl. treasury stocks (m)	281.005	268.156	326.003	328.763	333.444	339.469	345.659
EPS reported, Gaap	*(1.25)*	*0.11*	*(1.24)*	*(6.95)*	*(4.40)*	*4.22*	*18.57*
EPS company definition	*(0.84)*	*(1.67)*	*(2.94)*	*(5.57)*	*(2.15)*	*6.98*	*21.27*
EPS restated, fully diluted	(0.98)	(1.96)	(3.54)	(6.94)	(4.38)	4.23	18.57
% change	*NS*	*(100.7%)*	*(80.7%)*	*(96.1%)*	*36.8%*	*NS*	*339.0%*
Book value (BVPS) (a)	11.6	18.8	25.3	18.3	16.0	25.3	52.4
Net dividend	0.00	0.00	0.00	0.00	0.00	0.00	0.00
STOCKMARKET RATIOS	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
P / E (P/ EPS restated)	NC	NC	NC	NC	NC	62.5x	14.2x
P / E relative to MSCI USA	NC	NC	NC	NC	NC	383%	
P / CF	NC	NS	71.8x	13.5x	6.0x	3.5x	2.3x
FCF yield	(15.7%)	(24.8%)	(28.0%)	(38.0%)	(40.3%)	(34.6%)	(25.3%)
P / BVPS	2.11x	3.23x	10.47x	14.44x	16.57x	10.45x	5.05x
Net yield	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Payout	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
EV / Sales	39.19x	25.46x	22.74x	7.43x	4.58x	3.24x	2.40x
EV / Restated EBITDA	NS	NS	66.9x	14.3x	8.0x	5.5x	3.9x
EV / Restated EBITA	NS	NS	NS	NS	67.1x	25.0x	13.5x
EV / NOPAT	NS	NS	NS	NS	84.9x	31.7x	17.1x
EV / OpFCF	NS	NS	NS	NS	NS	NS	NS
EV / Capital employed (incl. gross goodwill)	4.9x	2.2x	2.8x	1.8x	1.4x	1.2x	1.1x
ENTERPRISE VALUE (USDm)	**3,586**	**13,490**	**81,417**	**108,027**	**137,197**	**163,348**	**183,316**
Market cap	6,851	14,818	67,382	68,112	69,350	70,944	72,581
+ Adjusted net debt	(2,429)	450	17,785	43,665	71,598	96,155	114,485
+ Other liabilities and commitments							
+ Revalued minority interests							
- Revalued investments	837	1,778	3,750	3,750	3,750	3,750	3,750
P & L HIGHLIGHTS (USDm)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
Sales	**92**	**530**	**3,580**	**14,544**	**29,980**	**50,354**	**76,310**
Restated EBITDA (b)	**(266)**	**(148)**	**1,216**	**7,579**	**17,183**	**29,892**	**46,464**
Depreciation	(75)	(397)	(2,102)	(8,137)	(15,138)	(23,366)	(32,860)
Restated EBITA (b)	**(342)**	**(545)**	**(886)**	**(557)**	**2,045**	**6,526**	**13,604**
Reported operating profit (loss)	(400)	(596)	(904)	(562)	2,041	6,523	13,603
Net financial income (charges)	46	55	(269)	(2,330)	(3,896)	(4,710)	(5,480)
Affiliates	0	575	773	0	0	0	0
Other	(289)	73	0	0	0	0	0
Tax	1	(4)	(4)	607	390	(381)	(1,706)
Minorities							
Net attributable profit reported	(641)	102	(405)	(2,285)	(1,466)	1,433	6,417
Net attributable profit restated (c)	**(274)**	**(525)**	**(1,153)**	**(2,280)**	**(1,462)**	**1,436**	**6,418**
CASH FLOW HIGHLIGHTS (USDm)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
EBITDA (reported)	**(318)**	**(192)**	**1,206**	**7,579**	**17,183**	**29,892**	**46,464**
EBITDA adjustment (b)	**52**	**44**	**10**	**0**	**0**	**0**	**0**
Other items	20	213	33	(104)	(73)	334	496
Change in WCR	(72)	363	4,931	8,072	8,457	8,970	9,224
Operating cash flow	**(319)**	**428**	**6,180**	**15,547**	**25,566**	**39,197**	**56,184**
Capex	(808)	(4,066)	(24,995)	(40,375)	(51,000)	(59,500)	(68,000)
Operating free cash flow (OpFCF)	**(1,126)**	**(3,638)**	**(18,815)**	**(24,828)**	**(25,434)**	**(20,303)**	**(11,816)**
Net financial items + tax paid	49	(44)	(48)	(1,052)	(2,499)	(4,254)	(6,514)
Free cash flow	**(1,077)**	**(3,682)**	**(18,863)**	**(25,880)**	**(27,932)**	**(24,557)**	**(18,330)**
Net financial investments & acquisitions	1,467	(93)	(170)	0	0	0	0
Other	1,351	(887)	(4,763)	(7,125)	(9,000)	(10,500)	(12,000)
Capital increase (decrease)	658	1,053	2,002	0	0	0	0
Dividends paid							
Increase (decrease) in net financial debt	**(2,398)**	**3,608**	**21,795**	**33,005**	**36,932**	**35,057**	**30,330**
Cash flow, group share	**(198)**	**21**	**1,201**	**6,423**	**14,611**	**25,973**	**40,445**
BALANCE SHEET HIGHLIGHTS (USDm)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
Net operating assets	896	6,492	34,372	73,731	118,589	165,220	212,359
WCR	(159)	(470)	(5,401)	(13,472)	(21,929)	(30,899)	(40,123)
Restated capital employed, incl. gross goodwill	**737**	**6,022**	**28,971**	**60,259**	**96,660**	**134,321**	**172,236**
Shareholders' funds, group share	3,254	4,594	6,435	4,717	4,186	6,790	14,374
Minorities			0	0	0	0	0
Provisions/ Other liabilities	1	1,445	1,532	1,532	1,532	1,532	1,532
Net financial debt (cash)	(2,398)	1,210	23,005	56,010	92,942	128,000	158,330
FINANCIAL RATIOS (%)	**Dec. 24**	**Dec. 25**	**Dec. 26e**	**Dec. 27e**	**Dec. 28e**	**Dec. 29e**	**Dec. 30e**
Sales (% change)	NC	479.0%	NC	306.3%	106.1%	68.0%	51.5%
Organic sales growth		479.0%	575.7%	306.3%	106.1%	68.0%	51.5%
Restated EBITA (% change)	NC	(59.6%)	(62.5%)	37.1%	NC	219.1%	108.4%
Restated attributable net profit (% change)	NC	(91.5%)	(119.7%)	(97.8%)	35.9%	NC	347.0%
Personnel costs / Sales	NC	NC	NC	NC	NC	NC	NC
Restated EBITDA margin	(291.0%)	(27.9%)	34.0%	52.1%	57.3%	59.4%	60.9%
Restated EBITA margin	(373.2%)	(102.9%)	(24.7%)	(3.8%)	6.8%	13.0%	17.8%
Tax rate	NC	12.1%	NC	NC	NC	21.0%	21.0%
Net margin	(299.5%)	(99.1%)	(32.2%)	(15.7%)	(4.9%)	2.9%	8.4%
Capex / Sales	NC	NC	NC	277.6%	170.1%	118.2%	89.1%
OpFCF / Sales	NC	NC	NC	(170.7%)	(84.8%)	(40.3%)	(15.5%)
WCR / Sales	(174.1%)	(88.7%)	(150.9%)	(92.6%)	(73.1%)	(61.4%)	(52.6%)
Capital employed (excl. gdw./intangibles) / Sales	NC	NC	NC	332.1%	252.5%	204.3%	168.8%
ROE	(8.4%)	(11.4%)	(17.9%)	(48.3%)	(34.9%)	21.1%	44.6%
Gearing	(75%)	10%	276%	NS	NS	NS	NS
EBITDA / Financial charges	NC	NC	4.2x	3.3x	4.4x	6.3x	8.5x
Adjusted financial debt / EBITDA	NC	NC	14.6x	5.8x	4.2x	3.2x	2.5x
ROCE, excl. gdw./intangibles	(46.5%)	(8.0%)	NS	(0.9%)	2.1%	5.0%	8.3%
ROCE, incl. gross goodwill	(46.2%)	(8.0%)	NS	(0.7%)	1.7%	3.8%	6.2%
WACC							

Latest Model update: 02 Jun. 26

(a) Intangibles: USD19.70m, or USD0 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A
(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested

ORACLE CORPORATION (Outperform)

Price at 1 Jun. 26 / Target Price

Software - USA

USD248.2 / USD283 +14%

Company description

Oracle provides products and services for application, platform and infrastructure environments. Oracle's businesses include cloud and on-premise software, hardware and services. Its cloud and on-premise software business consists of three segments, including cloud software and on-premise software, which includes Software as a Service (SaaS) and Platform as a Service (PaaS) offerings, cloud infrastructure as a service (IaaS) and software license updates and product support. Its hardware business consists of two segments, (products and support). The Company's services business includes activities such as consulting, enhanced support and education services.

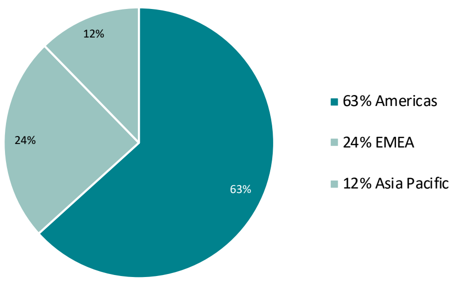
Management

Lawrence Ellison, Chairman of the Board of Directors
Mark Hurd, CEO
Safra Catz, CEO & CFO
Jeffrey Berg, Vice Chairman

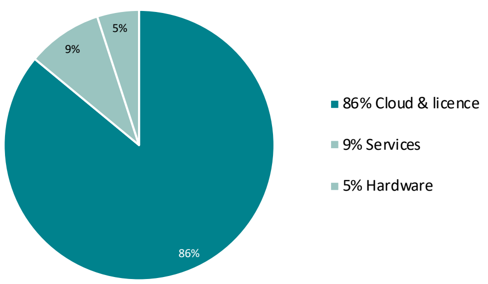
Ownership structure

Other Shareholders	100.0%

2024/25 Revenues by geography



2024/25 Revenues by activity



Analyst

Stefan Slowinski (+44) 203 430 8549
stefan.slowinski@uk.bnpparibas.com

Peer group YTD performance

Stock		Price (01 Jun. 26)	YTD performance in EUR (%) Abs.	Rel. Sector
Nebius Group (=)	USD	264.5	177.8	191
Datadog (+)	USD	277.5	83.1	92
Crowdstrike (=)	USD	782.2	56.9	65
CoreWeave (+)	USD	124.8	53.9	61
Palo Alto (+)	USD	300.5	53.9	61
Navan (+)	USD	22.8	25.9	32
Cloudflare (-)	USD	270.8	23.4	29
Cadence Design (+)	USD	414.2	20.7	27
Zoom (-)	USD	111.6	18.5	24
Snowflake (+)	USD	280.2	17.2	23
Oracle (+)	**USD**	**248.2**	**17.1**	23
IBM (-)	USD	320.4	2.2	7
Synopsys, Inc. (-)	USD	492.3	1.9	7
Samsara (+)	USD	38.6	(0.7)	4
Dynatrace (=)	USD	44.5	(1.1)	4
Microsoft (+)	USD	460.5	(6.0)	(1)
ServiceNow (+)	USD	135.9	(18.3)	(14)
Veeva Systems (+)	USD	188.7	(21.4)	(18)
Adobe (=)	USD	274.0	(25.5)	(22)
Salesforce (+)	USD	209.6	(27.3)	(24)
Workday (+)	USD	157.2	(31.5)	(28)
Vertex (+)	USD	15.0	(32.7)	(29)
Atlassian (+)	USD	116.0	(33.2)	(30)
Zscaler (+)	USD	155.7	(37.5)	(34)
Workiva (+)	USD	52.8	(41.9)	(39)
HubSpot (=)	USD	262.2	(44.7)	(42)
Intuit (=)	USD	353.8	(49.4)	(47)

Sector calendar

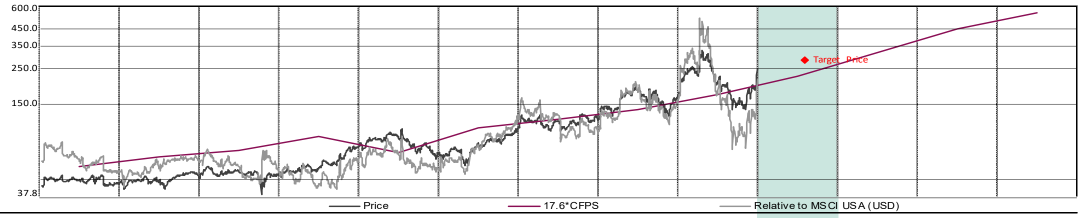
02 Jun. 26 **TeamViewer**: AGM

Price at 01 Jun. 26 / 12m Target Price
USD248.2 / USD283 +14%

ORACLE CORPORATION (Outperform)

Refinitiv / Bloomberg: ORCL.N / ORCL US   Slowinski (+44) 203 430 8549 & Wang +1 646 785 3326   Software - USA

Company Highlights			USDm / EURm
Enterprise value			891,499 / 763,952
Market capitalisation			757,998 / 649,551
Free float			515,439 / 441,695
3m average volume			4,371 / 3,746
Performance (*)	**1m**	**3m**	**12m**
Absolute	40%	56%	37%
Rel. Sector	20%	30%	41%
Rel. MSCI USA	NC	NC	NC
12m Hi/Lo (USD) : 328.3 -24% / 136.5 +82%			
CAGR	**2010/2025**		**2025/2029**
EPS restated	9%		32%
CFPS	10%		35%



Price (yearly avg from May 17 to May 26)	*41.1*	*48.7*	*49.7*	*53.8*	*62.5*	*85.1*	*81.1*	*114.5*	*156.9*	*210.3*	*248.2*	*248.2*	*248.2*	*248.2*
PER SHARE DATA (USD)	**May 17**	**May 18**	**May 19**	**May 20**	**May 21**	**May 22**	**May 23**	**May 24**	**May 25**	**May 26e**	**May 27e**	**May 28e**	**May 29e**	**May 30e**
No of shares year end, basic, (m)	4 132.000	4 046.000	3 389.000	3 091.000	2 847.000	2 667.000	2 707.000	2 753.000	2 805.000	2 927.331	3 054.596	3 102.737	3 160.058	3 226.894
Avg no of shares, diluted, excl. treasury stocks (m)	4 217.000	4 238.000	3 732.000	3 293.500	3 022.000	2 786.000	2 766.000	2 823.000	2 866.000	2 927.259	3 067.890	3 124.651	3 179.366	3 243.144
EPS reported, Gaap	*2.21*	*0.85*	*2.97*	*3.08*	*4.55*	*2.41*	*3.07*	*3.71*	*4.34*	*5.85*	*6.06*	*8.43*	*14.08*	*18.83*
EPS company definition	*2.74*	*3.07*	*3.52*	*3.85*	*4.67*	*4.90*	*5.13*	*5.56*	*6.03*	*7.49*	*7.86*	*10.39*	*16.12*	*21.00*
EPS restated, fully diluted	2.51	2.84	3.16	3.46	4.17	4.12	4.06	4.43	4.72	6.10	6.27	8.49	13.90	18.46
% change	*3.5%*	*13.0%*	*11.3%*	*9.4%*	*20.5%*	*(1.1%)*	*(1.5%)*	*9.1%*	*6.6%*	*29.2%*	*2.9%*	*35.4%*	*63.7%*	*32.8%*
Book value (BVPS) (a)	13.0	11.3	6.4	3.9	1.8	(2.3)	0.4	3.2	7.3	16.9	26.8	35.3	49.7	68.9
Net dividend	0.62	0.74	0.79	0.93	1.01	1.24	1.33	1.56	1.65	1.96	1.97	1.97	1.97	1.97
STOCKMARKET RATIOS	**May 17**	**May 18**	**May 19**	**May 20**	**May 21**	**May 22**	**May 23**	**May 24**	**May 25**	**May 26e**	**May 27e**	**May 28e**	**May 29e**	**May 30e**
P / E (P/ EPS restated)	16.3x	17.2x	15.7x	15.5x	15.0x	20.7x	20.0x	25.9x	33.2x	34.5x	39.6x	29.2x	17.8x	13.4x
P / E relative to MSCI USA	83%	78%	84%	78%	47%	103%	97%	101%	140%	121%	172%	146%	100%	82%
P / CF	13.4x	14.3x	12.7x	12.6x	11.8x	20.6x	13.5x	16.9x	20.1x	21.6x	19.6x	13.9x	9.8x	7.7x
FCF yield	7.1%	6.7%	7.1%	6.6%	7.5%	2.2%	3.9%	3.8%	(0.1%)	(4.4%)	(4.5%)	(3.3%)	1.9%	4.6%
P / BVPS	3.15x	4.31x	7.73x	13.76x	33.97x	NC	NS	36.21x	21.52x	12.41x	9.27x	7.02x	4.99x	3.60x
Net yield	1.5%	1.5%	1.6%	1.7%	1.6%	1.5%	1.6%	1.4%	1.1%	0.9%	0.8%	0.8%	0.8%	0.8%
Payout	24.8%	26.1%	24.9%	27.0%	24.3%	30.1%	32.7%	35.1%	35.1%	32.2%	31.5%	23.2%	14.2%	10.7%
EV / Sales	4.28x	4.89x	5.05x	5.16x	5.49x	6.70x	5.99x	7.38x	9.05x	10.56x	9.92x	7.13x	5.11x	4.10x
EV / Restated EBITDA	10.1x	11.5x	11.8x	11.7x	11.9x	15.0x	15.1x	17.6x	21.4x	22.6x	19.9x	14.4x	9.9x	7.6x
EV / Restated EBITA	10.8x	12.3x	12.7x	12.8x	12.9x	16.7x	17.3x	20.5x	25.5x	30.0x	29.7x	22.8x	14.9x	11.3x
EV / NOPAT	14.0x	15.7x	15.6x	15.7x	15.4x	20.0x	20.6x	25.4x	31.8x	37.2x	36.7x	28.2x	18.4x	13.9x
EV / OpFCF	10.3x	11.5x	11.2x	12.2x	11.5x	27.5x	20.3x	20.5x	68.9x	NS	NS	NS	29.9x	16.6x
EV / Capital employed (incl. gross goodwill)	3.6x	5.3x	5.5x	5.7x	6.5x	7.7x	4.3x	5.5x	5.9x	5.3x	4.7x	3.8x	3.3x	3.0x
ENTERPRISE VALUE (USDm)	**161,325**	**194,605**	**199,489**	**201,671**	**222,229**	**284,145**	**299,423**	**390,887**	**519,380**	**710,557**	**891,499**	**934,932**	**940,148**	**926,051**
Market cap	169,108	200,749	180,651	172,633	184,040	229,690	218,631	314,181	437,517	604,165	757,998	769,944	784,168	800,754
+ Adjusted net debt	(8,169)	(6,642)	18,340	28,540	37,691	53,957	80,294	76,208	81,365	105,894	133,003	164,490	155,481	124,799
+ Other liabilities and commitments														
+ Revalued minority interests	386	498	498	498	498	498	498	498	498	498	498	498	498	498
- Revalued investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0
P & L HIGHLIGHTS (USDm)	**May 17**	**May 18**	**May 19**	**May 20**	**May 21**	**May 22**	**May 23**	**May 24**	**May 25**	**May 26e**	**May 27e**	**May 28e**	**May 29e**	**May 30e**
Sales	**37,727**	**39,830**	**39,505**	**39,068**	**40,479**	**42,441**	**49,955**	**52,961**	**57,399**	**67,293**	**89,871**	**131,218**	**183,807**	**225,949**
Restated EBITDA (b)	**15,927**	**16,954**	**16,961**	**17,175**	**18,699**	**18,952**	**19,883**	**22,210**	**24,227**	**31,373**	**44,798**	**64,887**	**94,747**	**121,086**
Depreciation	(1,000)	(1,165)	(1,230)	(1,382)	(1,537)	(1,972)	(2,526)	(3,129)	(3,867)	(7,717)	(14,810)	(23,966)	(31,597)	(38,800)
Restated EBITA (b)	**14,927**	**15,789**	**15,731**	**15,793**	**17,162**	**16,980**	**17,357**	**19,081**	**20,360**	**23,657**	**29,988**	**40,920**	**63,151**	**82,287**
Reported operating profit (loss)	12,710	13,680	13,535	13,897	15,213	10,928	13,094	15,354	17,678	20,817	28,074	39,121	61,210	80,184
Net financial income (charges)	(1,194)	(787)	(1,267)	(1,833)	(2,213)	(3,279)	(3,967)	(3,612)	(3,520)	(1,416)	(5,824)	(7,760)	(8,175)	(7,962)
Affiliates														
Other														
Tax	(2,182)	(9,066)	(1,185)	(1,929)	747	(931)	(623)	(1,275)	(1,715)	(2,184)	(3,338)	(4,704)	(7,955)	(10,833)
Minorities														
Net attributable profit reported	9,334	3,827	11,083	10,135	13,747	6,718	8,504	10,467	12,443	17,217	18,913	26,656	45,080	61,388
Net attributable profit restated (c)	**10,600**	**12,034**	**11,793**	**11,389**	**12,589**	**11,477**	**11,219**	**12,497**	**13,529**	**17,852**	**19,248**	**26,535**	**44,206**	**59,878**
CASH FLOW HIGHLIGHTS (USDm)	**May 17**	**May 18**	**May 19**	**May 20**	**May 21**	**May 22**	**May 23**	**May 24**	**May 25**	**May 26e**	**May 27e**	**May 28e**	**May 29e**	**May 30e**
EBITDA (reported)	**15,161**	**16,465**	**16,454**	**16,866**	**18,129**	**14,049**	**19,202**	**21,493**	**23,852**	**30,205**	**44,079**	**63,837**	**93,277**	**119,279**
EBITDA adjustment (b)	**766**	**489**	**507**	**309**	**570**	**4,903**	**681**	**717**	**375**	**1,168**	**719**	**1,050**	**1,470**	**1,808**
Other items	569	970	2,620	2,096	2,947	(2,123)	3,029	4,166	6,031	755	3,274	3,257	2,197	1,739
Change in WCR	1,224	699	(70)	(1,164)	(148)	(1,987)	513	(488)	(1,500)	(4,923)	(1,400)	(8,829)	(5,793)	(10,460)
Operating cash flow	**17,720**	**18,623**	**19,511**	**18,107**	**21,498**	**14,842**	**23,425**	**25,888**	**28,758**	**27,205**	**46,673**	**59,315**	**91,151**	**112,366**
Capex	(2,021)	(1,736)	(1,660)	(1,564)	(2,135)	(4,511)	(8,695)	(6,866)	(21,215)	(50,163)	(71,897)	(72,170)	(59,737)	(56,487)
Operating free cash flow (OpFCF)	**15,699**	**16,887**	**17,851**	**16,543**	**19,363**	**10,331**	**14,730**	**19,022**	**7,543**	**(22,958)**	**(25,224)**	**(12,855)**	**31,414**	**55,879**
Net financial items + tax paid	(3,595)	(3,472)	(4,960)	(5,190)	(5,610)	(5,302)	(6,259)	(7,215)	(7,937)	(3,600)	(9,162)	(12,464)	(16,130)	(18,795)
Free cash flow	**12,104**	**13,415**	**12,891**	**11,353**	**13,753**	**5,029**	**8,471**	**11,807**	**(394)**	**(26,558)**	**(34,386)**	**(25,319)**	**15,284**	**37,084**
Net financial investments & acquisitions	(11,221)	(1,724)	(363)	(124)	(41)	(148)	(27,721)	(63)	0	0	0	0	0	0
Other	(432)	(593)	(90)	(42)	14	(831)	(2,108)	(767)	827	0	0	0	0	0
Capital increase (decrease)	(1,663)	(9,451)	(34,488)	(18,317)	(19,814)	(16,859)	(1,311)	(2,500)	(847)	7,778	13,333	0	0	0
Dividends paid	(2,889)	(3,174)	(2,932)	(3,070)	(3,063)	(3,457)	(3,668)	(4,391)	(4,743)	(5,749)	(6,056)	(6,168)	(6,276)	(6,402)
Increase (decrease) in net financial debt	**4,101**	**1,527**	**24,982**	**10,200**	**9,151**	**16,266**	**26,337**	**(4,086)**	**5,157**	**24,529**	**27,108**	**31,487**	**(9,009)**	**(30,682)**
Cash flow, group share	**12,901**	**14,452**	**14,621**	**14,081**	**16,036**	**11,527**	**16,653**	**19,161**	**22,321**	**28,528**	**38,910**	**55,679**	**80,814**	**104,031**
BALANCE SHEET HIGHLIGHTS (USDm)	**May 17**	**May 18**	**May 19**	**May 20**	**May 21**	**May 22**	**May 23**	**May 24**	**May 25**	**May 26e**	**May 27e**	**May 28e**	**May 29e**	**May 30e**
Net operating assets	56,039	56,322	55,310	53,751	53,414	54,967	89,167	90,656	110,316	151,091	206,983	254,437	282,107	299,499
WCR	(11,625)	(19,423)	(18,872)	(18,209)	(19,246)	(18,241)	(19,289)	(19,863)	(22,265)	(17,342)	(15,942)	(7,113)	(1,320)	9,140
Restated capital employed, incl. gross goodwill	**44,414**	**36,899**	**36,438**	**35,542**	**34,168**	**36,726**	**69,878**	**70,793**	**88,051**	**133,749**	**191,041**	**247,324**	**280,787**	**308,638**
Shareholders' funds, group share	53,860	45,726	21,785	12,074	5,238	(6,220)	1,073	8,704	20,451	49,608	81,808	109,613	157,128	222,273
Minorities	386	498	578	643	714	452	483	535	518	518	518	518	518	518
Provisions/ Other liabilities	2,774	2,295	2,748	3,832	12,651	11,234	12,241	13,112	19,183	19,241	19,241	19,241	14,197	7,585
Net financial debt (cash)	(8,169)	(6,642)	18,340	28,540	37,691	53,957	80,294	76,208	81,365	105,894	133,003	164,490	155,481	124,799
FINANCIAL RATIOS (%)	**May 17**	**May 18**	**May 19**	**May 20**	**May 21**	**May 22**	**May 23**	**May 24**	**May 25**	**May 26e**	**May 27e**	**May 28e**	**May 29e**	**May 30e**
Sales (% change)	1.8%	5.6%	(0.8%)	(1.1%)	3.6%	4.8%	17.7%	6.0%	8.4%	17.2%	33.6%	46.0%	40.1%	22.9%
Organic sales growth	3.0%	3.0%	3.0%	0.0%	1.7%	6.6%	21.9%	5.8%	8.7%	15.4%	33.6%	46.0%	40.1%	22.9%
Restated EBITA (% change)	1.1%	5.8%	(0.4%)	0.4%	8.7%	(1.1%)	2.2%	9.9%	6.7%	16.2%	26.8%	36.5%	54.3%	30.3%
Restated attributable net profit (% change)	1.4%	13.5%	(2.0%)	(3.4%)	10.5%	(8.8%)	(2.2%)	11.4%	8.3%	32.0%	7.8%	37.9%	66.6%	35.5%
Personnel costs / Sales	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
Restated EBITDA margin	42.2%	42.6%	42.9%	44.0%	46.2%	44.7%	39.8%	41.9%	42.2%	46.6%	49.8%	49.4%	51.5%	53.6%
Restated EBITA margin	39.6%	39.6%	39.8%	40.4%	42.4%	40.0%	34.7%	36.0%	35.5%	35.2%	33.4%	31.2%	34.4%	36.4%
Tax rate	18.9%	70.3%	9.7%	16.0%	NC	12.2%	6.8%	10.9%	12.1%	11.3%	15.0%	15.0%	15.0%	15.0%
Net margin	28.1%	30.2%	29.9%	29.2%	31.1%	27.0%	22.5%	23.6%	23.6%	26.5%	21.4%	20.2%	24.1%	26.5%
Capex / Sales	5.4%	4.4%	4.2%	4.0%	5.3%	10.6%	17.4%	13.0%	37.0%	74.5%	80.0%	55.0%	32.5%	25.0%
OpFCF / Sales	41.6%	42.4%	45.2%	42.3%	47.8%	24.3%	29.5%	35.9%	13.1%	(34.1%)	(28.1%)	(9.8%)	17.1%	24.7%
WCR / Sales	(30.8%)	(48.8%)	(47.8%)	(46.6%)	(47.5%)	(43.0%)	(38.6%)	(37.5%)	(38.8%)	(25.8%)	(17.7%)	(5.4%)	(0.7%)	4.0%
Capital employed (excl. gdw./intangibles) / Sales	(16.7%)	(34.0%)	(32.1%)	(33.5%)	(30.4%)	(18.0%)	51.5%	56.7%	85.2%	143.0%	172.2%	161.4%	133.7%	121.2%
ROE	19.7%	26.3%	54.1%	94.3%	240.3%	NS	NS	143.6%	66.2%	36.0%	23.5%	24.2%	28.1%	26.9%
Gearing	(15%)	(14%)	82%	224%	NS	NC	NS	NS	388%	211%	162%	149%	99%	56%
EBITDA / Financial charges	13.3x	21.5x	13.4x	9.4x	8.4x	5.8x	5.0x	6.1x	6.9x	22.2x	7.7x	8.4x	11.6x	15.2x
Adjusted financial debt / EBITDA	NC	NC	1.1x	1.7x	2.0x	2.8x	4.0x	3.4x	3.4x	3.4x	3.0x	2.5x	1.6x	1.0x
ROCE, excl. gdw./intangibles	NS	NS	NS	NS	NS	NS	56.4%	51.3%	33.5%	19.9%	15.7%	15.7%	20.8%	24.3%
ROCE, incl. gross goodwill	25.9%	33.6%	35.2%	36.2%	42.3%	38.7%	20.8%	21.8%	18.6%	14.3%	12.7%	13.4%	18.2%	21.6%
WACC	8.7%	8.3%	8.0%	8.2%	7.5%	7.0%	8.2%	7.8%	7.0%	7.0%	6.7%	6.7%	6.7%	6.7%

Latest Model update: 02 Jun. 26

(a) Intangibles: USD66,794.00m, or USD24 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A
(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested

Legal Entity Disclosures and Country-/Region-Specific Disclosures

Abu Dhabi Global Market (ADGM): This report constitutes an Exempt Communication or is not otherwise subject to the financial promotion restriction in accordance with the Financial Services and Markets Regulation of the ADGM. It is intended for distribution only to persons of a type specified in that regulation. It must not be delivered to, or relied on by, any other person. The Financial Services Regulatory Authority (FSRA) does not accept any responsibility for the content of the information included in this report, including the accuracy or completeness of such information. The FSRA has also not assessed the suitability of the products or services to which this report relates to any particular investor or type of investor. If you do not understand the contents of this report or are unsure whether the products or services to which this report relates are suitable for your individual investment objectives and circumstances, you should consult an authorised financial adviser.

Australia: This report is being distributed in Australia by BNP Paribas, acting through its Australia Branch, registered in Australia as ABN 23 000 000 117 at 60 Castlereagh Street Sydney NSW 2000. BNP Paribas, acting through its Australia Branch is licensed under the Banking Act 1959 and the holder of Australian Financial Services Licence no. 238043 and therefore subject to regulation by the Australian Securities & Investments Commission in relation to delivery of financial services. By accepting this document, you agree to be bound by the foregoing limitations, and acknowledge that information and opinions in this document relate to financial products or financial services which are delivered solely to wholesale clients (in terms of the Corporations Act 2001, sections 761G and 761GA; Corporations Regulations 2001, division 2, reg. 7.1.18 & 7.1.19) and/or professional investors (as defined in section 9 of the Corporations Act 2001). BNP Paribas Securities (Asia) Limited provides financial services in Australia in reliance on the relief under Australian Securities & Investment Commission Corporations (Amendment) Instrument 2022/623. BNPP Sec (Asia) Limited is exempt from the requirement to hold an Australian Financial Services Licence; and is regulated by the Securities and Futures Commission under Hong Kong laws, which differ from Australian laws.

Bahrain: This report is being distributed in Bahrain by BNP Paribas Conventional Wholesale Bank Bahrain, a branch of BNP Paribas S.A. whose head office is in Paris, France (Registered Office: 16 boulevard des Italiens, 75009 Paris, France). BNP Paribas Conventional Wholesale Bank Bahrain is licensed and regulated as a Registered Institution by the Central Bank of Bahrain. This report does not, nor is it intended to, constitute an offer to issue, sell or acquire, or solicit an offer to sell or acquire any securities or to enter into any transaction. The Central Bank of Bahrain assumes no responsibility for the accuracy and completeness of the statements and information contained in this report and expressly disclaims any liability whatsoever for any loss howsoever arising from reliance upon the whole or any part of the contents of this report.

China: BNP Paribas Securities (China) Limited is a qualified securities investment consultancy firm registered with the China Securities Regulatory Commission.

European Economic Area (EEA): This report is being distributed in the EEA by BNP Paribas S.A. ("BNPP SA") and/or BNP Paribas Financial Markets SNC. BNPP SA is incorporated in France with limited liability (Registered Office: 16 boulevard des Italiens, 75009 Paris, France, 662 042 449 RCS Paris, www.bnpparibas.com). BNPP SA is authorised and supervised by the European Central Bank ("ECB") and by the Autorité de Contrôle Prudentiel et de Résolution ("ACPR") in respect of supervision for which the competence remains at national level, in terms of Council Regulation n° 1024/2013 of 15 October 2013 conferring specific tasks on the ECB concerning policies relating to the prudential supervision of credit institutions. BNPP SA is authorised and regulated by the Prudential Regulation Authority and by the Autorité des Marchés Financiers ("AMF") in France. BNP Paribas Financial Markets SNC is an unlimited liability company, whose registered office is 160/162 boulevard Macdonald 75019 Paris, registered with the Paris Trade and Companies Registry under number 394 895 833. It is authorised and supervised by the ACPR and the AMF in France. This report is intended for distribution in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions.

Hong Kong: This report is prepared for professional investors and is being distributed in Hong Kong by BNP Paribas Securities (Asia) Limited. BNP Paribas Securities (Asia) Limited, a subsidiary of BNP Paribas, is regulated by the Hong Kong Securities and Futures Commission for the conduct of dealing in securities, advising on securities, dealing in futures contracts and advising on corporate finance. BNP Paribas Securities (Asia) Limited accepts full responsibility for the contents of this report. For professional investors in Hong Kong, please contact BNP Paribas Securities (Asia) Limited (address: 63/F Two International Finance Centre, 8 Finance Street, Central, Hong Kong; tel:2909 8888; fax: 2845 2232) for all matters and queries relating to this report.

India: In India, this report is being distributed by BNP Paribas Securities India Private Limited ("SIPL"), having its registered office at 8th floor, 1 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai 400 051, INDIA (Tel. no. +91 22 4672 4000 / 6196 4000, Fax no. +91 22 6196 4363). SIPL is registered with the Securities and Exchange Board of India ("SEBI") as a research issuing entity; and as a stockbroker in the Equities and the Futures & Options segments of the National Stock Exchange of India Limited ("NSE") and BSE Limited and in the Currency Derivatives segment of NSE (SEBI regn. nos.: INZ000161834, INH000000792; CIN: U74920MH2008FTC182807; Website: SIPL webpage). Compliance Officer: Karen Claude D'Souza, Tel: +91 22 6196 4000, E-mail: karen.dsouza@asia.bnpparibas.com. Registration granted by SEBI and certification from National Institute of Securities Market in no way guarantee performance of the research issuing entity or provide any assurance of returns to investors. No material disciplinary action has been taken against SIPL by any regulatory or government authority. SIPL or its associates may have received compensation or other benefits for brokerage services or for other products or services, from the company/ies that has/have been rated and/or recommended in the report and/or from third parties. SIPL or its associates may have debt holdings in the subject company/ies. Please refer to the disclosures on the SIPL webpage. Please also refer to the terms and conditions and additional research related local regulatory disclosures on our webpage.

Indonesia: This report is being distributed to Indonesia-based clients by the publishing entity/ies shown on the front page of this report. Neither this report nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This report is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstances which constitute an offering within the meaning of Indonesian capital market laws and regulations.

Israel: BNP Paribas is not licensed under Israel's Regulation of Investment Advising, Investment Marketing and Portfolio Management Law, 5755-1995 (the "Advice Law") and does not carry insurance pursuant to the Advice Law. This report is only intended for those categories of Israeli residents who are qualified clients listed on the First Addendum to the Advice Law.

Japan: This report is being distributed in Japan by BNP Paribas and/or a branch, subsidiary or affiliate of BNP Paribas that is not registered as a financial instruments firm in Japan. This report is provided for information purposes only and it is not intended to solicit any orders for securities transactions. While we believe that the data and information contained in this report is obtained from reliable sources, we do not guarantee the accuracy or completeness of such data and information.

Jersey: An investment in the securities that are the subject of this report is only suitable for sophisticated investors who understand the risks involved in acquiring such an investment. Neither BNP Paribas nor the activities of any functionary with regard to this report are subject to all the provisions of the Financial Services (Jersey) Law 1998.

Kingdom of Saudi Arabia: This report may not be distributed in the Kingdom except to such persons as are permitted under the Rules on the Offer of Securities and Continuing Obligations issued by the Capital Market Authority. The Capital Market Authority does not make any representation as to the accuracy or completeness of this report, and expressly disclaims any liability whatsoever for any loss arising from, or incurred in reliance upon, any part of this report. Prospective purchasers of securities in the company/ies that are the subject of this report should conduct their own due diligence on the accuracy of the information herein relating to the subject company/ies. If you do not understand the contents of this report, you should consult an authorised financial advisor.

New Zealand: BNP Paribas SA is not a registered bank in New Zealand and does not have a place of business in New Zealand. This report is directed only to wholesale investors/clients (as defined in the Financial Markets Conduct Act 2013) and is not intended for retail investors/clients. By accepting this document you agree to be bound by the foregoing limitations, and acknowledge that information and opinions in this document relate to financial products or financial services which are delivered solely to wholesale clients. This report is being distributed in New Zealand by BNP Paribas, acting through its Australia Branch, registered in Australia as ABN 23 000 000 117 at 60 Castlereagh Street Sydney NSW 2000. BNP Paribas, acting through its Australia Branch is licensed under the Banking Act 1959 and the holder of Australian Financial Services Licence no. 238043.

Oman: BNP Paribas neither has a registered business presence nor a representative office in Oman and does not undertake banking business or provide financial services in Oman. Consequently BNP Paribas is not regulated by either the Central Bank of Oman or Oman's Financial Services Authority. No authorization, licence or approval has been received by BNP Paribas from the Financial Services Authority or any other regulatory authority in Oman, to provide such advice or service within Oman. BNP Paribas does not solicit business in Oman and does not market, offer, sell or distribute any financial or investment products or services in Oman and no subscription to any securities, products or financial services may or will be consummated within Oman. The recipient of this material represents that he/she is a sophisticated investor (as described in Article 139 of the Executive Regulations of the Capital Market Law) and has such experience in business and financial matters that he/ she is capable of evaluating the merits and risks of investments. The investor acknowledges that an investment in securities is speculative and involves a high degree of risk.

Qatar: This report is not intended to constitute an offer or provision of Advisory, M&A and Research services under the laws of Qatar. This report has not been and will not be authorised by any regulator in the State of Qatar, including the Qatar Financial Markets Authority, the Qatar Financial Centre Regulatory Authority or the Qatar Central Bank in accordance with their regulations or any other regulations in Qatar. In addition, this report is not intended to constitute an offer, sale or delivery of financial products under the laws of Qatar. Securities in the company/ies that is/are the subject of this report have not been and will not be authorised by any regulator in the State of Qatar, including the Qatar Financial Markets Authority, the Qatar Financial Centre Regulatory Authority or the Qatar Central Bank in accordance with their regulations or any other regulations in Qatar. Securities in the company/ies that is/are the subject of this report are not and will not be traded on the Qatar Stock Exchange.

Singapore: This report is being distributed in Singapore by BNP Paribas, acting through its Singapore Branch, and may be distributed in Singapore only to an Accredited or Institutional Investor, each as defined under the Financial Advisers Regulations ("FAR") and the Securities and Futures Act 2001 of Singapore, as amended from time to time. In relation to the distribution to such categories of investors, BNP Paribas, acting through its Singapore Branch, and its representatives are exempted under Regulation 35 of the FAR from the requirements in Section 45 of the Financial Advisers Act 2001 of Singapore, regarding the disclosure of certain interests in, or certain interests in the acquisition or disposal of, securities, securities-based derivatives contracts or units in a collective investment scheme, referred to in this report. For Institutional and Accredited Investors in Singapore, please contact BNP Paribas, acting through its Singapore Branch (company registration number: S71FC2142G; address: 10 Collyer Quay, 34/F Ocean Financial Centre, Singapore 049315; tel: (65) 6210 1288; fax: (65) 6210 1980) for all matters and queries relating to this report.

South Africa: BNPP is a bank incorporated in France with a local branch registered with the South African Reserve Bank and registered as an external company in terms of the South African Companies Act, 2008 . BNPP is an authorised Financial Services Provider (FSP 44610) and subject to regulation by the Financial Services Board and South African Reserve Bank. It is also a licensed member of the Johannesburg Stock Exchange. BNPP does not expressly or by implication represent, recommend or propose that the information and/or financial products referred to in this report are appropriate to the particular investment objectives, financial situation or particular needs of the recipient. This document further does not constitute advice (whether financial, legal, tax or otherwise) as contemplated in the Financial Advisory and Intermediary Services Act, 2002.

South Korea: This report does not constitute an offer to sell to or the solicitation of an offer to buy from any person any financial products in the Republic of Korea ("Korea"). The distribution of this report in Korea or to residents of Korea is not and shall not be construed as provision of investment advice in Korea. This report is not directed to, or intended for distribution to or use by, any person or entity in Korea where such distribution, publication, availability or use would be contrary to laws or regulations of Korea.

Switzerland: This report is intended solely for customers who are "Qualified Investors" as defined in article 10 paragraphs 3 and 4 of the Federal Act on Collective Investment Schemes of 23 June 2006 and the relevant provisions of the Federal Ordinance on Collective Investment Schemes of 22 November 2006. "Qualified Investors" includes, among others, regulated financial intermediaries such as banks, securities traders, fund management companies and asset managers of collective investment schemes, regulated insurance institutions as well as pension funds and companies with professional treasury operations. This report may not be suitable for customers who are not Qualified Investors and should only be used and passed on to Qualified Investors. For specification purposes, a "Swiss Corporate Customer" is a client which is a corporate entity, incorporated and existing under the laws of Switzerland and which qualifies as a "Qualified Investor" as defined above." BNP Paribas (Suisse) S.A. is authorised as a bank and as a securities dealer by the Swiss Financial Market Supervisory Authority. This report is being distributed in Switzerland by BNP Paribas (Suisse) S.A., registered at the Geneva commercial register under No. CHE-102.922.193. BNP Paribas (Suisse) S.A. is incorporated in Switzerland with limited liability. Registered Office: 2, place de Hollande, 1204 Geneva, Switzerland.

Taiwan: This report is being distributed to Taiwan-based clients by BNP Paribas Securities (Taiwan) Co., Ltd or by a subsidiary or affiliate of BNP Paribas. The information is being distributed to professional investors and for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decision. Information on securities that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities. BNP Paribas Securities (Taiwan) Co., Ltd. may not execute transactions for clients in these securities. This publication may not be distributed to the public media or quoted or used by the public media without the express written consent of BNP Paribas. The recipient(s) should not provide the reports to others, including but not limited to related parties, affiliated companies and any other third parties, or engage in any activities in connection with the reports which may involve conflicts of interests.

Türkiye: This report is being distributed in Türkiye by TEB Yatırım (TEB YATIRIM MENKUL DEĞERLER A.Ş., İnkılap Mahallesi Sokullu Caddesi No:7B Ümraniye 34768 , İstanbul, Türkiye, trade register number: 358354, www.tebyatirim.com.tr). All kinds of investment services and activities including this research report obtained by persons residing in Türkiye, including investment firms, on their own initiative, from financial institutions residing abroad, and accounts opened at such institutions, and cash and other assets transferred to such accounts, and transactions fulfilled on these accounts are out of the scope of the COMMUNIQUÉ ON PRINCIPLES REGARDING INVESTMENT SERVICES, ACTIVITIES AND ANCILLARY SERVICES (III-37.1), provided that activities such as promotion, advertisement and marketing are not intended for persons residing in Türkiye. For the purposes of the application of the preceding paragraph, any cases such as opening a workplace in Türkiye, creation of a web site in Turkish, and intending advertisement and marketing activities directly and/or through persons or institutions residing in Türkiye with respect to investment services provided by the institutions residing abroad, shall be deemed to be intended for the persons residing in Türkiye, and relevant provisions of the legislation shall apply. Additional criteria on determination as to whether the activities are intended for persons residing in Türkiye shall be determined by the Capital Markets Board of Türkiye. BNP Paribas S.A. and TEB Yatırım may engage in providing such services (including the distribution of this report) locally with in the condition that parties should sign an agreement including the services to be provided and terms and conditions of the services and obtain required permissions from local regulators if necessary. Otherwise, all such activities by BNP Paribas S.A. should be on a "reverse inquiry" basis.

United Arab Emirates (excluding the Dubai International Financial Centre (DIFC) and the Abu Dhabi Global Market (ADGM): In accordance with Decision No (13/R.M) of 2021 on the Financial Activities Rulebook and Mechanisms of Adjustment of the Securities and Commodities Authority (SCA), as amended (the SCA Rulebook), the securities to which this document relates may only be promoted in the UAE (excluding the DIFC and ADGM) as follows: without the prior approval of SCA, only in so far as the promotion is directed to: a person who meets the definition of a “professional investor” under the SCA Rulebook; or (ii) following a ‘reverse’ (i.e., unsolicited) enquiry by an investor. Further, this report does not constitute a public offer of securities in the United Arab Emirates (including the DIFC and the ADGM) and is not intended to be a public offer. The SCA has not verified the report or other documents in connection with the securities that are discussed therein. Accordingly, the SCA has not approved this report or any other associated documents nor taken any steps to verify the information set out in this report. The SCA may not be held liable for the accuracy or completeness of the information in the report. The securities to which this report relates may be illiquid or subject to restrictions on their resale. Prospective investors should conduct their own due diligence on the such securities. If you do not understand the contents of this report you should consult an authorised financial advisor.

United Kingdom: In the UK, this report is being distributed by BNP Paribas London Branch. 10 Harewood Avenue, London NW1 6AA; tel: +44 20 7595 2000; fax: +44 20 7595 2555- www.bnpparibas.com. Incorporated in France with Limited Liability. Registered Office: 16 boulevard des Italiens, 75009 Paris, France. 662 042 449 RCS Paris. BNP Paribas is authorised and regulated by the European Central Bank and the Autorité de contrôle prudentiel et de résolution. BNP Paribas is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Prudential Regulation Authority are available from us on request. BNP Paribas London Branch is registered in the UK under number FC13447. UK establishment number: BR000170. UK establishment office address: 10 Harewood Avenue, London NW1 6AA. This report is intended for distribution to, and is directed at: (a) persons in the UK having professional experience in matters relating to investments and who fall within the definition of “investment professionals” in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the “Order”); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise be communicated lawfully (all such persons being “Relevant Persons”). Any investment or investment activity to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it.

United States and Canada: BNP Paribas Securities Corp. is registered and regulated by the Financial Industry Regulatory Authority ("FINRA") (CRD# 15794) and the U.S. Securities and Exchange Commission. BNP Paribas Securities Corp is a FINRA member firm and broker-dealer registered with U.S. Securities Exchange Commission. With respect to any United States persons who are institutional investors BNP Paribas Securities Corp. is the distributor of this research report. This report is not intended for retail investors. Any United States person wishing to obtain further information or to effect a transaction in any security discussed in this report should do so only through BNP Paribas Securities Corp., which has distributed this report in the United States and, subject to the above, accepts responsibility for its contents. With respect to clients domiciled in Canada, BNP Paribas Securities Corp. is the distributor of this research report operating under the “general adviser exemption” or the “international dealer exemption”. BNP Paribas Securities Corp. does not distribute this research report in any other jurisdictions.

Other Jurisdictions: The distribution of this report in other jurisdictions or to residents of other jurisdictions may also be restricted by law, and persons into whose possession this report comes should inform themselves about, and observe, any such restrictions. By accepting this report you agree to be bound by the foregoing instructions. This report is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation.

General Information

This report including embedded research reports is for the use of intended recipients only and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without our prior written consent. By accepting this report, the recipient agrees to be bound by the terms and limitations set forth herein. This report does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual recipients. Recipients are advised to use the information contained herein as just one of many inputs and considerations prior to engaging in any trading activity and to seek advice from a financial advisor, taking into account their specific investment objectives, financial situation or particular needs, prior to committing to purchase any investment product. This report does not constitute a prospectus or other offering document or an offer or solicitation to buy or sell any securities or other investments. This report is not intended to provide the sole basis of any evaluation of the subject securities and companies mentioned in this report. Information and opinions contained in this report are published for reference of the recipients and are not to be relied upon as authoritative or without the recipient's own independent verification, or taken in substitution for the exercise of judgment by the recipient. Additionally, the products mentioned in this report may not be available for sale in certain jurisdictions.

All information contained in this research report and any embedded reports has been compiled from sources believed to be reliable. However, no representation or warranty, express or implied, is made with respect to the completeness or accuracy of its contents, and it is not to be relied upon as such. Opinions contained in this research report represent BNPP's current opinions on the date of the report only. BNPP is not soliciting an action based upon it, and under no circumstances is it to be used or considered as an offer to sell, or a solicitation of any offer to buy.

While BNPP endeavours to update its research reports from time to time, there may be legal and/or other reasons why BNPP cannot do so and, accordingly, BNPP disclaims any obligation to do so.

BNPP does, and seeks to do, business with companies covered in its research reports, and expects to receive or intends to seek compensation from such companies. Investors should be aware that BNPP may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. In the normal course of its business, BNPP, as well as its directors, officers and affiliates may have financial or other interests in securities issued by the subject company/ies or the subject company itself that may include ownership of such securities (including derivatives in respect of such securities on market terms), commissions or other compensation in connection with trades in such securities, and financial arrangements in respect of such securities including with underwriters or other persons or companies with interests in such securities.

This report is provided solely for the information of professional/wholesale investors who are expected to make their own investment decisions without undue reliance on this report and BNPP accepts no liability whatsoever for any direct or consequential loss arising from any use of this report or its contents.

Investing in non-U.S. securities, including the ADRs of such securities, may involve certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on non-U.S. securities. Non-U.S. companies are generally not subject to uniform audit and reporting standards, practices, and requirements comparable to those in the U.S. The securities of some non-U.S. companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a non-U.S. stock and its corresponding dividend payment for U.S. investors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

As an investment bank with a wide range of activities, BNPP may face conflicts of interest, which are managed under applicable legal provisions and internal policies and guidelines. You should be aware that BNPP may engage in transactions in a manner inconsistent with the views expressed in this document, either for its own account or for the account of its clients.

Other businesses within BNPP may have issued other publications that may or may not be consistent with the views expressed in this report.

In the normal course of its business, BNPP as well as its directors, officers and affiliates may have financial or other interests in securities issued by the subject company/ies or the subject company itself that may include ownership of such securities (including derivatives in respect of such securities on market terms), commissions or other compensation in connection with trades in such securities, and financial arrangements in respect of such securities including with underwriters or other persons or companies with interests in such securities.

BNP Paribas may use AI Tools to assist in the preparation of reports and/or other materials. Notwithstanding any such use of AI Tools, all presented forecasts and recommendations are made by the BNP Paribas personnel identified in the relevant report. For the avoidance of doubt, you are not permitted to use AI Tools that have not been provided by or made available by BNP Paribas in connection with this document or the information herein, without our express prior written consent. For the purposes of this section, "AI Tools" means machine-based systems designed to operate with varying levels of autonomy and that may exhibit adaptiveness after deployment and that, for explicit or implicit objectives, infer, from the input they receive, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments.

All research reports are disseminated and available to all clients simultaneously on our website: https://cube.cib.bnpparibas. For additional disclosures, rating and target price history, stock price charts, valuation and risk applicable to the subject company/ies, go to our website: https://cube.cib.bnpparibas, or contact the relevant BNPP research team, author(s) of this report or your BNPP representative.

Should you require additional information concerning this report please contact the relevant BNP Paribas research team or the author(s) of this report.